

The question comes first.

LGST 101 | Annotated readings + video study companion

21 readings • 183 retained source pages • 7 complete caption transcripts

This edition keeps the supplied readings in numerical order and appends chronological video guides. Read the yellow main-question passage, give the answer, then explain how the rule and decisive facts produce it. Use source page references below; original printed pagination may differ.

How to use the markings

YELLOW / MAIN QUESTION

The court's question, or a clearly labeled author/study question for non-case material. Some issues are synthesized; those are not passed off as a quotation.

GREEN / RULE & HOLDING

Tests, conclusions, and the conditions that make the result follow.

ORANGE / TRAP

Distinctions that can change an answer: allegation versus finding, claim sufficiency versus liability, rule versus rejected argument.

PURPLE / SEPARATE OPINION

Concurrences and dissents remain distinct from the controlling opinion.

VISIBLE SIDE NOTES

Annotations are printed alongside the reading, not hidden solely in comment popups. Green vocabulary callouts define additional terms encountered on that page.

Source boundaries

This is a detailed study aid, not a guarantee of a grade or an exhaustive forecast of quiz questions. Source captions are auto-generated and lack timestamps: the appendix uses segment order and paragraph IDs. Full captions are retained, including mistakes and fillers; notes flag material ambiguities. No video images/audio or unprovided classroom material were reviewed.

Readings 007/012 contain a Reporter's syllabus, not part of the Court's opinion. Reading 021 is expressly abridged; 024 stops during the dissent; 022 gives an overview/abstract, not the full paper. Historical handouts are explained as supplied, not silently updated to current law. Five completely blank source pages remain removed.

Reading question index

001 An Introductory Note On Jurisprudence

What is law, and what explains or justifies judicial decisions?

Author's express organizing question: source p. 1. This is a teaching note, so there is no court-proposed issue.

003 Popov v Hayashi

Did Popov achieve possession or a right to possession while attempting to catch the baseball, sufficient to support conversion?

Court's explicit "deciding question": source p. 3. Follow-on question and pre-possessionary rule: p. 6.

004 Swift v Gifford

Should the whaling trade's first-iron usage determine title despite the general rule requiring complete possession of a wild animal?

Court's controlling formulation: source p. 1, "The decision, therefore, must turn on the validity of the usage."

005 Four Kinds Of Intellectual Property In The US

What does each of the four intellectual-property categories protect, and what conditions distinguish them?

Author's organization: source p. 1, numbered categories. No court question exists in this reading.

006 DuPont deNemours v Christopher

Has DuPont stated a claim - and specifically, is aerial photography of its plant under construction an improper means of obtaining its trade secret?

Procedural question: source p. 1, last paragraph. Substantive question expressly stated on p. 2 near the bottom.

007 Alice Corp v CLS Banking International

Are the computer-implemented settlement claims patent eligible under 35 U.S.C. §101, or are they claims to an ineligible abstract idea?

Court's express question: source p. 4, opening paragraph (opinion p. 1). The syllabus on pp. 1-3 is the Reporter's summary, not the opinion.

009 Steinberg v Chicago Medical School

Did submission of an application and fee, followed by the school's acceptance, create an enforceable promise to evaluate the applicant by the published criteria?

Synthesized from court's framing on source p. 1 and express analysis on pp. 4-5; there is no standalone "question presented" sentence.

010 A Note on Limitations to Contract Remedies

What limits recovery after a contract breach, even if the plaintiff has an enforceable promise?

Teaching note, not a case: organizing framework on source p. 1 and costs continuation on p. 2.

011 Ericson v Playgirl

Were the contract damages speculative, or clearly ascertainable and reasonably certain in nature and origin?

Exact opening question: source p. 1. Sole substantial appellate issue is damages, not formation or breach.

012 Percoco v United States

Can a private citizen with influence over government decisions be convicted of honest-services wire fraud on the theory used in Percoco's jury instructions?

Court's express question: source p. 4 (opinion p. 1). Exact rejected instruction: source pp. 12-13.

013 Choose a Business Structure

How do business forms differ in control, liability, taxation, financing, and continuity?

Agency guidance, not a court opinion: source pp. 1-2 frame the choice; comparison tables pp. 7-8. Supplied snapshot updated August 8, 2024.

014 Miller v Wick Building Co

Did Paul Wick have authority to bind the company to the brokerage commission agreement for sale of its building?

The broad issue is synthesized from source p. 1. The court expressly formulates the implied-authority question on source p. 3.

015 Summary of Citizens United v Federal Election Commission

Were the corporate independent-expenditure prohibition and the disclaimer/disclosure requirements constitutional as applied to Hillary, and should prior decisions be overruled?

Report's explicit "ISSUES ON APPEAL": source p. 2. This is a March 2, 2010 legislative summary, not the Court's full opinion.

016 Constitutionalism

How does American constitutionalism work as a civic faith, and how can constitutional words constrain political power?

Rountree thesis: source p. 1. Murphy's constraint puzzle: pp. 3-4.

017 Brown v Board of Education

Does race-only segregation of public-school children deny equal educational opportunity even if physical facilities and other tangible factors are equal?

Exact express question: source p. 9, "We come then to the question presented." Holding: p. 11.

018 Dow Chemical v United States

Was EPA aerial photography within its statutory investigatory authority, and was warrantless aerial photography of Dow's plant a Fourth Amendment search?

Court's express two-part issue: source p. 1, first paragraph. Narrow search issue restated on source p. 4.

019 Kyllo v United_States

Does using a thermal imager from a public street to detect relative heat within a private home constitute a Fourth Amendment search?

Court's explicit question: source p. 1, opening substantive paragraph. Rule and remand: p. 4.

021 Skilling v United States abridged

Did publicity/community prejudice deny Skilling a fair trial, and was his conspiracy conviction based on an improper honest-services-fraud theory?

Court's two express questions: source p. 1. Abridgment jumps from opinion p. 3 to p. 34 at source p. 4; much fair-trial analysis is absent.

022 The Conceptual Problems with the Law of Inside Trading

Why does Tyson challenge fraud-based theories of insider/outsider trading, and how do the different liability routes operate?

Working paper, not court opinion. Express thesis: source p. 16. Supplied 2012 excerpt contains overview and abstract, not full Parts I-IV.

024 White v. Samsung Electronics America, Inc.

Did the robot advertisement support White's statutory likeness, common-law publicity, and Lanham Act endorsement-confusion claims despite summary judgment below?

Synthesized from introduction and claim-by-claim issue statements on source pp. 2-3 and 6. Supplied excerpt stops during Alarcon's dissent on p. 9.

025 Cox v. Ball

Can the non-assailant defendants obtain summary judgment, or do disputes about foreseeability, standard of care, and knowledge require trial?

Express substantive questions: source p. 6, paras. 19 and 21; court restatement p. 7 para. 32. Procedural dispute: p. 2 paras. 4-7.

001 An Introductory Note On Jurisprudence

MAIN QUESTION

What is law, and what explains or justifies judicial decisions?

ANSWER / RESULT

This note compares five competing jurisprudential accounts rather than announcing a court holding: natural law, positivism, realism, critical legal studies, and law and economics.

WHERE TO POINT ON THE ORIGINAL

Author's express organizing question: source p. 1. This is a teaching note, so there is no court-proposed issue.

Reading route: source page → what to recover

p. 1 | main question: fundamental question; vocab: unjust law is not law

p. 2 | compare: reason and will; example: surrender some

p. 3 | rule: law as it is; compare: contemporary

p. 4 | rule: two-fold argument; vocab: post-hoc

p. 5 | rule: formalism; vocab: indeterminate

p. 6 | compare: fundamental contradiction; rule: scarcity; main question: what legal rule

p. 7 | compare: response

Cold-call checklist

State the precise issue → identify procedural posture → give the governing rule → name the facts doing legal work → explain the result and what remains undecided. For a note/article, substitute author's thesis, framework, examples, and limits for court holding.



Legal Studies 101

AN INTRODUCTORY NOTE ON JURISPRUDENCE

by
Robert J. Borghese

Jurisprudence is the study of the principles on which legal rules are based and the means that courts use to arrive at judicial decisions. This Note is concerned with the fundamental question of jurisprudence: “What is law?” or “What is the nature of law?” or, in more philosophical terms, “What is the concept of law?” The debate about the nature of law is centuries old. The following are five of the most influential theories that have been developed by legal philosophers to explain the nature of law: Natural Law theory, Legal Positivism, Legal Realism, Critical Legal Studies, and Law and Economics.

Natural Law theory postulates the existence of universal laws of nature which override human laws and provide the standard against which the efficacy and legitimacy of human laws are to be judged. Legal Positivism rejects the notion that law is a reflection of a set of natural principles, and claims that the law is what those who hold political power say the law is. Legal Realism holds that law, as applied, almost always comes down to a matter of interpretation and that therefore the character and biases of individual judges often determine what the law is in individual cases. Critical Legal Studies is a radical theory that claims that all laws are merely political judgments which reflect the views of those with political and economic power. Law and Economics is an attempt to find rationality in the law by claiming that the law is or at least ought to be a reflection of certain neutral and objective principles grounded in economic theory. What follows is a brief description of each of these theories.

NATURAL LAW THEORY

Natural Law theory postulates the existence of universal natural law principles having a validity and authority independent of human enactment, and which can be thought of as “higher” or more “fundamental” than human law. These principles establish a standard against which the efficacy and legitimacy of human law can be judged. In the words of St. Augustine, “*Lex injusta non est lex*,” – “unjust law is not law.”

Natural Law theory traces its origins to the Greek philosopher Aristotle, whose writings on justice laid the groundwork for Natural Law theory. Aristotle’s most significant passage on this theme is found in the *Nichomachean Ethics* where he states:

001 | SOURCE PAGE 1

READ → EXPLAIN → TEST

MAIN QUESTION

AUTHOR'S QUESTION, not a holding: what is law / its nature / its concept? Jurisprudence studies the principles underlying legal rules and how courts reach decisions. Learn all five theories and what makes each distinctive.

VOCAB

Natural law: universal principles independent of enactment judge the legitimacy of human law. Augustine's "Lex injusta non est lex" gives the strong formulation; Aristotle is the historical starting point.

VOCABULARY ON THIS PAGE

natural law — Theory that standards independent of human enactment bear on legal validity/legitimacy in the note.

positivism — Separates identifying positive law from judging what law morally ought to be.

SELF-TEST

Cover the notes. State the point of the marked passage, explain why it matters to the main question, and identify one fact or condition that would change the answer.

001 | SOURCE PAGE 2

READ → EXPLAIN → TEST

COMPARE

Aquinas combines reason and will: political will counts as valid law only when consistent with reason/nature. Locke begins with equal persons in a state of nature, not a sovereign already in place.

EXAMPLE

Locke's exchange: surrender some liberty for better protection of natural rights. Without police, individuals enforce natural law themselves. Government's purpose is protecting life, liberty, estate - not creating those rights from nothing.

VOCABULARY ON THIS PAGE

natural law — Theory that standards independent of human enactment bear on legal validity/legitimacy in the note.

SELF-TEST

Cover the notes. State the point of the marked passage, explain why it matters to the main question, and identify one fact or condition that would change the answer.

What is just in the political sense can be subdivided into what is just by nature and what is just by convention. What is just by nature has the same force everywhere and does not depend on what we regard or do not regard as just . . . only by convention.

Writing 1500 years after Aristotle, St. Thomas Aquinas developed a remarkable synthesis of Christian theology and Aristotelian philosophy which further refined and systematized Natural Law theory. Aquinas predicated his conception of law upon a combination of two elements: reason and will. Aquinas wrote:

Law is a rule and a measure of acts, whereby man is induced to act or is restrained from acting: for lex (law) is derived from ligare (to bind) because it binds one to act. Now the rule and measure of human acts is reason, which is the first principle of human acts . . . Consequently it follows that law is something pertaining to reason.

For Aquinas, the will of the political authority is only valid law when it is in accord with some rule of reason. Reason is an element of nature. Therefore, laws framed by humans, otherwise known as *positive laws*, are only valid and binding if they are in accordance with natural law.

While Aristotle and Aquinas were instrumental in developing Natural Law theory, it was the English philosopher John Locke whose refinement of Natural Law theory had the most significant impact on American legal thought. In his *Two Treatises on Government*, Locke began his analysis of the nature of law from a conception of pre-civil society, or what he referred to as the “state of nature.” In a state of nature, Locke envisioned men and women living together as separate and equal individuals without any political authority ruling over them. The rule governing the relations between them was the rule of reason since this was the rule of nature. This rule held that no one should injure another “in his life, health, liberty or possession.” Since there was no political authority, and therefore, no police power, it was the responsibility of individuals in the state of nature to punish infractions of the law of nature which were committed against them.

Locke reasoned that it was the defects in the state of nature rooted in the lack of political authority which caused individuals to enter into civil society. Civil society is the result of an agreement among individuals in the state of nature to surrender some of the liberty they enjoy in the state of nature in exchange for the better protection of their natural rights in civil society. Therefore the objective of government is to protect the natural rights which individuals enjoyed in the state of nature. Locke defined these rights broadly to include the right to “life, liberty and estate.” Since individuals surrender some of their liberty in exchange for the better protection of their natural rights, it follows that the government must rule according to natural law.

The contributions of Natural Law theory to American political and legal thought have been significant. Its precepts on liberty and equality markedly influenced the development of

001 | SOURCE PAGE 3

READ → EXPLAIN → TEST

RULE

Positivism separates what law IS from what it OUGHT to be. Austin's command theory makes sovereign authority central. Identifying an unjust rule as law is not the same as morally endorsing it.

COMPARE

Modern natural-law writers in the note soften the classical law/morality connection. Jefferson's Declaration illustrates natural-rights influence. Do not confuse John Locke with John Austin.

VOCABULARY ON THIS PAGE

natural law — Theory that standards independent of human enactment bear on legal validity/legitimacy in the note.

positivism — Separates identifying positive law from judging what law morally ought to be.

SELF-TEST

Cover the notes. State the point of the marked passage, explain why it matters to the main question, and identify one fact or condition that would change the answer.

our laws and political institutions. For example, Thomas Jefferson wrote a classic statement of Natural Law principles in the Declaration of Independence:

We hold these truths to be self-evident,--that all men are created equal; that they are endowed by their creator with certain unalienable rights; that among these rights are life, liberty, and the pursuit of happiness.

These Natural Law theories, which at times have been theological, moral, legal and political, have been central to the development of international law, modern liberal political theory and the concept of human rights.

In recent years there has been a resurgence of Natural Law theory, partly in response to the challenge of Legal Positivism. The contemporary writers do not maintain that there is as strong a connection between law and morality as the classical Natural Law theorists held. However, these writers do not go as far as Legal Positivists who argue that there is no necessary connection between law and morality.

LEGAL POSITIVISM

Legal Positivism rejects the conception of law as a set of universal principles grounded in nature, religion or morality, and focuses on the conventional nature of law as dictated by the political authority. Legal Positivists insist on the need to distinguish positive law--the law *as it is*--from natural law--the law *as it ought to be*. They condemn Natural Law theorists precisely because they blur this apparently simple, but vital distinction.

John Austin, the nineteenth century English moral and legal philosopher, gave Legal Positivism its first systematic statement. Austin argued that the law consisted of the dictates of the political authority--the law is whatever the sovereign says the law is. Austin wrote:

Every Positive Law obtaining in any community, is a creature of the Sovereign or State; having been established immediately by the monarch or supreme body, as exercising legislative or judicial legislation, which the monarch or supreme body has expressly or tacitly conferred.

Austin's particular version of Legal Positivism is often called "the command theory of law" because he makes the concept of "command" central in his account of law, and maintains that all laws are commands.

The rise of Legal Positivism is often associated with the prominence of science in the nineteenth century and the aspirations of some legal scholars to produce a scientific theory of law. As it developed, this theory held that the law is the product of the authoritative premises of law--statutes and judicial decisions--combined with the determinative techniques of legal reasoning. Legal reasoning is the process by which lawyers and judges apply legal doctrine in concrete cases to reach legal conclusions. The methods of legal reasoning include logical reasoning, reasoning by analogy and reasoning based on public policy. Because judges work

001 | SOURCE PAGE 4

READ → EXPLAIN → TEST

RULE

Realist critique: premises can be vague/contradictory; legal reasoning can yield competing results. Judicial interpretation and nonlegal considerations matter. Holmes's "bad man" wants predictions of what courts will actually do.

VOCAB

Post-hoc rationalization means reasons supplied after the outcome is chosen. The note presents this as the realists' account, not an established finding that every judicial opinion is dishonest.

VOCABULARY ON THIS PAGE

realism — Emphasizes interpretation, judicial behavior, and nonlegal influences on decisions.

SELF-TEST

Cover the notes. State the point of the marked passage, explain why it matters to the main question, and identify one fact or condition that would change the answer.

from authoritative premises using the determinative techniques of legal reasoning, judicial decisions would, according to this theory, reflect the will of the political authority and not that of the judges themselves.

LEGAL REALISM

Legal Realism is jurisprudential movement that arose in the United States in the twentieth century and has had a profound impact not only on U.S. legal education and scholarship, but also on law reform and the practice of law itself. The movement was instigated not by legal philosophers, but by lawyers. These lawyers began to reject traditional notions that law was made by courts on the basis of authoritative premises of law combined with the determinative techniques of legal reasoning. Rather, they argued that law was made by courts based on the court's own determination of what a fair outcome should be under the facts of a particular case. Authoritative premises and legal reasoning, they argue, are post-hoc rationalizations used by courts for decisions which have actually been based on non-legal considerations.

Legal Realism is therefore, a rejection of the Legal Positivist approach to law. It employs a two-fold argument: first that the authoritative premises of law are not in fact authoritative, but are vague and contradictory and in many cases vary with the legal issues being discussed; second that legal reasoning is not determinative either, but that it can be manipulated easily by lawyers and judges to produce the legal results which they desire for other, non-legal reasons.

For Legal Realists, the law consists of the set of interpretive rules by which the courts decide cases. Legal Realists argue that it is those persons who have the authority to interpret legislation, not those who pass legislation, who ultimately determine what the law is. Furthermore, since the critique of the scientific approach to the law emphasizes that judicial decision-making can be easily manipulated, Legal Realists argue that the law itself changes as the judges change.

Oliver Wendell Holmes, Jr., America's most famous Supreme Court Justice and a leader in the Legal Realism movement, explained his conception of law in his article *Law as Predictions of What Courts Will Do*:

What constitutes the law? You will find some text writers telling you that it is something different from what is decided by the courts of Massachusetts or England, that it is a system of reason, that it is a deduction from principles of ethics or admitted axioms or what not, which may or may not coincide with the decisions. But if we take the view of our friend the bad man we shall find that he does not care two straws for the axioms or deductions, but that he does want to know what the Massachusetts or English courts are likely to do in fact. I am much of his mind. *The prophecies of what the courts will do in fact, and nothing more pretentious, are what I mean by the law* (emphasis added).

001 | SOURCE PAGE 5

READ → EXPLAIN → TEST

RULE

CLS attacks neutral, autonomous reasoning and determinacy; social power and value choices shape outcomes. Unlike a simple prediction project, it seeks to expose repression and contradictions in the existing order.

VOCAB

Indeterminacy: the legal materials do not compel one definite result. Two critiques: internal inconsistency/incompleteness/ambiguity; external linguistic/philosophical/historical critique.

VOCABULARY ON THIS PAGE

realism — Emphasizes interpretation, judicial behavior, and nonlegal influences on decisions.

SELF-TEST

Cover the notes. State the point of the marked passage, explain why it matters to the main question, and identify one fact or condition that would change the answer.

Holmes also ridiculed the idea that legal decisions are best understood as the product of authoritative premises and determinative techniques of legal reasoning. He argued that these tools actually allow judges considerable discretion in deciding cases, and the way in which a case is actually decided is more of a function of such factors as the judge's psychological temperament, social class, policy preferences and moral values, than the legal rules found in statutes or judicial decisions.

Thus for Legal Realists, the true basis for judicial decisions lies outside of legal rules, often outside of the legal order itself, located somewhere in the social and cultural temperament of those rendering legal decisions.

CRITICAL LEGAL STUDIES

Critical Legal Studies (CLS) was developed by a group of legal scholars who were products of the social, political and cultural upheavals of the 1960s and 1970s. CLS takes Legal Realism one step further. CLS is not concerned with establishing a rational system or structure of law. It is not concerned with making the outcome of cases more predictable. It is not even concerned with developing any general theories about the nature of law. Its broad aim is to expose the hollowness of claims for the rationality of the existing legal system. This is perceived as important because CLS scholars find that orthodox legal premises and legal reasoning, and the doctrines they produce hide the repressions, contradictions and alienating conditions of life in contemporary Western societies. CLS thus focuses on the role of social forces and power relations as the actual determinants of legal outcomes.

CLS presents a fundamental challenge to orthodox legal theory. CLS tries to establish the illegitimacy of the existing legal order by debunking law's pretensions to determinacy, neutrality, and objectivity. The movement is concerned with how people think and talk about law, not only as reflected in cases and statutes, but also in law school classrooms, in law journals, and in everyday life.

One central theme of the CLS critique of law which it shares with Legal Realism is an attack on formalism--the notion that there is an autonomous and neutral mode of 'legal reasoning' and 'rationality' through which lawyers and judges apply legal doctrine in concrete cases to reach results that are independent of their ethical ideals and political inclinations. Rather, CLS scholars argue that the law is indeterminate in that legal reasoning fails to compel or justify definite answers in legal disputes. CLS advances several sophisticated arguments to support this proposition. One form of critique takes the rules and arguments comprising existing legal doctrine and demonstrates how they are inconsistent, incomplete and ambiguous--and therefore indeterminate. A second form of critique stands outside the conventions of ordinary legal analysis and establishes indeterminacy by appealing to language, philosophy or history. For example, CLS has used modern linguistic theory and deconstructive techniques to show that the nature of language renders law indeterminate. For CLS scholars, this debunking of the myth of law's neutrality means that at every level, legal decisions involve value and

001 | SOURCE PAGE 6

READ → EXPLAIN → TEST

COMPARE

Duncan Kennedy: individual autonomy relies on collective coercion/security. Law and economics instead finds rationality through efficiency. Know the tension between freedom and the constraints making it possible.

RULE

Posner's concepts: scarcity; opportunity cost; movement from lower- to higher-value uses. Historical claim: common law has tended toward efficiency. Normative claim: judges SHOULD select efficient rules. These are different claims.

MAIN QUESTION

The economic approach's test: which rule induces efficient allocation? Use this as a lens on Swift's predictable custom or Popov's incentives, while labeling that connection as study analysis.

VOCABULARY ON THIS PAGE

realism — Emphasizes interpretation, judicial behavior, and nonlegal influences on decisions.

opportunity cost — Value of the alternative forgone when scarce resources are used one way rather than another.

SELF-TEST

Cover the notes. State the point of the marked passage, explain why it matters to the main question, and identify one fact or condition that would change the answer.

policy choices. In a very real sense, according to CLS, law is power politics.

A second central theme of the CLS critique is that the existing legal order rests on contradictory visions of human nature. Duncan Kennedy, a Harvard Law School professor and a leading figure in the CLS movement, has identified a “fundamental contradiction” in social relations between individual autonomy and communal force, between freedom and security--the contradiction that individual freedom and autonomy is possible only under conditions of collective constraint and coercion. CLS scholars have identified other parallel “central contradictions” embedded in the fabric of orthodox legal theory. These central contradictions lead them to conclude that the legal order is not neutral but politically conservative, hierarchical, and morally objectionable.

LAW AND ECONOMICS

Unlike Legal Realism and CLS, Law and Economics is a theory of jurisprudence that finds rationality in the existing legal order. This theory has both historical and normative arguments. The historical argument is that the development of Anglo-American common law doctrines can be understood as a continuing accommodation to changing social and economic circumstances by judges who interpret legal rules to produce economically efficient outcomes. An economically efficient outcome is one where resources are being allocated to produce a combination of goods and services that best meets the demands of the market. Therefore, Law and Economics scholars find an unstated and unrecognized *economic* rationality which underlies past judicial decisions.

The normative argument is that judges should give considerable weight to issues of efficiency in rendering judicial decisions. Judge Richard Posner, one of the foremost advocates of Law and Economics, argues that “man is a rational maximizer of his ends in life.” “Law should share this assumption and help to facilitate the process by which people create wealth.” Posner argues that law should be chosen to achieve economic efficiency. He posits three fundamental economic concepts that judges should use to guide their decisions. The first concept is the notion of “scarcity”--that there is a limited availability of resources relative to society’s unlimited demand for goods and services; the second is the concept of “opportunity cost” as a measure of the economic cost of using scarce resources; and the third is that individuals, through their economic decisions, tend to shift resources from lower-value uses to higher-value uses. When resources are being used where their value is the greatest, they are being employed efficiently and social wealth is maximized.

On the basis of economic arguments, Posner claims that the ultimate question which should be addressed in many judicial proceedings is: what legal rule will lead individuals to allocate resources efficiently?

Therefore, according to the proponents of Law and Economics, the logic of economic analysis explains important aspects of the law as it is, and the law as it should be, regardless of what other scholars argue to be the actual determinants of judicial behavior. In this way Law

and Economics is a response to Legal Realist and Critical Legal Studies claims about the absence of rationality in legal decisions. Economic analysis is invoked to provide the rationality in the legal order those theories find wanting.

001 | SOURCE PAGE 7

READ → EXPLAIN → TEST

COMPARE

Final synthesis: economic rationality answers realism/CLS skepticism.
Retrieval drill: for each theory, identify source of validity, role of judge, relation to morality, and main criticism of rivals.

SELF-TEST

Cover the notes. State the point of the marked passage, explain why it matters to the main question, and identify one fact or condition that would change the answer.

003 Popov v Hayashi

MAIN QUESTION

Did Popov achieve possession or a right to possession while attempting to catch the baseball, sufficient to support conversion?

ANSWER / RESULT

Full possession was unproved, but unlawful interference created a qualified pre-possessionary interest. Innocent Hayashi obtained control subject to that interest. Equal undivided interests; sell the ball and split proceeds equally.

WHERE TO POINT ON THE ORIGINAL

Court's explicit "deciding question": source p. 3. Follow-on question and pre-possessionary rule: p. 6.

Reading route: source page → what to recover

p. 1 | fact: October 7, 2001

p. 2 | fact: seventeen

p. 3 | main question: The deciding question; rule: Wrongful purpose

p. 4 | rule: physical control; argument: complete control

p. 5 | compare: whalers

p. 6 | rule: pre-possessionary; trap: preponderance

p. 7 | reason: cloud on its title; example: prune growers

p. 8 | holding: proceeds divided equally

Cold-call checklist

State the precise issue → identify procedural posture → give the governing rule → name the facts doing legal work → explain the result and what remains undecided. For a note/article, substitute author's thesis, framework, examples, and limits for court holding.

C

(This case has been edited by
Professor G. Richard Shell
for use in Legal Studies 101)

Superior Court, San Francisco County, California.

Alex POPOV Plaintiff,
v.
Patrick HAYASHI Defendant

No. 400545.

Dec. 18, 2002.

OPINION BY: MCCARTHY, J.

FACTS

In 1927, Babe Ruth hit sixty home runs. That record stood for thirty four years until Roger Maris broke it in 1961 with sixty-one home runs. Mark McGwire hit seventy in 1998. On October 7, 2001, at PacBell Park in San Francisco, Barry Bonds hit number seventy-three. That accomplishment set a record which, in all probability, will remain unbroken for years into the future.

The event was widely anticipated and received a great deal of attention.

The ball that found itself at the receiving end of Mr. Bond's bat garnered some of that attention. Baseball fans in general, and especially people at the game, understood the importance of the ball. It was worth a great deal of money and whoever caught it would bask, for a brief period of time, in the reflected fame of Mr. Bonds.¹

With that in mind, many people who attended the game came prepared for the possibility that a record setting ball would be hit in their direction. Among this group were plaintiff Alex Popov and defendant Patrick Hayashi. They were unacquainted at the time. Both men brought baseball gloves, which they anticipated using if the ball came within their reach.

They, along with a number of others, positioned themselves in the arcade section of the ballpark. This is a standing room only area located near right field. It is in this general area that Barry Bonds hits the greatest number of home runs. The area was crowded with people on October 7, 2001 and access was restricted to those who held tickets for that section.

Barry Bonds came to bat in the first inning. With nobody on base and a full count, Bonds swung at a slow

¹ It has been suggested that the ball might sell for something in excess of \$1,000,000. [Editor's note: after the case was decided, the ball eventually sold for \$450,000.]

003 | SOURCE PAGE 1

READ → EXPLAIN → TEST

FACT

Barry Bonds's 73rd home run, PacBell Park, San Francisco; right-field arcade, standing room only. Both fans brought gloves. Prior records: Ruth 60, Maris 61, McGwire 70. Editor later reports \$450,000 sale, distinct from predicted \$1 million-plus.

SELF-TEST

Cover the notes. State the point of the marked passage, explain why it matters to the main question, and identify one fact or condition that would change the answer.

knuckleball. He connected. The ball sailed over the right-field fence and into the arcade.

Josh Keppel, a cameraman who was positioned in the arcade, captured the event on videotape. Keppel filmed much of what occurred from the time Bonds hit the ball until the commotion in the arcade had subsided. He was standing very near the spot where the ball landed and he recorded a significant amount of information critical to the disposition of this case.

In addition to the Keppel tape, seventeen percipient witnesses testified as to what they saw after the ball came into the stands. The testimony of these witnesses varied on many important points. Some of the witnesses had a good vantage point and some did not. Some appeared disinterested in the outcome of the litigation and others had a clear bias. Some remembered the events well and others did not. Some were encumbered by prior inconsistent statements which diminished their credibility.

The factual findings in this case are the result of an analysis of the testimony of all the witnesses as well as a detailed review of the Keppel tape. Those findings are as follows:

When the seventy-third home run ball went into the arcade, it landed in the upper portion of the webbing of a softball glove worn by Alex Popov. While the glove stopped the trajectory of the ball, it is not at all clear that the ball was secure. Popov had to reach for the ball and in doing so, may have lost his balance.

Even as the ball was going into his glove, a crowd of people began to engulf Mr. Popov. He was tackled and thrown to the ground while still in the process of attempting to complete the catch. Some people intentionally descended on him for the purpose of taking the ball away, while others were involuntarily forced to the ground by the momentum of the crowd.

Eventually, Mr. Popov was buried face down on the ground under several layers of people. At one point he had trouble breathing. Mr. Popov was grabbed, hit and kicked. People reached underneath him in the area of his glove. Neither the tape nor the testimony is sufficient to establish which individual members of the crowd were responsible for the assaults on Mr. Popov.

The videotape clearly establishes that this was an out of control mob, engaged in violent, illegal behavior. Although some witnesses testified in a manner inconsistent with this finding, their testimony is specifically rejected as being false on a material point.

Mr. Popov intended at all times to establish and maintain possession of the ball. At some point the ball left his glove and ended up on the ground. It is impossible to establish the exact point in time that this occurred or what caused it to occur.

Mr. Hayashi was standing near Mr. Popov when the ball came into the stands. He, like Mr. Popov, was involuntarily forced to the ground. He committed no wrongful act.²

While on the ground, he saw the loose ball. He picked it up, rose to his feet and put it in his pocket. Although the crowd was still on top of Mr. Popov, security guards had begun the process of physically pulling people off. Some people resisted those efforts. One person argued with an official and another had to be pulled off by his hair.

Mr. Hayashi kept the ball hidden. He asked Mr. Keppel to point the camera at him. At first, Mr. Keppel did not comply and Mr. Hayashi continued to hide the ball. Finally after someone else in the crowd asked Mr. Keppel to point the camera at Mr. Hayashi, Mr. Keppel complied. It was only at that point that Mr. Hayashi held the ball in the air for others to see. Someone made a motion for the ball and Mr. Hayashi put it back in his glove. It is clear that Mr.

² There is insufficient evidence [from the tape and testimony] that Mr. Hayashi assaulted Mr. Popov [to obtain the ball].

003 | SOURCE PAGE 2

READ → EXPLAIN → TEST

FACT

Evidence: Josh Keppel's videotape and 17 eyewitnesses, with variable credibility. Ball entered upper glove webbing, but security of catch is uncertain. Hayashi committed no wrongful act; do not label him a member of the assaulting mob.

VOCABULARY ON THIS PAGE

possession — Control plus intent, with required control shaped by legal context; compare baseball, whale, and salvage.

SELF-TEST

Cover the notes. State the point of the marked passage, explain why it matters to the main question, and identify one fact or condition that would change the answer.

Hayashi was concerned that someone would take the ball away from him and that he was unwilling to show it until he was on videotape. Although he testified to the contrary, that portion of his testimony is unconvincing.

Mr. Popov eventually got up from the ground. He made several statements while he was on the ground and shortly after he got up which are consistent with his claim that he had achieved some level of control over the ball and that he intended to keep it. Those statements can be heard on the audio portion of the tape. When he saw that Mr. Hayashi had the ball he expressed relief and grabbed for it. Mr. Hayashi pulled the ball away.³ Security guards then took Mr. Hayashi to a secure area of the stadium.

It is important to point out what the evidence did not and could not show. Neither the camera nor the percipient witnesses were able to establish whether Mr. Popov retained control of the ball as he descended into the crowd. Mr. Popov's testimony on this question is inconsistent on several important points, ambiguous on others and, on the whole, unconvincing. We do not know when or how Mr. Popov lost the ball.

Perhaps the most critical factual finding of all is one that cannot be made. We will never know if Mr. Popov would have been able to retain control of the ball had the crowd not interfered with his efforts to do so. Resolution of that question is the work of a psychic, not a judge

LEGAL ANALYSIS

Plaintiff has pled a cause of action for conversion.

Conversion is the wrongful exercise of dominion over the personal property of another. There must be actual interference with the plaintiff's dominion. Wrongful withholding of property can constitute actual interference even where the defendant lawfully acquired the property. If a person entitled to possession of personal property demands its return, the unjustified refusal to give the property back is conversion. The act constituting conversion must be intentionally done. There is no requirement, however, that the defendant know that the property belongs to another or that the defendant intends to dispossess the true owner of its use and enjoyment. Wrongful purpose is not a component of conversion. The injured party may elect to seek either specific recovery of the property or monetary damages.

In the case at bar, Mr. Popov claims that Mr. Hayashi intentionally took it from him and refused to give it back. If there was a wrong, it is conversion.

Conversion does not exist, however, unless the baseball rightfully belongs to Mr. Popov. One who has neither title nor possession, nor any right to possession, cannot sue for conversion. The deciding question in this case then, is whether Mr. Popov achieved possession or the right to possession as he attempted to catch and hold on to the ball.

The parties have agreed to a starting point for the legal analysis. Prior to the time the ball was hit, it was possessed and owned by Major League Baseball. At the time it was hit it became intentionally abandoned property.⁴ The first person who came in possession of the ball became its new owner.

The parties fundamentally disagree about the definition of possession. In order to assist the court in resolving this disagreement, four distinguished law professors participated in a forum to discuss the legal definition of possession.⁵

³ Defense counsel has attempted to characterize this encounter as one in which Mr. Popov congratulates Mr. Hayashi for getting the ball and offers him a high five. This is an argument that only a true advocate could embrace.

⁴ See generally, *Fugitive Baseballs and Abandoned Property: Who Owns the Home Run Ball?*; Cardozo Law Review, May 2002, Paul Finkelman, (Chapman Distinguished Professor of Law).

⁵ They are Professor Brian E. Gray, University of California, Hastings College of the Law; Professor Roger Bernhardt, Golden Gate University School of Law; Professor Paul Finkelman, The Chapman Distinguished

003 | SOURCE PAGE 3

READ → EXPLAIN → TEST

MAIN QUESTION

HIGHLIGHT: possession OR right to possession at the attempted catch. Conversion requires an interest held by plaintiff; mere anger at the result is not enough. Court cannot know whether Popov would have completed the catch without interference.

RULE

Conversion: intentional act exercising wrongful dominion over another's personal property. Wrongful motive/knowledge of ownership is not necessary. Lawful acquisition can become wrongful withholding; title, possession, OR right to possession may support suit.

VOCABULARY ON THIS PAGE

conversion — Intentional exercise of dominion inconsistent with another's property/right to possession; Popov separates wrongful act from wrongful motive.

possession — Control plus intent, with required control shaped by legal context; compare baseball, whale, and salvage.

SELF-TEST

Cover the notes. State the point of the marked passage, explain why it matters to the main question, and identify one fact or condition that would change the answer.

The professors also disagreed.

The disagreement is understandable. Although the term possession appears repeatedly throughout the law, its definition varies depending on the context in which it is used. Various courts have condemned the term as vague and meaningless.

This level of criticism is probably unwarranted.

While there is a degree of ambiguity built into the term possession, that ambiguity exists for a purpose. Courts are often called upon to resolve conflicting claims of possession in the context of commercial disputes. A stable economic environment requires rules of conduct which are understandable and consistent with the fundamental customs and practices of the industry they regulate. Without that, rules will be difficult to enforce and economic instability will result. Because each industry has different customs and practices, a single definition of possession cannot be applied to different industries without creating havoc.

This does not mean that there are no central principles governing the law of possession. It is possible to identify certain fundamental concepts that are common to every definition of possession.

Professor Roger Bernhardt recognized that "[p]ossession requires both physical control over the item and an intent to control it or exclude others from it. But these generalizations function more as guidelines than as direct determinants of possession issues. Possession is a blurred question of law and fact."⁶

Professor Brown argues that "[t]he orthodox view of possession regards it as a union of the two elements of the physical relation of the possessor to the thing, and of intent. This physical relation is the actual power over the thing in question, the ability to hold and make use of it. But a mere physical relation of the possessor to the thing in question is not enough. There must also be manifested an intent to control it."⁷

The task of this court is to use these principles as a starting point to craft a definition of possession that applies to the unique circumstances of this case.

We start with the observation that possession is a process which culminates in an event. The event is the moment in time that possession is achieved. The process includes the acts and thoughts of the would be possessor which lead up to the moment of possession.

The focus of the analysis in this case is not on the thoughts or intent of the actor. Mr. Popov has clearly evidenced an intent to possess the baseball and has communicated that intent to the world. The question is whether he did enough to reduce the reduce the ball to his exclusive dominion and control. Were his acts sufficient to create a legally cognizable interest in the ball?

Mr. Hayashi argues that possession does not occur until the fan has complete control of the ball. Professor Brian Gray, suggests the following definition "A person who catches a baseball that enters the stands is its owner. A ball is caught if the person has achieved complete control of the ball at the point in time that the momentum of the ball and the momentum of the fan while attempting to catch the ball ceases. A baseball, which is dislodged by incidental contact with an inanimate object or another person, before momentum has ceased, is not possessed. Incidental

Professor of Law, The University of Tulsa School of Law; and Professor Jan Stiglitz, California Western School of Law.

⁶ *Property in a Nutshell*, Roger Bernhardt and Ann M. Burkhart, chapter one, page 3

⁷ *Brown on Personal Property* (Callaghan and Company, 3rd Edition, 1975) section 2.6, page 21.

003 | SOURCE PAGE 4

READ → EXPLAIN → TEST

RULE

General possession = physical control plus manifested intent. Here intent is clear; sufficiency of control is disputed. Definition depends on industry context. A process culminates at the moment possession is achieved.

ARGUMENT

Gray's Rule: complete control after momentum of ball and fan ceases; incidental contact can defeat an incomplete catch. Incidental means unintended contact, not deliberate assault. Popov urges a less demanding rule.

VOCABULARY ON THIS PAGE

possession — Control plus intent, with required control shaped by legal context; compare baseball, whale, and salvage.

SELF-TEST

Cover the notes. State the point of the marked passage, explain why it matters to the main question, and identify one fact or condition that would change the answer.

contact with another person is contact that is not intended by the other person. The first person to pick up a loose ball and secure it becomes its possessor." [Hereinafter referred to as Gray's Rule.]

Mr. Popov argues that this definition is too strict because it requires that a person seeking to establish possession must show unequivocal dominion and control, a standard rejected by several leading cases.⁸ Instead, he offers the perspectives of Professor Bernhardt and Professor Paul Finkelman, who suggest that possession occurs when an individual intends to take control of a ball and manifests that intent by stopping the forward momentum of the ball whether or not complete control is achieved.

Professors Finkelman and Bernhardt have correctly pointed out that some cases recognize possession even before absolute dominion and control is achieved. Those cases require the actor to be actively and ably engaged in efforts to establish complete control.⁹ Moreover, such efforts must be significant and they must be reasonably calculated to result in unequivocal dominion and control at some point in the near future.

This rule is applied in cases involving the hunting or fishing of wild animals or the salvage of sunken vessels. The hunting and fishing cases recognize that a mortally wounded animal may run for a distance before falling. The hunter acquires possession upon the act of wounding the animal not the eventual capture. Similarly, whalers acquire possession by landing a harpoon, not by subduing the animal.¹⁰

In the salvage cases, an individual may take possession of a wreck by exerting as much control "as its nature and situation permit". Inadequate efforts, however, will not support a claim of possession. Thus, a "sailor cannot assert a claim merely by boarding a vessel and publishing a notice, unless such acts are coupled with a then present intention of conducting salvage operations, and he immediately thereafter proceeds with activity in the form of constructive steps to aid the distressed party."¹¹

These rules are contextual in nature. They are crafted in response to the unique nature of the conduct they seek to regulate. Moreover, they are influenced by the custom and practice of each industry. The reason that absolute dominion and control is not required to establish possession in the cases cited by Mr. Popov is that such a rule would be unworkable and unreasonable. The "nature and situation" of the property at issue does not immediately lend itself to unequivocal dominion and control. It is impossible to wrap ones arms around a whale, a fleeing fox or a sunken ship.

⁸ *Pierson v. Post* 3 Caines R. (N.Y.1805)(possession of hunted wild animal established when "pursuer manifests an unequivocal intention of appropriating the animal to his individual use, has deprived him of his natural liberty, and brought him within his certain control"); *Young v. Hitchens* 6 Q.B. 606 (1844); *State v. Shaw* (1902) 67 Ohio St. 157, 65 N.E. 875.

⁹ The degree of control necessary to establish possession varies from circumstance to circumstance. "The law ... does not always require that one who discovers lost or abandoned property must actually have it in hand before he is vested with a legally protected interest. The law protects not only the title acquired by one who finds lost or abandoned property but also the right of the person who discovers such property, and is actively and ably engaged in reducing it to possession, to complete this process without interference from another. The courts have recognized that in order to acquire a legally cognizable interest in lost or abandoned property a finder need not always have manual possession of the thing. Rather, a finder may be protected by taking such constructive possession of the property as its nature and situation permit." *Treasure Salvors Inc. v. The Unidentified Wrecked and Abandoned Sailing Vessel* (1981) 640 F.2d 560, 571. (emphasis added)

¹⁰ *Swift v. Gifford* 23 F. Cas. 558 (D.Mass.1872)

¹¹ *Brady v. S.S. African Queen* 179 F.Supp. 321, 324 (E.D.Va., 1960)

003 | SOURCE PAGE 5

READ → EXPLAIN → TEST

COMPARE

Wild-animal and salvage cases permit control adapted to the thing's nature. A whale/ship cannot be grasped like a ball. Active, able, significant efforts matter; a bare notice on a wreck does not suffice. Swift appears in footnote 10.

VOCABULARY ON THIS PAGE

possession — Control plus intent, with required control shaped by legal context; compare baseball, whale, and salvage.

SELF-TEST

Cover the notes. State the point of the marked passage, explain why it matters to the main question, and identify one fact or condition that would change the answer.

The opposite is true of a baseball hit into the stands of a stadium. Not only is it physically possible for a person to acquire unequivocal dominion and control of an abandoned baseball, but fans generally expect a claimant to have accomplished as much. The custom and practice of the stands creates a reasonable expectation that a person will achieve full control of a ball before claiming possession. There is no reason for the legal rule to be inconsistent with that expectation. Therefore Gray's Rule is adopted as the definition of possession in this case.

The central tenant of Gray's Rule is that the actor must retain control of the ball after incidental contact with people and things. Mr. Popov has not established by a preponderance of the evidence that he would have retained control of the ball after all momentum ceased and after any incidental contact with people or objects. Consequently, he did not achieve full possession.

That finding, however, does not resolve the case.¹² The reason we do not know whether Mr. Popov would have retained control of the ball is not because of incidental contact. It is because he was attacked. His efforts to establish possession were interrupted by the collective assault of a band of wrongdoers.

A decision which ignored that fact would endorse the actions of the crowd by not repudiating them. Judicial rulings, particularly in cases that receive media attention, affect the way people conduct themselves. This case demands vindication of an important principle. We are a nation governed by law, not by brute force.

As a matter of fundamental fairness, Mr. Popov should have had the opportunity to try to complete his catch unimpeded by unlawful activity. To hold otherwise would be to allow the result in this case to be dictated by violence. That will not happen.

For these reasons, the analysis cannot stop with the valid observation that Mr. Popov has not proved full possession.

The legal question presented at this point is whether an action for conversion can proceed where the plaintiff has failed to establish possession or title. It can. An action for conversion may be brought where the plaintiff has title, possession or the right to possession.

Here Mr. Popov seeks, in effect, a declaration that he has either possession or the right to possession. In addition he seeks the remedies of injunctive relief and a constructive trust. These are all actions in equity. A court sitting in equity has the authority to fashion rules and remedies designed to achieve fundamental fairness.

Consistent with this principle, the court adopts the following rule. Where an actor undertakes significant but incomplete steps to achieve possession of a piece of abandoned personal property and the effort is interrupted by the unlawful acts of others, the actor has a legally cognizable "pre-possessionary interest" in the property. That pre-possessionary interest constitutes a qualified right to possession which can support a cause of action for conversion.

Possession can be likened to a journey down a path. Mr. Popov began his journey unimpeded. He was fast approaching a fork in the road. A turn in one direction would lead to possession of the ball --- he would complete the catch. A turn in the other direction would result in a failure to achieve possession --- he would drop the ball. Our problem is that before Mr. Popov got to the point where the road forked, he was set upon by a gang of bandits, who dislodged the ball from his grasp.

Recognition of a legally protected pre-possessionary interest, vests Mr. Popov with a qualified right to possession and enables him to advance a legitimate claim to the baseball based on a conversion theory. Moreover it addresses the

¹² Professor Gray has suggested that the way to deal with this problem is to demand that Mr. Popov sue the people who assaulted him. This suggestion is unworkable for a number of reasons. First, it was an attack by a large group of people. It is impossible to separate out the people who were acting unlawfully from the people who were involuntarily pulled into the mix. Second, in order to prove damages related to the loss of the ball, Mr. Popov would have to prove that but for the actions of the crowd he would have achieved possession of the ball. As noted earlier, this is impossible.

003 | SOURCE PAGE 6

READ → EXPLAIN → TEST

RULE

Three key conditions: significant but incomplete steps; abandoned personal property; unlawful interference. Result is a QUALIFIED right supporting conversion, not proof of completed possession.

TRAP

Popov fails to establish full possession by preponderance, but analysis continues in equity. Court refuses to let mob violence dictate ownership. Suing unidentified assailants would not solve proof of the hypothetical completed catch.

VOCABULARY ON THIS PAGE

conversion — Intentional exercise of dominion inconsistent with another's property/right to possession; Popov separates wrongful act from wrongful motive.

possession — Control plus intent, with required control shaped by legal context; compare baseball, whale, and salvage.

SELF-TEST

Cover the notes. State the point of the marked passage, explain why it matters to the main question, and identify one fact or condition that would change the answer.

harm done by the unlawful actions of the crowd.

It does not, however, address the interests of Mr. Hayashi. The court is required to balance the interests of all parties.

Mr. Hayashi was not a wrongdoer. He was a victim of the same bandits that attacked Mr. Popov. The difference is that he was able to extract himself from their assault and move to the side of the road. It was there that he discovered the loose ball. When he picked up and put it in his pocket he attained unequivocal dominion and control.

If Mr. Popov had achieved complete possession before Mr. Hayashi got the ball, those actions would not have divested Mr. Popov of any rights, nor would they have created any rights to which Mr. Hayashi could lay claim. Mr. Popov, however, was able to establish only a qualified pre-possessionary interest in the ball. That interest does not establish a full right to possession that is protected from a subsequent legitimate claim.

On the other hand, while Mr. Hayashi appears on the surface to have done everything necessary to claim full possession of the ball, the ball itself is encumbered by the qualified pre-possessionary interest of Mr. Popov. At the time Mr. Hayashi came into possession of the ball, it had, in effect, a cloud on its title.

An award of the ball to Mr. Popov would be unfair to Mr. Hayashi. It would be premised on the assumption that Mr. Popov would have caught the ball. That assumption is not supported by the facts. An award of the ball to Mr. Hayashi would unfairly penalize Mr. Popov. It would be based on the assumption that Mr. Popov would have dropped the ball. That conclusion is also unsupported by the facts.

Both men have a superior claim to the ball as against all the world. Each man has a claim of equal dignity as to the other. We are, therefore, left with something of a dilemma.

THE REMEDY

Thankfully, there is a middle ground to be found in the concept of equitable division.

The concept of equitable division has its roots in ancient Roman Law. It is useful in that it provides an equitable way to resolve competing claims which are equally strong. Moreover, it comports with what one instinctively feels to be fair.”

Although there is no California case directly on point, *Arnold v. Producers Fruit Company* (1900) 128 Cal. 637, 61 P. 283 provides some insight. There, a number of different prune growers contracted with Producer's Fruit Company to dry and market their product. Producers did a bad job. They mixed fruit from many different growers together in a single bin and much of the fruit rotted because it was improperly treated.

When one of the plaintiffs offered proof that the fruit in general was rotten, Producers objected on the theory that the plaintiff could not prove that the prunes he contributed to the mix were the same prunes that rotted. The court concluded that it did not matter. After the mixing was done, each grower had an undivided interest in the whole, in proportion to the amount of fruit each had originally contributed.

The principle at work here is that where more than one party has a valid claim to a single piece of property, the court will recognize an undivided interest in the property in proportion to the strength of the claim.

Application of the principle of equitable division is illustrated in the case of *Keron v. Cashman* (1896) 33 A. 1055. In that case, five boys were walking home along a railroad track in the city of Elizabeth New Jersey. The youngest of the boys came upon an old sock that was tied shut and contained something heavy. He picked it up and swung it. The oldest boy took it away from him and beat the others with it. The sock passes from boy to boy. Each controlled it for a short time. At some point in the course of play, the sock broke open and out spilled \$775 as well as some rags, cloths and ribbons.

The court noted that possession requires both physical control and the intent to reduce the property to one's possession. Control and intent must be concurrent. None of the boys intended to take possession until it became apparent that the sock contained money. Each boy had physical control of the sock at some point before that

003 | SOURCE PAGE 7

READ → EXPLAIN → TEST

REASON

Hayashi is innocent and gained unequivocal control. Popov's qualified interest encumbers it; neither party can prove a superior claim against the other. Giving either everything assumes an unknowable counterfactual.

EXAMPLE

Arnold: mixed prunes produce proportional undivided interests. Keron: five boys, sock with \$775, no superior concurrent control/intent. Equitable division follows strength of claims, not automatically whoever touched first.

VOCABULARY ON THIS PAGE

possession — Control plus intent, with required control shaped by legal context; compare baseball, whale, and salvage.

pre-possessionary interest — Popov's qualified right after significant incomplete possession efforts interrupted unlawfully.

SELF-TEST

Cover the notes. State the point of the marked passage, explain why it matters to the main question, and identify one fact or condition that would change the answer.

discovery was made.

Because none could present a superior claim of concurrent control and intent, the court held that each boy was entitled to an equal share of the money. Their legal claims to the property were of equal quality, therefore their entitlement to the property was also equal.

Here, the issue is not intent, or concurrence. Both men intended to possess the ball at the time they were in physical contact with it. The issue, instead, is the legal quality of the claim. With respect to that, neither can present a superior argument as against the other.

Mr. Hayashi's claim is compromised by Mr. Popov's pre-possessionary interest. Mr. Popov cannot demonstrate full control. Albeit for different reasons, they stand before the court in exactly the same legal position as did the five boys. Their legal claims are of equal quality and they are equally entitled to the ball.

The court therefore declares that both plaintiff and defendant have an equal and undivided interest in the ball. Plaintiff's cause of action for conversion is sustained only as to his equal and undivided interest. In order to effectuate this ruling, the ball must be sold and the proceeds divided equally between the parties.

The parties are ordered to meet and confer forthwith before Judge Richard Kramer to come to an agreement as to how to implement this decision. If no decision is made by December 30, 2002, the parties are directed to appear before this court on that date at 9:00 am.

The court retains jurisdiction to issue orders consistent with this decision. The ball is to remain in the custody of the court until further order.

003 | SOURCE PAGE 8

READ → EXPLAIN → TEST

HOLDING

Equal undivided interests; conversion sustained only to Popov's share. Ball sold, proceeds divided equally, court retains custody/jurisdiction pending implementation. Equal claims - not uncertainty alone - support this remedy.

VOCABULARY ON THIS PAGE

conversion — Intentional exercise of dominion inconsistent with another's property/right to possession; Popov separates wrongful act from wrongful motive.

pre-possessionary interest — Popov's qualified right after significant incomplete possession efforts interrupted unlawfully.

SELF-TEST

Cover the notes. State the point of the marked passage, explain why it matters to the main question, and identify one fact or condition that would change the answer.

004 Swift v Gifford

MAIN QUESTION

Should the whaling trade's first-iron usage determine title despite the general rule requiring complete possession of a wild animal?

ANSWER / RESULT

Yes for this reasonable, longstanding, industry-wide usage governing continuing pursuit. Rainbow's first iron remained; Hercules's owners fail to prove title. Libel dismissed with costs.

WHERE TO POINT ON THE ORIGINAL

Court's controlling formulation: source p. 1, "The decision, therefore, must turn on the validity of the usage."

Reading route: source page → what to recover

p. 1 | main question: must turn on the validity; fact: Rainbow; rule: actual and complete

p. 2 | compare: line remains fast; rule: reasonable; trap: divisible

p. 3 | reason: entire business; holding: dismiss their cause

Cold-call checklist

State the precise issue → identify procedural posture → give the governing rule → name the facts doing legal work → explain the result and what remains undecided. For a note/article, substitute author's thesis, framework, examples, and limits for court holding.

23 F.Cas. 558
2 Low. 110, No. 13,696
(Cite as: 23 F.Cas. 558)

Page 1

Legal Studies 101
Case edited

District Court, D. Massachusetts.

SWIFT et al.
v.
GIFFORD.

March, 1872.

Libel by [W. C. N. Swift and others], the owners of the ship Hercules, against the agent and managing owner of the Rainbow, both whale-ships of New Bedford, for the value of a whale killed in the Okhotsk Sea by the boats of the Hercules, and claimed by the master of the Rainbow, and taken and appropriated by him, because one of his harpoons, with a line attached to it, was found fastened in the animal when he was killed. The evidence tended to show that the boats of the respondents raised and made fast to the whale, but he escaped, dragging the iron and line, and so far outran his pursuers that the boats' crews of the Hercules did not know that any one had attacked or was pursuing the whale when they, being to windward, met and captured him; that the master of the Rainbow was, in fact, pursuing, and came up before the whale had rolled over, and said that one of his irons would be found in it, which proved to be true; and he thereupon took the prize. The parties filed a written stipulation that witnesses of competent experience would testify, that, during the whole time of memory of the oldest masters of whaling-ships, the usage had been uniform in the whale-fishery of Nantucket and New Bedford that a whale belonged to the vessel whose iron first remained in it, provided claim was made before cutting in. There were witnesses on the stand who confirmed the existence of the usage, and who extended it to all whalers in these seas; and there was nothing offered to oppose this testimony. The only disputed question of fact or opinion was concerning the reasonable probability that the whale would have been captured by the Rainbow, if the boats of the Hercules had not come up. The value of the whale was said to be about \$3,000.

LOWELL, District Judge.

The rule of the common law, borrowed probably from the Roman law, is, that the property in a wild animal is not acquired by wounding him, but that nothing short of actual and complete possession will avail. This is recognized in all the cases concerning whales cited at the bar, as well as in the authorities given under the first point. Whether the modern civil law has introduced the modification that a fresh pursuit with reasonable prospect of success shall give title to the pursuer, does not seem to be wholly free from doubt, though the ancient commentators rejected such a distinction, for the satisfactory reason that it would only introduce uncertainty and confusion into a rule that ought to be clear and unmistakable. See 16 Poth. Pandects, p. 550, lib. 41, tit. 1; Gaius, by Tompkins & Lemon, p. 270. I do not follow up this inquiry; because it would be impossible for me to say that the crew represented by the respondent, though continuing the chase, had more than a possibility of success.

The decision, therefore, must turn on the validity of the usage, without regard to the chances of success which the respondent's crew had when the others came up. It is not disputed that the whalers of this state, who have for many years past formed, I suppose, a very large proportion of all those who follow this dangerous trade in the Arctic seas, and perhaps all other Americans, have for a very long time recognized a custom by which the iron holds the whale, as they express it. The converse of the proposition is that a whale which is found adrift, though with an iron in it, belongs to the finder, if it can

Copr. © West 2004 No Claim to Orig. U.S. Govt. Works

004 | SOURCE PAGE 1

READ → EXPLAIN → TEST

MAIN QUESTION

THIS controls the case: validity of the usage. The court declines to base title on Rainbow's uncertain chance of capture. Distinguish the disputed factual probability from the dispositive legal question.

FACT

Rainbow first harpooned; iron and line remained but whale escaped. Hercules killed/captured without initially knowing of pursuit. Rainbow arrived and claimed before cutting in. Parties: Hercules owners are libellants; Gifford represents Rainbow.

RULE

Baseline rule: wounding a wild animal does not ordinarily give title; actual complete possession required. Trade usage supplies a context-specific departure. "Libel" here is an admiralty pleading, not defamation.

VOCABULARY ON THIS PAGE

possession — Control plus intent, with required control shaped by legal context; compare baseball, whale, and salvage.

usage — Established trade practice; Swift tests whether the particular custom deserves legal effect.

SELF-TEST

Cover the notes. State the point of the marked passage, explain why it matters to the main question, and identify one fact or condition that would change the answer.

be cut in before demand made. The usage of the English and Scotch whalers in the Northern fishery, as shown by the cases, is, that the iron holds the whale only while the line remains fast to the boat; and the result is, that every loose whale, dead or alive, belongs to the finder or taker, if there be but one such.

The validity of the usage is denied by the libellants, as overturning a plain and well-settled rule of property. The cases cited in the argument prove a growing disposition on the part of the courts to reject local usages when they tend to control or vary an explicit contract or a fixed rule of law. Thus Story, J., in *The Reeside* [Case No. 11,657], says, 'I own myself no friend to the almost indiscriminate habit of late years of setting up particular usages or customs in almost all kinds of business and trade, to control, vary, or annul the general liabilities of parties under the common law, as well as the commercial law. It has long appeared to me that there is no small danger in admitting such loose and inconclusive usages and customs, often unknown to particular parties, and liable to great misunderstandings and misinterpretations and abuses, to outweigh the well-known and well-settled principles of law.' Many similar remarks of eminent judges might be cited. But in the application of these general views it will be found difficult to ascertain what is considered a principle of law that cannot be interfered with. Principles of law differ in their importance as well as in their origin; and while some of them represent great rules of policy, and are beyond the reach of convention, others may be changed by parties who choose to contract upon a different footing; and some of them may be varied by usage, which, if general and long established, is equivalent to a contract. Thus in *Wigglesworth v. Dallison*, 1 Doug. 201, which Mr. Smith has selected as a leading case, the law gave the crops of an outgoing tenant to his landlord; but the custom which made them the property of the tenant was held to be valid.

The rule of law invoked in this case is one of very limited application. The whale fishery is the only branch of industry of any importance in which it is likely to be much used; and if a usage is found to prevail generally in that business, it will not be open to the objection that it is likely to disturb the general understanding of mankind by *560 the interposition of an arbitrary exception. Then the application of the rule of law itself is very difficult, and the necessity for greater precision is apparent. Suppose two or three boats from different ships make fast to a whale, how is it to be decided which was the first to kill it? Every judge who has dealt with this subject has felt the importance of upholding all reasonable usages of the fishermen, in order to prevent dangerous quarrels in the division of their spoils. In *Fennings v. Lord Grenville*, 1 Taunt. 241, evidence was offered of a custom in the Southern fishery for the contending ships to divide the whale equally between them. This custom, which differed entirely from that prevailing in the North Atlantic, was yet thought to be not unreasonable. Chambre, J., said, 'I remember the first case on the usage which was had before Lord Mansfield, who was clear that every person was bound by it, and who said, that were it not for such a custom there would be a sort of warfare perpetually subsisting between the adventurers.' The case went off upon a question of pleading, and the custom was not passed upon, but it is clear that it was thought to be valid. In the other cases cited, the usage first above mentioned was found to be valid. In the case of *Bartlett v. Budd* [Case No. 1,075], the respondents claimed title to a whale by reason of having found it, though it had been not only killed, but carefully anchored, by the libellants. I there intimated a doubt of the reasonableness of a usage in favor of the larceny of a whale under such circumstances. And I still think that some parts of the asserted usage could hardly be maintained. If it were proved that one vessel had become fully possessed of a whale, and had afterwards lost or left it, with a reasonable hope of recovery, it would seem unreasonable that the finder should acquire the title merely because he is able to cut in the animal before it is reclaimed. And, on the other hand, it would be difficult to admit that the mere presence of an iron should be full evidence of property, no matter when or under what circumstances it may have been affixed. But the usage being divisible in its nature, it seems to me, that, so far as it relates to the conduct of the men of different vessels in actual pursuit of a whale, and prescribes that he who first strikes it so effectually that the iron remains fast should have the better right, the pursuit still continuing, it is reasonable, though merely conventional, and ought to be upheld. In *Bourne v. Ashley* [supra], determined in June, 1863, but not printed, Judge

004 | SOURCE PAGE 2

READ → EXPLAIN → TEST

COMPARE

English/Scotch northern practice required line attached to boat; American usage allowed first iron to hold during pursuit despite detachment. Do not substitute one fishery's custom for another's.

RULE

Custom must be reasonable, established, general, and suited to the trade; not every fixed public-policy rule can be displaced. Precision prevents dangerous quarrels and uncertainty over which boat killed the whale.

TRAP

Court validates the pursuit-related portion, not every asserted custom. It doubts taking an already possessed/anchored whale or treating any ancient embedded iron as conclusive. This is a limited holding.

VOCABULARY ON THIS PAGE

usage — Established trade practice; Swift tests whether the particular custom deserves legal effect.

libellants — Parties bringing the admiralty claim in Swift; not a reference to defamatory speech.

SELF-TEST

Cover the notes. State the point of the marked passage, explain why it matters to the main question, and identify one fact or condition that would change the answer.

Sprague, whose experience in this class of cases was very great, found the custom to be established, and decided the cause in favor of the libellants, because they owned the first iron, though the whale was killed by the crew of the other vessel, or by those of both together. Mr. Stetson, of counsel in that case, has kindly furnished me with a note of the opinion taken down by him at the time, and I have carefully compared it with the pleadings and depositions on file, and am satisfied that the precise point was in judgment. The learned judge is reported to have said that the usage for the first iron, whether attached to the boat or not, to hold the whale, was fully established, and that one witness carried it back to the year 1800. He added, that, although local usages of a particular port ought not to be allowed to set aside the general maritime law, this objection did not apply to a custom which embraced an entire business, and had been concurred in for a long time by every one engaged in that trade.

In this case the parties all understood the custom, and the libellants' master yielded the whale in conformity to it. If the pursuit of the Rainbow had been clearly understood in the beginning, no doubt the other vessel would not have taken the trouble to join in it, and the usage would have had its appropriate and beneficial effect. In the actual circumstances, it is a hard case for the libellants; but as they have not sustained their title, I must dismiss their cause, and, in consideration of the point being an old one in this court, with costs.

004 | SOURCE PAGE 3

READ → EXPLAIN → TEST

REASON

Bourne supports the first-iron rule and long usage, with evidence back to 1800. An entire-trade custom is different from a parochial port practice. Both parties understood the custom.

HOLDING

Hercules's labor and hardship do not prove title against the accepted rule. Cause dismissed with costs. Link to Popov: workable possession depends on the object and setting, not one universal physical-control test.

VOCABULARY ON THIS PAGE

usage — Established trade practice; Swift tests whether the particular custom deserves legal effect.

libellants — Parties bringing the admiralty claim in Swift; not a reference to defamatory speech.

SELF-TEST

Cover the notes. State the point of the marked passage, explain why it matters to the main question, and identify one fact or condition that would change the answer.

005 Four Kinds Of Intellectual Property In The US

MAIN QUESTION

What does each of the four intellectual-property categories protect, and what conditions distinguish them?

ANSWER / RESULT

Patent: inventions; trade secret: competitively valuable secret information; copyright: fixed original expression; trademark: source-identifying signs. This handout is an overview, not a judicial decision.

WHERE TO POINT ON THE ORIGINAL

Author's organization: source p. 1, numbered categories. No court question exists in this reading.

Reading route: source page → what to recover

p. 1 | main question: FOUR KINDS; vocab: Patents; vocab: Trade Secrets; vocab: Copyright; vocab: Trademarks; trap: federal

Cold-call checklist

State the precise issue → identify procedural posture → give the governing rule → name the facts doing legal work → explain the result and what remains undecided. For a note/article, substitute author's thesis, framework, examples, and limits for court holding.



FOUR KINDS OF INTELLECTUAL PROPERTY IN THE U.S.

1. **Patents:** applies to the invention or discovery of a “process, machine, manufacture, or composition of matter or any new and useful improvement thereof.” Example: a new drug to cure the common cold. To obtain a patent, the applicant must show the U.S. Patent Office that the invention is new (never been invented before), useful (not some abstract math formula with no practical applications), and non-obvious (it contains something truly inventive and is not just an elementary advance in the art). All patents are matters of federal rather than state law.
2. **Trade Secrets:** applies to any information that is not generally known or readily ascertainable that provides a firm with competitive advantage, provided the information was developed through some investment by the owner and the owner takes reasonable steps to keep it secret. Examples: a privately developed customer list; the Coca-Cola formula. Trade secrets can be lost if, by fair and honest means, a competitor discovers the secret through investigation, “reverse-engineering” of a legally-acquired version of the product, or independent discovery. Trade secrets originated in the common law but are now governed in most states by state statutes based on the Uniform Trade Secret Act.
3. **Copyright:** applies to all “original works of authorship fixed in any tangible medium of expression . . . from which can be perceived, reproduced, or otherwise communicated either directly or with the aid of a machine or device.” Examples: your notes from this lecture, a novel, a Matisse painting, an original song or advertising jingle. If you want to sue someone for violating a copyright (who has, for example, made and sold an unauthorized copy of your work), it helps to register the copyright with the U.S. Copyright Office. All copyrights arise under federal law. No special symbol or notice is required to claim copyright protection on a work. But such notice helps establish that a defendant’s actions were “willful” and enhances the damages available.
4. **Trademarks:** Any word, name, symbol or device or any combination thereof adopted and used by a manufacturer or merchant to identify and distinguish his goods.” (service marks apply to services – same definition) Examples: the “Wharton” logo, the Nike “swoosh,” “IBM” with characteristic typeface, “Apple” computers. Trademarks must be registered with the U.S. Patent and Trademark Office if you want to protect them fully. Trademarks arise under federal law.

005 | SOURCE PAGE 1

READ → EXPLAIN → TEST

MAIN QUESTION

STUDY QUESTION: identify the subject matter and conditions of each category. Do not invent a court holding for a one-page teaching handout. Use Alice for the more detailed patent-eligibility analysis.

VOCAB

Patent examples/requirements in handout: cold-curing drug; new, useful, non-obvious; federal law. Distinguish novelty/nonobviousness from Alice's separate §101 eligibility inquiry.

VOCAB

Examples: customer list, Coca-Cola formula. Not generally known/readily ascertainable; competitive advantage, investment, reasonable secrecy. Fair reverse engineering and independent discovery differ from DuPont's improper acquisition.

VOCAB

Original authorship fixed in a tangible medium; lecture notes, novel, Matisse painting, song/jingle. The handout says no special symbol is needed and discusses notice/registration. Treat it as a course overview, not a complete litigation checklist.

VOCAB

Identify/distinguish goods; service marks identify services. Visual-source examples: Wharton logo, Nike swoosh, IBM typeface, Apple computers. Source identification is the organizing concept; compare White's endorsement-confusion claim.

TRAP

This is the supplied handout's simplified account. It is not a comprehensive current statement of every federal/state IP right or registration requirement. White itself shows common-law publicity rights beyond these four boxes.

SELF-TEST

Cover the notes. State the point of the marked passage, explain why it matters to the main question, and identify one fact or condition that would change the answer.

006 DuPont deNemours v Christopher

MAIN QUESTION

Has DuPont stated a claim - and specifically, is aerial photography of its plant under construction an improper means of obtaining its trade secret?

ANSWER / RESULT

Yes. Improper means need not independently be trespass, aviation illegality, or breach of confidence. Reasonable secrecy does not require an impenetrable fortress. Affirmed and remanded for merits proceedings.

WHERE TO POINT ON THE ORIGINAL

Procedural question: source p. 1, last paragraph. Substantive question expressly stated on p. 2 near the bottom.

Reading route: source page → what to recover

p. 1 | main question: only question involved; fact: Sixteen

p. 2 | main question: question remaining; rule: improper means

p. 3 | rule: reverse engineering; reason: roof over the unfinished

p. 4 | holding: proceedings on the merits

Cold-call checklist

State the precise issue → identify procedural posture → give the governing rule → name the facts doing legal work → explain the result and what remains undecided. For a note/article, substitute author's thesis, framework, examples, and limits for court holding.

Legal Studies 101
Case edited

United States Court of Appeals, Fifth Circuit.

E.I. duPONT deNEMOURS & COMPANY, Inc., Plaintiff-Appellee,
v.
Rolfe CHRISTOPHER et al., Defendants-Appellants.

No. 28254.

July 20, 1970, Rehearing Denied and Rehearing En Banc Denied Aug. 25, 1970.

GOLDBERG, Circuit Judge:

This is a case of industrial espionage in which an airplane is the cloak and a camera the dagger. The defendants-appellants, Rolfe and Gary Christopher, are photographers in Beaumont, Texas. The Christophers were hired by an unknown third party to take aerial photographs of new construction at the Beaumont plant of E. I. duPont deNemours & Company, Inc. Sixteen photographs of the DuPont facility were taken from the air on March 19, 1969, and these photographs were later developed and delivered to the third party.

DuPont employees apparently noticed the airplane on March 19 and immediately began an investigation to determine why the craft was circling over the plant. By that afternoon the investigation had disclosed that the craft was involved in a photographic expedition and that the Christophers were the photographers. DuPont contacted the Christophers that same afternoon and asked them to reveal the name of the person or corporation requesting the photographs. The Christophers refused to disclose this information, giving as their reason the client's desire to remain anonymous.

Having reached a dead end in the investigation, DuPont subsequently filed suit against the Christophers, alleging that the Christophers had wrongfully obtained photographs revealing DuPont's trade secrets which they then sold to the undisclosed third party. DuPont contended that it had developed a highly secret but unpatented process for producing methanol, a process which gave DuPont a competitive advantage over other producers. This process, DuPont alleged, was a trade secret developed after much expensive and time-consuming research, and a secret which the company had taken special precautions to safeguard. The area photographed by the Christophers was the plant designed to produce methanol by this secret process, and because the plant was still under construction parts of the process were exposed to view from directly above the construction area. Photographs of that area, DuPont alleged, would enable a skilled person to deduce the secret process for making methanol. DuPont thus contended that the Christophers had wrongfully appropriated DuPont trade secrets by taking the photographs and delivering them to the undisclosed third party. In its suit DuPont asked for damages to cover the loss it had already sustained as a result of the wrongful disclosure of the trade secret and sought temporary and permanent injunctions prohibiting any further circulation of the photographs already taken and prohibiting any additional photographing of the methanol plant.

The Christophers answered with motions to dismiss for lack of jurisdiction and failure to state a claim upon which relief could be granted. Depositions were taken during which the Christophers again refused to disclose the name of the person to whom they had delivered the photographs. DuPont then filed a motion to compel an answer to this question and all related questions.

On June 5, 1969, the trial court held a hearing on all pending motions [and] granted DuPont's motion to compel the Christophers to divulge the name of their client. Having made these rulings, the court then granted the Christophers' motion for an interlocutory appeal under 28 U.S.C.A. § 1292(b) to allow the Christophers to obtain immediate appellate review of the court's finding that DuPont had stated a claim upon which relief could be granted. Agreeing with the trial court's determination that DuPont had stated a valid claim, we affirm the decision of that court.

This is a case of first impression. The only question involved in this interlocutory appeal is whether DuPont has asserted a claim upon which relief can be granted. The Christophers argued both at trial and before this court that

006 | SOURCE PAGE 1

READ → EXPLAIN → TEST

MAIN QUESTION

PROCEDURAL question: claim upon which relief may be granted. This is an interlocutory appeal, not a final trial finding/award. Keep allegations about secret process and damage distinct from proved damages.

FACT

Rolfe and Gary Christopher; 16 aerial photographs, March 19, 1969, Beaumont, Texas. Unknown client; unpatented methanol process under construction. DuPont sought damages, injunctions, and disclosure of client identity.

VOCABULARY ON THIS PAGE

trade secret — Secret information carrying competitive value and reasonable protective efforts in the assigned materials.

interlocutory — Before final judgment; DuPont reviews claim sufficiency, leaving merits proceedings.

SELF-TEST

Cover the notes. State the point of the marked passage, explain why it matters to the main question, and identify one fact or condition that would change the answer.

they committed no 'actionable wrong' in photographing the DuPont facility and passing these photographs on to their client because they conducted all of their activities in public airspace, violated no government aviation standard, did not breach any confidential relation, and did not engage in any fraudulent or illegal conduct. In short, the Christophers argue that for an appropriation of trade secrets to be wrongful there must be a trespass, other illegal conduct, or breach of a confidential relationship. We disagree.

It is true, as the Christophers assert, that the previous trade secret cases have contained one or more of these elements. However, we do not think that trade secret protection [is limited] exclusively to these elements. On the contrary, in Hyde Corporation v. Huffines, 1958, 158 Tex. 566, 314 S.W.2d 763, the Texas Supreme Court specifically adopted the rule found in the Restatement of Torts which provides:

'One who discloses or uses another's trade secret, without a privilege to do so, is liable to the other if (a) he discovered the secret by improper means, or (b) his disclosure or use constitutes a breach of confidence reposed in him by the other in disclosing the secret to him * * *.'

Restatement of Torts § 757 (1939).

Thus, although the previous cases have dealt with a breach of a confidential relationship, a trespass, or other illegal conduct, the rule is much broader than the cases heretofore encountered. Not limiting itself to specific wrongs, Texas adopted subsection (a) of the Restatement which recognizes a cause of action for the discovery of a trade secret by any 'improper' means.

The defendants, however, read Furr's Inc. v. United Specialty Advertising Co., Tex.Civ.App.1960, 338 S.W.2d 762, writ ref'd n.r.e., as limiting the Texas rule to breach of a confidential relationship. The court in Furr's did make the statement that

'The use of someone else's idea is not automatically a violation of the law. It must be something that meets the requirements of a 'trade secret' and has been obtained through a breach of confidence in order to entitle the injured party to damages and/or injunction. 338 S.W.2d at 766.

We think, however, that the exclusive rule which defendants have extracted from this statement is unwarranted. In the first place, in Furr's the court specifically found that there was no trade secret involved because the entire advertising scheme claimed to be the trade secret had been completely divulged to the public. Secondly, the court found that the plaintiff in the course of selling the scheme to the defendant had voluntarily divulged the entire scheme. Thus the court was dealing only with a possible breach of confidence concerning a properly discovered secret; there was never a question of any impropriety in the discovery or any other improper conduct on the part of the defendant. The court merely held that under those circumstances the defendant had not acted improperly if no breach of confidence occurred. We do not read Furr's as limiting the trade secret protection to a breach of confidential relationship when the facts of the case do raise the issue of some other wrongful conduct on the part of one discovering the trade secrets of another. If breach of confidence were meant to encompass the entire panoply of commercial improprieties, subsection (a) of the Restatement would be either surplusage or persiflage, an interpretation abhorrent to the traditional precision of the Restatement. We therefore find meaning in subsection (a) and think that the Texas Supreme Court clearly indicated by its adoption that there is a cause of action for the discovery of a trade secret by any 'improper means.' Hyde Corporation v. Huffines, supra.

The question remaining, therefore, is whether aerial photography of plant construction is an improper means of obtaining another's trade secret. We conclude that it is. The Supreme Court of [Texas] has declared that 'the undoubted tendency of the law has been to recognize and enforce higher standards of commercial morality in the business world.' Hyde Corporation v. Huffines, supra 314 S.W.2d at 773. That court has quoted with approval articles indicating that the proper means of gaining possession of a competitor's secret process is 'through inspection and analysis' of the product in order to create a duplicate. K & G Tool & Service Co. v. G & G Fishing Tool Service, 1958, 158 Tex. 594, 314 S.W.2d 782, 783, 788. Later another Texas court explained:

'The means by which the discovery is made may be obvious, and the experimentation leading from known factors to presently unknown results may be simple and lying in the public domain. But these facts do not destroy the value of

006 | SOURCE PAGE 2

READ → EXPLAIN → TEST

MAIN QUESTION

SUBSTANTIVE question: is this aerial photography improper acquisition?
Court says yes. Do not stop at "airspace was public." The controlling doctrine addresses commercial conduct, not merely aviation compliance.

RULE

Restatement §757 has distinct routes: improper discovery OR breach of confidence. Earlier cases do not exhaust the rule. Furr's concerned public/voluntary disclosure, not improper discovery; its broad language is read in context.

VOCABULARY ON THIS PAGE

trade secret — Secret information carrying competitive value and reasonable protective efforts in the assigned materials.

injunction — Court order requiring or prohibiting conduct; not the same as monetary damages.

SELF-TEST

Cover the notes. State the point of the marked passage, explain why it matters to the main question, and identify one fact or condition that would change the answer.

006 | SOURCE PAGE 3

READ → EXPLAIN → TEST

RULE

Permissible routes: reverse engineering finished product, independent research. Holder must take reasonable precautions; competitor cannot bypass that investment through improper acquisition. Not every way of learning about rivals is forbidden.

REASON

Roofing an unfinished plant would be enormously costly. Commercial morality/reasonableness makes "fortress" protection unnecessary. Compare Dow: same aerial theme but different parties, purpose, and governing right.

VOCABULARY ON THIS PAGE

trade secret — Secret information carrying competitive value and reasonable protective efforts in the assigned materials.

improper means — Wrongful acquisition can exceed a fixed list of trespass/fraud/confidence breaches; DuPont.

SELF-TEST

Cover the notes. State the point of the marked passage, explain why it matters to the main question, and identify one fact or condition that would change the answer.

431 F.2d 1012
166 U.S.P.Q. 421, 167 U.S.P.Q. 1
(Cite as: 431 F.2d 1012)

FOR EDUCATIONAL USE ONLY

Page 3

the discovery and will not advantage a competitor who by unfair means obtains the knowledge without paying the price expended by the discoverer.' Brown v. Fowler, Tex.Civ.App.1958, 316 S.W.2d 111, 114, writ ref'd n.r.e. (emphasis added).

We think, therefore, that the Texas rule is clear. One may use his competitor's secret process if he discovers the process by reverse engineering applied to the finished product; one may use a competitor's process if he discovers it by his own independent research; but one may not avoid these labors by taking the process from the discoverer without his permission at a time when he is taking reasonable precautions to maintain its secrecy. To obtain knowledge of a process without spending the time and money to discover it independently is improper unless the holder voluntarily discloses it or fails to take reasonable precautions to ensure its secrecy.

In the instant case the Christophers deliberately flew over the DuPont plant to get pictures of a process which DuPont had attempted to keep secret. The Christophers delivered their pictures to a third party who was certainly aware of the means by which they had been acquired and who may be planning to use the information contained therein to manufacture methanol by the DuPont process. The third party has a right to use this process only if he obtains this knowledge through his own research efforts, but thus far all information indicates that the third party has gained this knowledge solely by taking it from DuPont at a time when DuPont was making reasonable efforts to preserve its secrecy. In such a situation DuPont has a valid cause of action to prohibit the Christophers from improperly discovering its trade secret and to prohibit the undisclosed third party from using the improperly obtained information.

We note that this view is in perfect accord with the position taken by the authors of the Restatement. In commenting on improper means of discovery the savants of the Restatement said:

'f. Improper means of discovery. The discovery of another's trade secret by improper means subjects the actor to liability independently of the harm to the interest in the secret. Thus, if one uses physical force to take a secret formula from another's pocket, or breaks into another's office to steal the formula, his conduct is wrongful and subjects him to liability apart from the rule stated in this Section. Such conduct is also an improper means of procuring the secret under this rule. But means may be improper under this rule even though they do not cause any other harm than that to the interest in the trade secret. Examples of such means are fraudulent misrepresentations to induce disclosure, tapping of telephone wires, eavesdropping or other espionage. A complete catalogue of improper means is not possible. In general they are means which fall below the generally accepted standards of commercial morality and reasonable conduct.' Restatement of Torts § 757, comment f at 10 (1939).

In taking this position we realize that industrial espionage of the sort here perpetrated has become a popular sport in some segments of our industrial community. However, our devotion to free wheeling industrial competition must not force us into accepting the law of the jungle as the standard of morality expected in our commercial relations. Our tolerance of the espionage game must cease when the protections required to prevent another's spying cost so much that the spirit of inventiveness is dampened. Commercial privacy must be protected from espionage which could not have been reasonably anticipated or prevented. We do not mean to imply, however, that everything not in plain view is within the protected vale, nor that all information obtained through every extra optical extension is forbidden. Indeed, for our industrial competition to remain healthy there must be breathing room for observing a competing industrialist. A competitor can and must shop his competition for pricing and examine his products for quality, components, and methods of manufacture. Perhaps ordinary fences and roofs must be built to shut out incursive eyes, but we need not require the discoverer of a trade secret to guard against the unanticipated, the undetectable, or the unpreventable methods of espionage now available.

In the instant case DuPont was in the midst of constructing a plant. Although after construction the finished plant would have protected much of the process from view, during the period of construction the trade secret was exposed to view from the air. To require DuPont to put a roof over the unfinished plant to guard its secret would impose an enormous expense to prevent nothing more than a school boy's trick. We introduce here no new or radical ethic *1017 since our ethos has never given moral sanction to piracy. The market place must not deviate far from our mores. We should not require a person or corporation to take unreasonable precautions to prevent another from doing that which he ought not do in the first place. Reasonable precautions against predatory eyes we may require, but an impenetrable fortress is an unreasonable requirement, and we are not disposed to burden industrial inventors

with such a duty in order to protect the fruits of their efforts. 'Improper' will always be a word of many nuances, determined by time, place, and circumstances. We therefore need not proclaim a catalogue of commercial improprieties. Clearly, however, one of its commandments does say 'thou shall not appropriate a trade secret through deviousness under circumstances in which countervailing defenses are not reasonably available.'

Having concluded that aerial photography, from whatever altitude, is an improper method of discovering the trade secrets exposed during construction of the DuPont plant, we need not worry about whether the flight pattern chosen by the Christophers violated any federal aviation regulations. Regardless of whether the flight was legal or illegal in that sense, the espionage was an improper means of discovering DuPont's trade secret.

The decision of the trial court is affirmed and the case remanded to that court for proceedings on the merits.

431 F.2d 1012, 166 U.S.P.Q. 421, 167 U.S.P.Q. 1

END OF DOCUMENT

006 | SOURCE PAGE 4

READ → EXPLAIN → TEST

HOLDING

Affirmed and remanded for merits proceedings. Aviation legality does not determine propriety. Court declines a complete catalogue of improper means; time, place, circumstances matter.

VOCABULARY ON THIS PAGE

trade secret — Secret information carrying competitive value and reasonable protective efforts in the assigned materials.

improper means — Wrongful acquisition can exceed a fixed list of trespass/fraud/confidence breaches; DuPont.

SELF-TEST

Cover the notes. State the point of the marked passage, explain why it matters to the main question, and identify one fact or condition that would change the answer.

007 Alice Corp v CLS Banking International

MAIN QUESTION

Are the computer-implemented settlement claims patent eligible under 35 U.S.C. §101, or are they claims to an ineligible abstract idea?

ANSWER / RESULT

Ineligible. Intermediated settlement is an abstract idea; generic computer implementation supplies no inventive concept. The method, system, and media claims all fail. Federal Circuit affirmed.

WHERE TO POINT ON THE ORIGINAL

Court's express question: source p. 4, opening paragraph (opinion p. 1). The syllabus on pp. 1-3 is the Reporter's summary, not the opinion.

Reading route: source page → what to recover

- p. 1 | posture: syllabus constitutes no part
- p. 2 | rule: ordered combination
- p. 3 | holding: system and media claims
- p. 4 | main question: The question presented is whether
- p. 5 | fact: shadow
- p. 6 | fact: sufficient resources
- p. 7 | posture: equally divided vote
- p. 8 | rule: Laws of nature
- p. 9 | reason: Monopolization
- p. 10 | rule: inventive concept
- p. 11 | compare: hedging
- p. 12 | reason: fundamental economic practice
- p. 13 | trap: precise contours
- p. 14 | rule: additional features
- p. 15 | compare: curing rubber
- p. 16 | rule: apply it with a computer
- p. 17 | application: They do not
- p. 18 | application: electronic recordkeeping
- p. 19 | trap: draftsman
- p. 20 | holding: affirmed
- p. 21 | separate opinion: method of doing business

Cold-call checklist

State the precise issue → identify procedural posture → give the governing rule → name the facts doing legal work → explain the result and what remains undecided. For a note/article, substitute author's thesis, framework,

examples, and limits for court holding.

(Slip Opinion) OCTOBER TERM, 2013 1

Syllabus

NOTE: Where it is feasible, a syllabus (headnote) will be released, as is being done in connection with this case, at the time the opinion is issued. The syllabus constitutes no part of the opinion of the Court but has been prepared by the Reporter of Decisions for the convenience of the reader. See *United States v. Detroit Timber & Lumber Co.*, 200 U. S. 321, 337.

SUPREME COURT OF THE UNITED STATES

Syllabus

ALICE CORPORATION PTY. LTD. *v.* CLS BANK
INTERNATIONAL ET AL.

CERTIORARI TO THE UNITED STATES COURT OF APPEALS FOR
THE FEDERAL CIRCUIT

No. 13–298. Argued March 31, 2014—Decided June 19, 2014

Petitioner Alice Corporation is the assignee of several patents that disclose a scheme for mitigating “settlement risk,” *i.e.*, the risk that only one party to an agreed-upon financial exchange will satisfy its obligation. In particular, the patent claims are designed to facilitate the exchange of financial obligations between two parties by using a computer system as a third-party intermediary. The patents in suit claim (1) a method for exchanging financial obligations, (2) a computer system configured to carry out the method for exchanging obligations, and (3) a computer-readable medium containing program code for performing the method of exchanging obligations.

Respondents (together, CLS Bank), who operate a global network that facilitates currency transactions, filed suit against petitioner, arguing that the patent claims at issue are invalid, unenforceable, or not infringed. Petitioner counterclaimed, alleging infringement. After *Bilski v. Kappos*, 561 U. S. 593, was decided, the District Court held that all of the claims were ineligible for patent protection under 35 U. S. C. §101 because they are directed to an abstract idea. The en banc Federal Circuit affirmed.

Held: Because the claims are drawn to a patent-ineligible abstract idea, they are not patent eligible under §101. Pp. 5–17.

(a) The Court has long held that §101, which defines the subject matter eligible for patent protection, contains an implicit exception for “[l]aws of nature, natural phenomena, and abstract ideas.” *Association for Molecular Pathology v. Myriad Genetics, Inc.*, 569 U. S. ___, ___. In applying the §101 exception, this Court must distinguish patents that claim the “buildin[g] block[s]” of human ingenuity, which are ineligible for patent protection, from those that integrate

007 | SOURCE PAGE 1

READ → EXPLAIN → TEST

POSTURE

Do not identify the syllabus as Justice Thomas's own question. CLS sought a declaration of invalidity, unenforceability, or noninfringement; Alice counterclaimed for infringement. This decision resolves §101 eligibility.

VOCABULARY ON THIS PAGE

abstract idea — An excluded §101 concept; Alice identifies intermediated settlement without defining every possible abstract idea.

settlement risk — Risk one party performs a financial exchange while the other fails to satisfy its obligation.

SELF-TEST

Cover the notes. State the point of the marked passage, explain why it matters to the main question, and identify one fact or condition that would change the answer.

007 | SOURCE PAGE 2

READ → EXPLAIN → TEST

RULE

Two steps: (1) identify whether the claim is directed to an excluded concept; (2) consider its elements individually AND as an ordered combination for an inventive concept that transforms the claim into an eligible application.

VOCABULARY ON THIS PAGE

abstract idea — An excluded §101 concept; Alice identifies intermediated settlement without defining every possible abstract idea.

inventive concept — Additional element/combination sufficient to transform excluded concept into patent-eligible application under Alice/Mayo.

SELF-TEST

Cover the notes. State the point of the marked passage, explain why it matters to the main question, and identify one fact or condition that would change the answer.

Syllabus

the building blocks into something more, see *Mayo Collaborative Services v. Prometheus Laboratories, Inc.*, 566 U. S. ___, ___, thereby “transform[ing]” them into a patent-eligible invention, *id.*, at ___. Pp. 5–6.

(b) Using this framework, the Court must first determine whether the claims at issue are directed to a patent-ineligible concept. 566 U. S., at ___. If so, the Court then asks whether the claim’s elements, considered both individually and “as an ordered combination,” “transform the nature of the claim” into a patent-eligible application. *Id.*, at ___. Pp. 7–17.

(1) The claims at issue are directed to a patent-ineligible concept: the abstract idea of intermediated settlement. Under “the longstanding rule that ‘[a]n idea of itself is not patentable,’” *Gottschalk v. Benson*, 409 U. S. 63, 67, this Court has found ineligible patent claims involving an algorithm for converting binary-coded decimal numerals into pure binary form, *id.*, at 71–72; a mathematical formula for computing “alarm limits” in a catalytic conversion process, *Parker v. Flook*, 437 U. S. 584, 594–595; and, most recently, a method for hedging against the financial risk of price fluctuations, *Bilski*, 561 U. S., at 599. It follows from these cases, and *Bilski* in particular, that the claims at issue are directed to an abstract idea. On their face, they are drawn to the concept of intermediated settlement, *i.e.*, the use of a third party to mitigate settlement risk. Like the risk hedging in *Bilski*, the concept of intermediated settlement is “‘a fundamental economic practice long prevalent in our system of commerce,’” *ibid.*, and the use of a third-party intermediary (or “clearing house”) is a building block of the modern economy. Thus, intermediated settlement, like hedging, is an “abstract idea” beyond §101’s scope. Pp. 7–10.

(2) Turning to the second step of *Mayo*’s framework: The method claims, which merely require generic computer implementation, fail to transform that abstract idea into a patent-eligible invention. Pp. 10–16.

(i) “Simply appending conventional steps, specified at a high level of generality,” to a method already “well known in the art” is not “enough” to supply the “‘inventive concept’” needed to make this transformation. *Mayo, supra*, at ___, ___. The introduction of a computer into the claims does not alter the analysis. Neither stating an abstract idea “while adding the words ‘apply it,’” *Mayo, supra*, at ___, nor limiting the use of an abstract idea “‘to a particular technological environment,’” *Bilski, supra*, at 610–611, is enough for patent eligibility. Stating an abstract idea while adding the words “apply it with a computer” simply combines those two steps, with the same deficient result. Wholly generic computer implementation is not generally the

007 | SOURCE PAGE 3

READ → EXPLAIN → TEST

HOLDING

All three claim formats fail, not just the method. Unanimous Court; Sotomayor writes separately with Ginsburg and Breyer. A concurrence may endorse a broader rationale than the Court adopts.

VOCABULARY ON THIS PAGE

abstract idea — An excluded §101 concept; Alice identifies intermediated settlement without defining every possible abstract idea.

affirm — Leave the reviewed ruling in place, within the disposition's stated scope.

SELF-TEST

Cover the notes. State the point of the marked passage, explain why it matters to the main question, and identify one fact or condition that would change the answer.

Cite as: 573 U. S. ____ (2014) 3

Syllabus

sort of “additional featur[e]” that provides any “practical assurance that the process is more than a drafting effort designed to monopolize the [abstract idea] itself.” *Mayo, supra*, at ____ . Pp. 11–14.

(ii) Here, the representative method claim does no more than simply instruct the practitioner to implement the abstract idea of intermediated settlement on a generic computer. Taking the claim elements separately, the function performed by the computer at each step—creating and maintaining “shadow” accounts, obtaining data, adjusting account balances, and issuing automated instructions—is “[p]urely ‘conventional.’” *Mayo*, 566 U. S., at ____ . Considered “as an ordered combination,” these computer components “ad[d] nothing . . . that is not already present when the steps are considered separately.” *Id.*, at ____ . Viewed as a whole, these method claims simply recite the concept of intermediated settlement as performed by a generic computer. They do not, for example, purport to improve the functioning of the computer itself or effect an improvement in any other technology or technical field. An instruction to apply the abstract idea of intermediated settlement using some unspecified, generic computer is not “*enough*” to transform the abstract idea into a patent-eligible invention. *Id.*, at ____ . Pp. 14–16.

(3) Because petitioner’s system and media claims add nothing of substance to the underlying abstract idea, they too are patent ineligible under §101. Petitioner conceded below that its media claims rise or fall with its method claims. And the system claims are no different in substance from the method claims. The method claims recite the abstract idea implemented on a generic computer; the system claims recite a handful of generic computer components configured to implement the same idea. This Court has long “warn[ed] . . . against” interpreting §101 “in ways that make patent eligibility ‘depend simply on the draftsman’s art.’” *Mayo, supra*, at ____ . Holding that the system claims are patent eligible would have exactly that result. Pp. 16–17.

717 F. 3d 1269, affirmed.

THOMAS, J., delivered the opinion for a unanimous Court. SOTOMAYOR, J., filed a concurring opinion, in which GINSBURG and BREYER, JJ., joined.

007 | SOURCE PAGE 4

READ → EXPLAIN → TEST

MAIN QUESTION

HIGHLIGHT THIS FIRST. The question is patent eligibility under §101, not whether settlement is useful or whether computers physically exist. The following sentences immediately supply the answer and disposition.

VOCABULARY ON THIS PAGE

abstract idea — An excluded §101 concept; Alice identifies intermediated settlement without defining every possible abstract idea.

settlement risk — Risk one party performs a financial exchange while the other fails to satisfy its obligation.

SELF-TEST

Cover the notes. State the point of the marked passage, explain why it matters to the main question, and identify one fact or condition that would change the answer.

Cite as: 573 U. S. ____ (2014) 1

Opinion of the Court

NOTICE: This opinion is subject to formal revision before publication in the preliminary print of the United States Reports. Readers are requested to notify the Reporter of Decisions, Supreme Court of the United States, Washington, D. C. 20543, of any typographical or other formal errors, in order that corrections may be made before the preliminary print goes to press.

SUPREME COURT OF THE UNITED STATES

No. 13–298

ALICE CORPORATION PTY. LTD, PETITIONER *v.* CLS
BANK INTERNATIONAL ET AL.

ON WRIT OF CERTIORARI TO THE UNITED STATES COURT OF
APPEALS FOR THE FEDERAL CIRCUIT

[June 19, 2014]

JUSTICE THOMAS delivered the opinion of the Court.

The patents at issue in this case disclose a computer-implemented scheme for mitigating “settlement risk” (*i.e.*, the risk that only one party to a financial transaction will pay what it owes) by using a third-party intermediary. The question presented is whether these claims are patent eligible under 35 U. S. C. §101, or are instead drawn to a patent-ineligible abstract idea. We hold that the claims at issue are drawn to the abstract idea of intermediated settlement, and that merely requiring generic computer implementation fails to transform that abstract idea into a patent-eligible invention. We therefore affirm the judgment of the United States Court of Appeals for the Federal Circuit.

I

A

Petitioner Alice Corporation is the assignee of several patents that disclose schemes to manage certain forms of financial risk.¹ According to the specification largely

¹The patents at issue are United States Patent Nos. 5,970,479 (the

007 | SOURCE PAGE 5

READ → EXPLAIN → TEST

FACT

Mechanism: create independent shadow credit/debit ledgers, obtain start-of-day balances, adjust in chronological order, then issue irrevocable end-of-day instructions. Claim 33 is the representative method claim; four patents are identified in footnote 1.

VOCABULARY ON THIS PAGE

settlement risk — Risk one party performs a financial exchange while the other fails to satisfy its obligation.

SELF-TEST

Cover the notes. State the point of the marked passage, explain why it matters to the main question, and identify one fact or condition that would change the answer.

Opinion of the Court

shared by the patents, the invention “enabl[es] the management of risk relating to specified, yet unknown, future events.” App. 248. The specification further explains that the “invention relates to methods and apparatus, including electrical computers and data processing systems applied to financial matters and risk management.” *Id.*, at 243.

The claims at issue relate to a computerized scheme for mitigating “settlement risk”—*i.e.*, the risk that only one party to an agreed-upon financial exchange will satisfy its obligation. In particular, the claims are designed to facilitate the exchange of financial obligations between two parties by using a computer system as a third-party intermediary. *Id.*, at 383–384.² The intermediary creates “shadow” credit and debit records (*i.e.*, account ledgers)

¹479 patent), 6,912,510, 7,149,720, and 7,725,375.

²The parties agree that claim 33 of the ’479 patent is representative of the method claims. Claim 33 recites:

“A method of exchanging obligations as between parties, each party holding a credit record and a debit record with an exchange institution, the credit records and debit records for exchange of predetermined obligations, the method comprising the steps of:

“(a) creating a shadow credit record and a shadow debit record for each stakeholder party to be held independently by a supervisory institution from the exchange institutions;

“(b) obtaining from each exchange institution a start-of-day balance for each shadow credit record and shadow debit record;

“(c) for every transaction resulting in an exchange obligation, the supervisory institution adjusting each respective party’s shadow credit record or shadow debit record, allowing only these transactions that do not result in the value of the shadow debit record being less than the value of the shadow credit record at any time, each said adjustment taking place in chronological order, and

“(d) at the end-of-day, the supervisory institution instructing on[e] of the exchange institutions to exchange credits or debits to the credit record and debit record of the respective parties in accordance with the adjustments of the said permitted transactions, the credits and debits being irrevocable, time invariant obligations placed on the exchange institutions.” App. 383–384.

007 | SOURCE PAGE 6

READ → EXPLAIN → TEST

FACT

Shadow records mirror real accounts. Only transactions backed by sufficient resources proceed. Settlement risk means one counterparty performs while the other does not - not ordinary price fluctuation risk.

VOCABULARY ON THIS PAGE

abstract idea — An excluded §101 concept; Alice identifies intermediated settlement without defining every possible abstract idea.

SELF-TEST

Cover the notes. State the point of the marked passage, explain why it matters to the main question, and identify one fact or condition that would change the answer.

Cite as: 573 U. S. ____ (2014)

3

Opinion of the Court

that mirror the balances in the parties’ real-world accounts at “exchange institutions” (e.g., banks). The intermediary updates the shadow records in real time as transactions are entered, allowing “only those transactions for which the parties’ updated shadow records indicate sufficient resources to satisfy their mutual obligations.” 717 F. 3d 1269, 1285 (CA Fed. 2013) (Lourie, J., concurring). At the end of the day, the intermediary instructs the relevant financial institutions to carry out the “permitted” transactions in accordance with the updated shadow records, *ibid.*, thus mitigating the risk that only one party will perform the agreed-upon exchange.

In sum, the patents in suit claim (1) the foregoing method for exchanging obligations (the method claims), (2) a computer system configured to carry out the method for exchanging obligations (the system claims), and (3) a computer-readable medium containing program code for performing the method of exchanging obligations (the media claims). All of the claims are implemented using a computer; the system and media claims expressly recite a computer, and the parties have stipulated that the method claims require a computer as well.

B

Respondents CLS Bank International and CLS Services Ltd. (together, CLS Bank) operate a global network that facilitates currency transactions. In 2007, CLS Bank filed suit against petitioner, seeking a declaratory judgment that the claims at issue are invalid, unenforceable, or not infringed. Petitioner counterclaimed, alleging infringement. Following this Court’s decision in *Bilski v. Kappos*, 561 U. S. 593 (2010), the parties filed cross-motions for summary judgment on whether the asserted claims are eligible for patent protection under 35 U. S. C. §101. The District Court held that all of the claims are patent ineligible because they are directed to the abstract idea of

007 | SOURCE PAGE 7

READ → EXPLAIN → TEST

POSTURE

Federal Circuit: panel first reversed; rehearing en banc vacated that panel decision. Seven of ten judges rejected method/media claims; system claims were affirmed by an equally divided vote. Do not confuse that split with the Supreme Court's unanimity.

VOCABULARY ON THIS PAGE

abstract idea — An excluded §101 concept; Alice identifies intermediated settlement without defining every possible abstract idea.

settlement risk — Risk one party performs a financial exchange while the other fails to satisfy its obligation.

SELF-TEST

Cover the notes. State the point of the marked passage, explain why it matters to the main question, and identify one fact or condition that would change the answer.

Opinion of the Court

“employing a neutral intermediary to facilitate simultaneous exchange of obligations in order to minimize risk.” 768 F. Supp. 2d 221, 252 (DC 2011).

A divided panel of the United States Court of Appeals for the Federal Circuit reversed, holding that it was not “manifestly evident” that petitioner’s claims are directed to an abstract idea. 685 F.3d 1341, 1352, 1356 (2012). The Federal Circuit granted rehearing en banc, vacated the panel opinion, and affirmed the judgment of the District Court in a one-paragraph *per curiam* opinion. 717 F.3d, at 1273. Seven of the ten participating judges agreed that petitioner’s method and media claims are patent ineligible. See *id.*, at 1274 (Lourie, J., concurring); *id.*, at 1312–1313 (Rader, C.J., concurring in part and dissenting in part). With respect to petitioner’s system claims, the en banc Federal Circuit affirmed the District Court’s judgment by an equally divided vote. *Id.*, at 1273.

Writing for a five-member plurality, Judge Lourie concluded that all of the claims at issue are patent ineligible. In the plurality’s view, under this Court’s decision in *Mayo Collaborative Services v. Prometheus Laboratories, Inc.*, 566 U.S. ____ (2012), a court must first “identif[y] the abstract idea represented in the claim,” and then determine “whether the balance of the claim adds ‘significantly more.’” 717 F.3d, at 1286. The plurality concluded that petitioner’s claims “draw on the abstract idea of reducing settlement risk by effecting trades through a third-party intermediary,” and that the use of a computer to maintain, adjust, and reconcile shadow accounts added nothing of substance to that abstract idea. *Ibid.*

Chief Judge Rader concurred in part and dissented in part. In a part of the opinion joined only by Judge Moore, Chief Judge Rader agreed with the plurality that petitioner’s method and media claims are drawn to an abstract idea. *Id.*, at 1312–1313. In a part of the opinion joined by Judges Linn, Moore, and O’Malley, Chief Judge Rader

007 | SOURCE PAGE 8

READ → EXPLAIN → TEST

RULE

§101 lists process, machine, manufacture, composition of matter, and improvements. Judicial exceptions: laws of nature, natural phenomena, abstract ideas. Fitting a statutory noun is necessary but does not end the inquiry.

VOCABULARY ON THIS PAGE

abstract idea — An excluded §101 concept; Alice identifies intermediated settlement without defining every possible abstract idea.

pre-emption — Alice's concern that patent monopolizes foundational tools and inhibits later innovation.

SELF-TEST

Cover the notes. State the point of the marked passage, explain why it matters to the main question, and identify one fact or condition that would change the answer.

Cite as: 573 U. S. ____ (2014)

5

Opinion of the Court

would have held that the system claims are patent eligible because they involve computer “hardware” that is “specifically programmed to solve a complex problem.” *Id.*, at 1307. Judge Moore wrote a separate opinion dissenting in part, arguing that the system claims are patent eligible. *Id.*, at 1313–1314. Judge Newman filed an opinion concurring in part and dissenting in part, arguing that all of petitioner’s claims are patent eligible. *Id.*, at 1327. Judges Linn and O’Malley filed a separate dissenting opinion reaching that same conclusion. *Ibid.*

We granted certiorari, 571 U. S. ____ (2013), and now affirm.

II

Section 101 of the Patent Act defines the subject matter eligible for patent protection. It provides:

“Whoever invents or discovers any new and useful process, machine, manufacture, or composition of matter, or any new and useful improvement thereof, may obtain a patent therefor, subject to the conditions and requirements of this title.” 35 U. S. C. §101.

“We have long held that this provision contains an important implicit exception: Laws of nature, natural phenomena, and abstract ideas are not patentable.” *Association for Molecular Pathology v. Myriad Genetics, Inc.*, 569 U. S. ___, ___ (2013) (slip op., at 11) (internal quotation marks and brackets omitted). We have interpreted §101 and its predecessors in light of this exception for more than 150 years. *Bilski, supra*, at 601–602; see also *O’Reilly v. Morse*, 15 How. 62, 112–120 (1854); *Le Roy v. Tatham*, 14 How. 156, 174–175 (1853).

We have described the concern that drives this exclusionary principle as one of pre-emption. See, e.g., *Bilski, supra*, at 611–612 (upholding the patent “would pre-empt use of this approach in all fields, and would effectively

007 | SOURCE PAGE 9

READ → EXPLAIN → TEST

REASON

Policy tension: monopolizing basic tools may impede innovation, but interpreting the exception too broadly would swallow patent law because inventions use abstract ideas. Distinguish an idea from an inventive application.

VOCABULARY ON THIS PAGE

abstract idea — An excluded §101 concept; Alice identifies intermediated settlement without defining every possible abstract idea.

pre-emption — Alice's concern that patent monopolizes foundational tools and inhibits later innovation.

SELF-TEST

Cover the notes. State the point of the marked passage, explain why it matters to the main question, and identify one fact or condition that would change the answer.

Opinion of the Court

grant a monopoly over an abstract idea”). Laws of nature, natural phenomena, and abstract ideas are ““the basic tools of scientific and technological work.”” *Myriad*, *supra*, at ____ (slip op., at 11). “[M]onopolization of those tools through the grant of a patent might tend to impede innovation more than it would tend to promote it,” thereby thwarting the primary object of the patent laws. *Mayo*, *supra*, at ____ (slip op., at 2); see U. S. Const., Art. I, §8, cl. 8 (Congress “shall have Power . . . To promote the Progress of Science and useful Arts”). We have “repeatedly emphasized this . . . concern that patent law not inhibit further discovery by improperly tying up the future use of” these building blocks of human ingenuity. *Mayo*, *supra*, at ____ (slip op., at 16) (citing *Morse*, *supra*, at 113).

At the same time, we tread carefully in construing this exclusionary principle lest it swallow all of patent law. *Mayo*, 566 U. S., at ____ (slip op., at 2). At some level, “all inventions . . . embody, use, reflect, rest upon, or apply laws of nature, natural phenomena, or abstract ideas.” *Id.*, at ____ (slip op., at 2). Thus, an invention is not rendered ineligible for patent simply because it involves an abstract concept. See *Diamond v. Diehr*, 450 U. S. 175, 187 (1981). “[A]pplication[s]” of such concepts “to a new and useful end,” we have said, remain eligible for patent protection. *Gottschalk v. Benson*, 409 U. S. 63, 67 (1972).

Accordingly, in applying the §101 exception, we must distinguish between patents that claim the “buildin[g] block[s]” of human ingenuity and those that integrate the building blocks into something more, *Mayo*, 566 U. S., at ____ (slip op., at 20), thereby “transform[ing]” them into a patent-eligible invention, *id.*, at ____ (slip op., at 3). The former “would risk disproportionately tying up the use of the underlying” ideas, *id.*, at ____ (slip op., at 4), and are therefore ineligible for patent protection. The latter pose no comparable risk of pre-emption, and therefore remain eligible for the monopoly granted under our patent laws.

007 | SOURCE PAGE 10

READ → EXPLAIN → TEST

RULE

Mayo supplies the framework. Ask first what the claim is directed to, then what its additional elements contribute. Calling something an invention does not establish an inventive concept.

VOCABULARY ON THIS PAGE

abstract idea — An excluded §101 concept; Alice identifies intermediated settlement without defining every possible abstract idea.

SELF-TEST

Cover the notes. State the point of the marked passage, explain why it matters to the main question, and identify one fact or condition that would change the answer.

Cite as: 573 U. S. ____ (2014)

7

Opinion of the Court

III

In *Mayo Collaborative Services v. Prometheus Laboratories, Inc.*, 566 U. S. ____ (2012), we set forth a framework for distinguishing patents that claim laws of nature, natural phenomena, and abstract ideas from those that claim patent-eligible applications of those concepts. First, we determine whether the claims at issue are directed to one of those patent-ineligible concepts. *Id.*, at ____ (slip op., at 8). If so, we then ask, “[w]hat else is there in the claims before us?” *Id.*, at ____ (slip op., at 9). To answer that question, we consider the elements of each claim both individually and “as an ordered combination” to determine whether the additional elements “transform the nature of the claim” into a patent-eligible application. *Id.*, at ____ (slip op., at 10, 9). We have described step two of this analysis as a search for an “inventive concept”—*i.e.*, an element or combination of elements that is “sufficient to ensure that the patent in practice amounts to significantly more than a patent upon the [ineligible concept] itself.” *Id.*, at ____ (slip op., at 3).³

A

We must first determine whether the claims at issue are directed to a patent-ineligible concept. We conclude that they are: These claims are drawn to the abstract idea of intermediated settlement.

The “abstract ideas” category embodies “the longstanding rule that [a]n idea of itself is not patentable.” *Benson, supra*, at 67 (quoting *Rubber-Tip Pencil Co. v. Howard*, 20 Wall. 498, 507 (1874)); see also *Le Roy, supra*, at

³Because the approach we made explicit in *Mayo* considers all claim elements, both individually and in combination, it is consistent with the general rule that patent claims “must be considered as a whole.” *Diamond v. Diehr*, 450 U. S. 175, 188 (1981); see *Parker v. Flook*, 437 U. S. 584, 594 (1978) (“Our approach . . . is . . . not at all inconsistent with the view that a patent claim must be considered as a whole”).

007 | SOURCE PAGE 11

READ → EXPLAIN → TEST

COMPARE

Benson: number-conversion algorithm. Flook: alarm-limit formula. Bilski: hedging price risk. These precedents show abstract ideas are not limited to a single mathematical form.

VOCABULARY ON THIS PAGE

abstract idea — An excluded §101 concept; Alice identifies intermediated settlement without defining every possible abstract idea.

SELF-TEST

Cover the notes. State the point of the marked passage, explain why it matters to the main question, and identify one fact or condition that would change the answer.

Opinion of the Court

175 (“A principle, in the abstract, is a fundamental truth; an original cause; a motive; these cannot be patented, as no one can claim in either of them an exclusive right”). In *Benson*, for example, this Court rejected as ineligible patent claims involving an algorithm for converting binary-coded decimal numerals into pure binary form, holding that the claimed patent was “in practical effect . . . a patent on the algorithm itself.” 409 U. S., at 71–72. And in *Parker v. Flook*, 437 U. S. 584, 594–595 (1978), we held that a mathematical formula for computing “alarm limits” in a catalytic conversion process was also a patent-ineligible abstract idea.

We most recently addressed the category of abstract ideas in *Bilski v. Kappos*, 561 U. S. 593 (2010). The claims at issue in *Bilski* described a method for hedging against the financial risk of price fluctuations. Claim 1 recited a series of steps for hedging risk, including: (1) initiating a series of financial transactions between providers and consumers of a commodity; (2) identifying market participants that have a counterrisk for the same commodity; and (3) initiating a series of transactions between those market participants and the commodity provider to balance the risk position of the first series of consumer transactions. *Id.*, at 599. Claim 4 “pu[t] the concept articulated in claim 1 into a simple mathematical formula.” *Ibid.* The remaining claims were drawn to examples of hedging in commodities and energy markets.

“[A]ll members of the Court agree[d]” that the patent at issue in *Bilski* claimed an “abstract idea.” *Id.*, at 609; see also *id.*, at 619 (Stevens, J., concurring in judgment). Specifically, the claims described “the basic concept of hedging, or protecting against risk.” *Id.*, at 611. The Court explained that “[h]edging is a fundamental economic practice long prevalent in our system of commerce and taught in any introductory finance class.” *Ibid.* “The concept of hedging” as recited by the claims in suit was

007 | SOURCE PAGE 12

READ → EXPLAIN → TEST

REASON

Intermediated settlement, like hedging, is a longstanding economic practice. The clearinghouse reference and 1896 discussion support that characterization; usefulness to modern commerce is not patent eligibility.

VOCABULARY ON THIS PAGE

abstract idea — An excluded §101 concept; Alice identifies intermediated settlement without defining every possible abstract idea.

settlement risk — Risk one party performs a financial exchange while the other fails to satisfy its obligation.

SELF-TEST

Cover the notes. State the point of the marked passage, explain why it matters to the main question, and identify one fact or condition that would change the answer.

Cite as: 573 U. S. ____ (2014) 9

Opinion of the Court

therefore a patent-ineligible “abstract idea, just like the algorithms at issue in *Benson* and *Flook*.” *Ibid*.

It follows from our prior cases, and *Bilski* in particular, that the claims at issue here are directed to an abstract idea. Petitioner’s claims involve a method of exchanging financial obligations between two parties using a third-party intermediary to mitigate settlement risk. The intermediary creates and updates “shadow” records to reflect the value of each party’s actual accounts held at “exchange institutions,” thereby permitting only those transactions for which the parties have sufficient resources. At the end of each day, the intermediary issues irrevocable instructions to the exchange institutions to carry out the permitted transactions.

On their face, the claims before us are drawn to the concept of intermediated settlement, *i.e.*, the use of a third party to mitigate settlement risk. Like the risk hedging in *Bilski*, the concept of intermediated settlement is “a fundamental economic practice long prevalent in our system of commerce.” *Ibid.*; see, *e.g.*, Emery, Speculation on the Stock and Produce Exchanges of the United States, in 7 Studies in History, Economics and Public Law 283, 346–356 (1896) (discussing the use of a “clearing-house” as an intermediary to reduce settlement risk). The use of a third-party intermediary (or “clearing house”) is also a building block of the modern economy. See, *e.g.*, Yadav, The Problematic Case of Clearinghouses in Complex Markets, 101 Geo. L. J. 387, 406–412 (2013); J. Hull, Risk Management and Financial Institutions 103–104 (3d ed. 2012). Thus, intermediated settlement, like hedging, is an “abstract idea” beyond the scope of §101.

Petitioner acknowledges that its claims describe intermediated settlement, see Brief for Petitioner 4, but rejects the conclusion that its claims recite an “abstract idea.” Drawing on the presence of mathematical formulas in some of our abstract-ideas precedents, petitioner contends

007 | SOURCE PAGE 13

READ → EXPLAIN → TEST

TRAP

The Court does NOT comprehensively define the entire abstract-ideas category. It rejects Alice's attempt to limit that category to preexisting truths independent of human activity.

VOCABULARY ON THIS PAGE

abstract idea — An excluded §101 concept; Alice identifies intermediated settlement without defining every possible abstract idea.

SELF-TEST

Cover the notes. State the point of the marked passage, explain why it matters to the main question, and identify one fact or condition that would change the answer.

10

ALICE CORP. v. CLS BANK INT'L

Opinion of the Court

that the abstract-ideas category is confined to “preexisting, fundamental truth[s]” that “‘exis[t] in principle apart from any human action.’” *Id.*, at 23, 26 (quoting *Mayo*, 566 U. S., at ___ (slip op., at 8)).

Bilski belies petitioner’s assertion. The concept of risk hedging we identified as an abstract idea in that case cannot be described as a “preexisting, fundamental truth.” The patent in *Bilski* simply involved a “series of steps instructing how to hedge risk.” 561 U. S., at 599. Although hedging is a longstanding commercial practice, *id.*, at 599, it is a method of organizing human activity, not a “truth” about the natural world “‘that has always existed,’” Brief for Petitioner 22 (quoting *Flook*, *supra*, at 593, n. 15). One of the claims in *Bilski* reduced hedging to a mathematical formula, but the Court did not assign any special significance to that fact, much less the sort of talismanic significance petitioner claims. Instead, the Court grounded its conclusion that all of the claims at issue were abstract ideas in the understanding that risk hedging was a “fundamental economic practice.” 561 U. S., at 611.

In any event, we need not labor to delimit the precise contours of the “abstract ideas” category in this case. It is enough to recognize that there is no meaningful distinction between the concept of risk hedging in *Bilski* and the concept of intermediated settlement at issue here. Both are squarely within the realm of “abstract ideas” as we have used that term.

B

Because the claims at issue are directed to the abstract idea of intermediated settlement, we turn to the second step in *Mayo*’s framework. We conclude that the method claims, which merely require generic computer implementation, fail to transform that abstract idea into a patent-eligible invention.

007 | SOURCE PAGE 14

READ → EXPLAIN → TEST

RULE

Adding conventional steps at a high level of generality does not transform the idea. Mayo's metabolite-measurement example concerns applying natural laws with methods already known in the art.

VOCABULARY ON THIS PAGE

abstract idea — An excluded §101 concept; Alice identifies intermediated settlement without defining every possible abstract idea.

SELF-TEST

Cover the notes. State the point of the marked passage, explain why it matters to the main question, and identify one fact or condition that would change the answer.

Cite as: 573 U. S. ____ (2014)

11

Opinion of the Court

1

At *Mayo* step two, we must examine the elements of the claim to determine whether it contains an “inventive concept” sufficient to “transform” the claimed abstract idea into a patent-eligible application. 566 U. S., at ___, ___ (slip op., at 3, 11). A claim that recites an abstract idea must include “additional features” to ensure “that the [claim] is more than a drafting effort designed to monopolize the [abstract idea].” *Id.*, at ___ (slip op., at 8–9). *Mayo* made clear that transformation into a patent-eligible application requires “more than simply stat[ing] the [abstract idea] while adding the words ‘apply it.’” *Id.*, at ___ (slip op., at 3).

Mayo itself is instructive. The patents at issue in *Mayo* claimed a method for measuring metabolites in the bloodstream in order to calibrate the appropriate dosage of thiopurine drugs in the treatment of autoimmune diseases. *Id.*, at ___ (slip op., at 4–6). The respondent in that case contended that the claimed method was a patent-eligible application of natural laws that describe the relationship between the concentration of certain metabolites and the likelihood that the drug dosage will be harmful or ineffective. But methods for determining metabolite levels were already “well known in the art,” and the process at issue amounted to “nothing significantly more than an instruction to doctors to apply the applicable laws when treating their patients.” *Id.*, at ___ (slip op., at 10). “Simply appending conventional steps, specified at a high level of generality,” was not “enough” to supply an “inventive concept.” *Id.*, at ___, ___, ___ (slip op., at 14, 8, 3).

The introduction of a computer into the claims does not alter the analysis at *Mayo* step two. In *Benson*, for example, we considered a patent that claimed an algorithm implemented on “a general-purpose digital computer.” 409 U. S., at 64. Because the algorithm was an abstract idea, see *supra*, at 8, the claim had to supply a “new and use-

007 | SOURCE PAGE 15

READ → EXPLAIN → TEST

COMPARE

Diehr is the positive comparator: computer use in an improved rubber-curing process. The distinction is technological improvement, not merely the presence of a computer.

VOCABULARY ON THIS PAGE

abstract idea — An excluded §101 concept; Alice identifies intermediated settlement without defining every possible abstract idea.

inventive concept — Additional element/combination sufficient to transform excluded concept into patent-eligible application under Alice/Mayo.

SELF-TEST

Cover the notes. State the point of the marked passage, explain why it matters to the main question, and identify one fact or condition that would change the answer.

12

ALICE CORP. v. CLS BANK INT'L

Opinion of the Court

ful” application of the idea in order to be patent eligible. 409 U. S., at 67. But the computer implementation did not supply the necessary inventive concept; the process could be “carried out in existing computers long in use.” *Ibid.* We accordingly “held that simply implementing a mathematical principle on a physical machine, namely a computer, [i]s not a patentable application of that principle.” *Mayo, supra*, at ___ (slip op., at 16) (citing *Benson, supra*, at 64).

Flook is to the same effect. There, we examined a computerized method for using a mathematical formula to adjust alarm limits for certain operating conditions (e.g., temperature and pressure) that could signal inefficiency or danger in a catalytic conversion process. 437 U. S., at 585–586. Once again, the formula itself was an abstract idea, see *supra*, at 8, and the computer implementation was purely conventional. 437 U. S., at 594 (noting that the “use of computers for ‘automatic monitoring-alarming’” was “well known”). In holding that the process was patent ineligible, we rejected the argument that “implement[ing] a principle in some specific fashion” will “automatically fal[l] within the patentable subject matter of §101.” *Id.*, at 593. Thus, “*Flook* stands for the proposition that the prohibition against patenting abstract ideas cannot be circumvented by attempting to limit the use of [the idea] to a particular technological environment.” *Bilski*, 561 U. S., at 610–611 (internal quotation marks omitted).

In *Diehr*, 450 U. S. 175, by contrast, we held that a computer-implemented process for curing rubber was patent eligible, but not because it involved a computer. The claim employed a “well-known” mathematical equation, but it used that equation in a process designed to solve a technological problem in “conventional industry practice.” *Id.*, at 177, 178. The invention in *Diehr* used a “thermocouple” to record constant temperature measure-

007 | SOURCE PAGE 16

READ → EXPLAIN → TEST

RULE

Neither "apply it" nor "apply it in a particular technological environment" is enough. Combining those instructions as "apply it with a computer" does not cure the defect.

VOCABULARY ON THIS PAGE

abstract idea — An excluded §101 concept; Alice identifies intermediated settlement without defining every possible abstract idea.

SELF-TEST

Cover the notes. State the point of the marked passage, explain why it matters to the main question, and identify one fact or condition that would change the answer.

Cite as: 573 U. S. ____ (2014)

13

Opinion of the Court

ments inside the rubber mold—something “the industry ha[d] not been able to obtain.” *Id.*, at 178, and n. 3. The temperature measurements were then fed into a computer, which repeatedly recalculated the remaining cure time by using the mathematical equation. *Id.*, at 178–179. These additional steps, we recently explained, “transformed the process into an inventive application of the formula.” *Mayo, supra*, at ____ (slip op., at 12). In other words, the claims in *Diehr* were patent eligible because they improved an existing technological process, not because they were implemented on a computer.

These cases demonstrate that the mere recitation of a generic computer cannot transform a patent-ineligible abstract idea into a patent-eligible invention. Stating an abstract idea “while adding the words ‘apply it’” is not enough for patent eligibility. *Mayo, supra*, at ____ (slip op., at 3). Nor is limiting the use of an abstract idea “to a particular technological environment.” *Bilski, supra*, at 610–611. Stating an abstract idea while adding the words “apply it with a computer” simply combines those two steps, with the same deficient result. Thus, if a patent’s recitation of a computer amounts to a mere instruction to “implemen[t]” an abstract idea “on . . . a computer,” *Mayo, supra*, at ____ (slip op., at 16), that addition cannot impart patent eligibility. This conclusion accords with the preemption concern that undergirds our §101 jurisprudence. Given the ubiquity of computers, see 717 F. 3d, at 1286 (Lourie, J., concurring), wholly generic computer implementation is not generally the sort of “additional featur[e]” that provides any “practical assurance that the process is more than a drafting effort designed to monopolize the [abstract idea] itself.” *Mayo*, 566 U. S., at ____ (slip op., at 8–9).

The fact that a computer “necessarily exist[s] in the physical, rather than purely conceptual, realm,” Brief for Petitioner 39, is beside the point. There is no dispute that

007 | SOURCE PAGE 17

READ → EXPLAIN → TEST

APPLICATION

This is the application question: do the claims do MORE than implement intermediated settlement on a generic computer? Answer: no. A tangible machine label cannot bypass the exception through drafting.

VOCABULARY ON THIS PAGE

abstract idea — An excluded §101 concept; Alice identifies intermediated settlement without defining every possible abstract idea.

SELF-TEST

Cover the notes. State the point of the marked passage, explain why it matters to the main question, and identify one fact or condition that would change the answer.

14

ALICE CORP. v. CLS BANK INT'L

Opinion of the Court

a computer is a tangible system (in §101 terms, a “machine”), or that many computer-implemented claims are formally addressed to patent-eligible subject matter. But if that were the end of the §101 inquiry, an applicant could claim any principle of the physical or social sciences by reciting a computer system configured to implement the relevant concept. Such a result would make the determination of patent eligibility “depend simply on the draftsman’s art,” *Flook, supra*, at 593, thereby eviscerating the rule that “[l]aws of nature, natural phenomena, and abstract ideas are not patentable,” *Myriad*, 569 U. S., at ____ (slip op., at 11).

2

The representative method claim in this case recites the following steps: (1) “creating” shadow records for each counterparty to a transaction; (2) “obtaining” start-of-day balances based on the parties’ real-world accounts at exchange institutions; (3) “adjusting” the shadow records as transactions are entered, allowing only those transactions for which the parties have sufficient resources; and (4) issuing irrevocable end-of-day instructions to the exchange institutions to carry out the permitted transactions. See n.2, *supra*. Petitioner principally contends that the claims are patent eligible because these steps “require a substantial and meaningful role for the computer.” Brief for Petitioner 48. As stipulated, the claimed method requires the use of a computer to create electronic records, track multiple transactions, and issue simultaneous instructions; in other words, “[t]he computer is itself the intermediary.” *Ibid.* (emphasis deleted).

In light of the foregoing, see *supra*, at 11–14, the relevant question is whether the claims here do more than simply instruct the practitioner to implement the abstract idea of intermediated settlement on a generic computer. They do not.

007 | SOURCE PAGE 18

READ → EXPLAIN → TEST

APPLICATION

Separate elements: recordkeeping, obtaining data, updating balances, instructions are conventional. Ordered combination: no additional improvement. The claims improve neither computer functioning nor another technology in the way discussed here.

SELF-TEST

Cover the notes. State the point of the marked passage, explain why it matters to the main question, and identify one fact or condition that would change the answer.

Cite as: 573 U. S. ____ (2014)

15

Opinion of the Court

Taking the claim elements separately, the function performed by the computer at each step of the process is “[p]urely conventional.” *Mayo, supra*, at ____ (slip op., at 10) (internal quotation marks omitted). Using a computer to create and maintain “shadow” accounts amounts to electronic recordkeeping—one of the most basic functions of a computer. See, e.g., *Benson*, 409 U. S., at 65 (noting that a computer “operates . . . upon both new and previously stored data”). The same is true with respect to the use of a computer to obtain data, adjust account balances, and issue automated instructions; all of these computer functions are “well-understood, routine, conventional activit[ies]” previously known to the industry. *Mayo*, 566 U. S., at ____ (slip op., at 4). In short, each step does no more than require a generic computer to perform generic computer functions.

Considered “as an ordered combination,” the computer components of petitioner’s method “ad[d] nothing . . . that is not already present when the steps are considered separately.” *Id.*, at ____ (slip op., at 10). Viewed as a whole, petitioner’s method claims simply recite the concept of intermediated settlement as performed by a generic computer. See 717 F. 3d, at 1286 (Lourie, J., concurring) (noting that the representative method claim “lacks *any* express language to define the computer’s participation”). The method claims do not, for example, purport to improve the functioning of the computer itself. See *ibid.* (“There is no specific or limiting recitation of . . . improved computer technology . . .”); Brief for United States as *Amicus Curiae* 28–30. Nor do they effect an improvement in any other technology or technical field. See, e.g., *Diehr*, 450 U. S., at 177–178. Instead, the claims at issue amount to “nothing significantly more” than an instruction to apply the abstract idea of intermediated settlement using some unspecified, generic computer. *Mayo*, 566 U. S., at ____ (slip op., at 10). Under our precedents, that is not “*enough*” to

007 | SOURCE PAGE 19

READ → EXPLAIN → TEST

TRAP

Generic data processing, communications control, and storage are functional labels. Switching from method to system language does not change the substance; media claims were conceded to rise or fall with method claims.

VOCABULARY ON THIS PAGE

abstract idea — An excluded §101 concept; Alice identifies intermediated settlement without defining every possible abstract idea.

en banc — Rehearing by a broader appellate court rather than the original panel; distinguish the Federal Circuit history from Supreme Court result.

SELF-TEST

Cover the notes. State the point of the marked passage, explain why it matters to the main question, and identify one fact or condition that would change the answer.

16

ALICE CORP. v. CLS BANK INT'L

Opinion of the Court

transform an abstract idea into a patent-eligible invention. *Id.*, at ____ (slip op., at 8).

C

Petitioner's claims to a computer system and a computer-readable medium fail for substantially the same reasons. Petitioner conceded below that its media claims rise or fall with its method claims. En Banc Response Brief for Defendant-Appellant in No. 11–1301 (CA Fed.) p. 50, n. 3. As to its system claims, petitioner emphasizes that those claims recite “specific hardware” configured to perform “specific computerized functions.” Brief for Petitioner 53. But what petitioner characterizes as specific hardware—a “data processing system” with a “communications controller” and “data storage unit,” for example, see App. 954, 958, 1257—is purely functional and generic. Nearly every computer will include a “communications controller” and “data storage unit” capable of performing the basic calculation, storage, and transmission functions required by the method claims. See 717 F. 3d, at 1290 (Lourie, J., concurring). As a result, none of the hardware recited by the system claims “offers a meaningful limitation beyond generally linking ‘the use of the [method] to a particular technological environment,’ that is, implementation via computers.” *Id.*, at 1291 (quoting *Bilski*, 561 U. S., at 610–611).

Put another way, the system claims are no different from the method claims in substance. The method claims recite the abstract idea implemented on a generic computer; the system claims recite a handful of generic computer components configured to implement the same idea. This Court has long “warn[ed] . . . against” interpreting §101 “in ways that make patent eligibility ‘depend simply on the draftsman’s art.’” *Mayo, supra*, at ____ (slip op., at 3) (quoting *Flook*, 437 U. S., at 593); see *id.*, at 590 (“The concept of patentable subject matter under §101 is not

Opinion of the Court

‘like a nose of wax which may be turned and twisted in any direction . . .’”). Holding that the system claims are patent eligible would have exactly that result.

Because petitioner’s system and media claims add nothing of substance to the underlying abstract idea, we hold that they too are patent ineligible under §101.

* * *

For the foregoing reasons, the judgment of the Court of Appeals for the Federal Circuit is affirmed.

It is so ordered.

007 | SOURCE PAGE 20

READ → EXPLAIN → TEST

HOLDING

Final result: all disputed claim categories are ineligible; affirmed. Do not recite a patent-infringement damages award - none is made here.

VOCABULARY ON THIS PAGE

abstract idea — An excluded §101 concept; Alice identifies intermediated settlement without defining every possible abstract idea.

SELF-TEST

Cover the notes. State the point of the marked passage, explain why it matters to the main question, and identify one fact or condition that would change the answer.

007 | SOURCE PAGE 21

READ → EXPLAIN → TEST

SEPARATE OPINION

Sotomayor, joined by Ginsburg and Breyer, would also exclude claims merely describing business methods. She joins the Court because these claims are abstract. Do not turn her broader view into the unanimous holding.

VOCABULARY ON THIS PAGE

abstract idea — An excluded §101 concept; Alice identifies intermediated settlement without defining every possible abstract idea.

certiorari — Discretionary higher-court review; grant alone does not decide merits.

SELF-TEST

Cover the notes. State the point of the marked passage, explain why it matters to the main question, and identify one fact or condition that would change the answer.

Cite as: 573 U. S. ____ (2014) 1

SOTOMAYOR, J., concurring

SUPREME COURT OF THE UNITED STATES

No. 13–298

ALICE CORPORATION PTY. LTD, PETITIONER v. CLS
BANK INTERNATIONAL ET AL.

ON WRIT OF CERTIORARI TO THE UNITED STATES COURT OF
APPEALS FOR THE FEDERAL CIRCUIT

[June 19, 2014]

JUSTICE SOTOMAYOR, with whom JUSTICE GINSBURG
and JUSTICE BREYER join, concurring.

I adhere to the view that any “claim that merely de-
scribes a method of doing business does not qualify as a
‘process’ under §101.” *Bilski v. Kappos*, 561 U. S. 593, 614
(2010) (Stevens, J., concurring in judgment); see also *In re*
Bilski, 545 F. 3d 943, 972 (CA Fed. 2008) (Dyk, J., concur-
ring) (“There is no suggestion in any of th[e] early [Eng-
lish] consideration of process patents that processes for
organizing human activity were or ever had been patent-
able”). As in *Bilski*, however, I further believe that the
method claims at issue are drawn to an abstract idea. Cf.
561 U. S., at 619 (opinion of Stevens, J.). I therefore join
the opinion of the Court.

009 Steinberg v Chicago Medical School

MAIN QUESTION

Did submission of an application and fee, followed by the school's acceptance, create an enforceable promise to evaluate the applicant by the published criteria?

ANSWER / RESULT

Yes; count I states a contract cause of action. The promised evaluation process - not admission - was the alleged entitlement. Dismissal of count I reversed and remanded; the other counts remain dismissed.

WHERE TO POINT ON THE ORIGINAL

Synthesized from court's framing on source p. 1 and express analysis on pp. 4-5; there is no standalone "question presented" sentence.

Reading route: source page → what to recover

p. 1 | main question: no contract came into existence; trap: He did not ask

p. 2 | rule: invitation to make an offer; posture: counts II, III and IV

p. 3 | compare: Tinkoff

p. 4 | compare: Dempsey

p. 5 | holding: enforceable contract; trap: Count I

Cold-call checklist

State the precise issue → identify procedural posture → give the governing rule → name the facts doing legal work → explain the result and what remains undecided. For a note/article, substitute author's thesis, framework, examples, and limits for court holding.

LEGAL STUDIES 101

ROBERT I. STEINBERG v. CHICAGO MEDICAL SCHOOL,
Appellate Court of Illinois; First District (3rd Division)
41 Ill. App. 3d 804; 354 N.E.2d 586
August 19, 1976

Mr. JUSTICE DEMPSEY delivered the opinion of the court:

In December 1973 the plaintiff, Robert Steinberg, applied for admission to the defendant, the Chicago Medical School, as a first-year student for the academic year 1974-75 and paid an application fee of \$15. The Chicago Medical School is a private, not-for-profit educational institution, incorporated in the State of Illinois. His application for admission was rejected and Steinberg filed a class action against the school, claiming that it had failed to evaluate his application and those of other applicants according to the academic entrance criteria printed in the school's bulletin. Specifically, his complaint alleged that the school's decision to accept or reject a particular applicant for the first-year class was primarily based on such nonacademic considerations as the prospective student's familial relationship to members of the school's faculty and to members of its board of trustees, and the ability of the applicant or his family to pledge or make payment of large sums of money to the school. The complaint further alleged that by using such unpublished criteria to evaluate applicants the school had breached the contract, which Steinberg contended was created when the school accepted his application fee.

In his prayer for relief Steinberg sought an injunction against the school prohibiting the continuation of such admission practices, and an accounting of all application fees, donations, contributions and other sums of money collected by the school from its applicants during a 10-year period prior to the filing of his suit. He did not ask the court to direct the school to admit him, to review his application or to return his fee.

The defendant filed a motion to dismiss, arguing that the complaint failed to state a cause of action because no contract came into existence during its transaction with Steinberg inasmuch as the school's informational publication did not constitute a valid offer. The trial court sustained the motion to dismiss and Steinberg appeals from this order.

The 1974-75 bulletin of the school, which was distributed to prospective students, represented that the following criteria would be used by the school in determining whether applicants would be accepted as first-year medical students:

"Students are selected on the basis of scholarship, character, and motivation without regard to race, creed, or sex. The student's potential for the study and practice of medicine will be evaluated on the basis of academic achievement, Medical College Admission Test results, personal appraisals by a pre-professional advisory committee or individual instructors, and the personal interview, if requested by the Committee on Admissions."

009 | SOURCE PAGE 1

READ → EXPLAIN → TEST

MAIN QUESTION

Locate the dispute in the dismissal motion: was there a contract? Steinberg paid \$15 in December 1973 for 1974-75 admission. Allegations concern donations/family connections replacing the published academic criteria.

TRAP

Relief sought: injunction and accounting over ten years. He did NOT ask for admission, re-review, or fee return. Do not redefine the promised benefit as a guaranteed place at medical school.

VOCABULARY ON THIS PAGE

consideration — Bargained exchange/benefit/detriment supporting enforceability; Steinberg's fee supports evaluation promise.

offer — Manifested willingness to be bound on terms through invited acceptance.

SELF-TEST

Cover the notes. State the point of the marked passage, explain why it matters to the main question, and identify one fact or condition that would change the answer.

009 | SOURCE PAGE 2

READ → EXPLAIN → TEST

RULE

Correct sequence: bulletin INVITES offer; application plus \$15 IS offer; school receives/retains fee as ACCEPTANCE. Consideration can be money, benefit, detriment, or forbearance; mutual assent is manifested, not secret.

POSTURE

Four counts: contract; consumer/deceptive practices statutes; fraud; unjust enrichment. Court limits discussion to contract because it agrees with dismissal of the other three.

VOCABULARY ON THIS PAGE

consideration — Bargained exchange/benefit/detriment supporting enforceability; Steinberg's fee supports evaluation promise.

acceptance — Assent by invited words/acts; identify whose act and when contract formed.

SELF-TEST

Cover the notes. State the point of the marked passage, explain why it matters to the main question, and identify one fact or condition that would change the answer.

In his four-count complaint Steinberg alleged, in addition to his claim that the school breached its contract (count I), that the school's practice of using selection standards which were not disclosed in the school's informational brochure, constituted a violation of the Consumer Fraud and Deceptive Business Practices Act (Ill. Rev. Stat. 1973, ch. 121 1/2, par. 261 et seq.) and of the Uniform Deceptive Trade Practices Act (Ill. Rev. Stat. 1973, ch. 121 1/2, par. 311 et seq.) (count II); fraud (count III); and unjust enrichment (count IV).

Since we are in accord with the trial court's decision that the complaint did not state a cause of action under counts II, III and IV, we shall limit our discussion to count I.

A contract is an agreement between competent parties, based upon a consideration sufficient in law, to do or not do a particular thing. It is a promise or a set of promises for the breach of which the law gives a remedy, or the performance of which the law in some way recognizes as a duty. (Rynearson v. Odin-Svenson Development Corp. (1969), 108 Ill. App. 2d 125, 246 N.E.2d 823.) A contract's essential requirements are: competent parties, valid subject matter, legal consideration, mutuality of obligation and mutuality of agreement. Generally, parties may contract in any situation where there is no legal prohibition, since the law acts by restraint and not by conferring rights. (Berry v. De Bruyn (1898), 77 Ill. App. 359.) However, it is basic contract law that in order for a contract to be binding the terms of the contract must be reasonably certain and definite. Kraftco Corp. v. Koblus (1971), 1 Ill. App. 3d 635, 274 N.E.2d 153.

A contract, in order to be legally binding, must be based on consideration. (Wickstrom v. Vern E. Alden Co. (1968), 99 Ill. App. 2d 254, 240 N.E.2d 401.) Consideration has been defined to consist of some right, interest, profit or benefit accruing to one party or some forbearance, disadvantage, detriment, loss or responsibility given, suffered or undertaken by the other. (Riddle v. La Salle National Bank (1962), 34 Ill. App. 2d 116, 180 N.E.2d 719.) Money is a valuable consideration and its transfer or payment or promises to pay it or the benefit from the right to its use, will support a contract.

In forming a contract, it is required that both parties assent to the same thing in the same sense (La Salle National Bank v. International Ltd. (1970), 129 Ill. App. 2d 381, 263 N.E.2d 506) and that their minds meet on the essential terms and conditions. (Richton v. Farina (1973), 14 Ill. App. 3d 697, 303 N.E.2d 218.) Furthermore, the mutual consent essential to the formation of a contract must be gathered from the language employed by the parties or manifested by their words or acts. The intention of the parties gives character to the transaction and if either party contracts in good faith he is entitled to the benefit of his contract no matter what may have been the secret purpose or intention of the other party. Kelly v. Williams (1911), 162 Ill. App. 571.

Steinberg contends that the Chicago Medical School's informational brochure constituted an invitation to make an offer; that his subsequent application and the submission of his \$15 fee to the school amounted to an offer; that the school's voluntary reception of his fee constituted an acceptance and because of these events a contract was created between the school and himself.

009 | SOURCE PAGE 3

READ → EXPLAIN → TEST

COMPARE

Tinkoff sought admission and treated bulletin as offer, application as acceptance; university reserved broad rejection power. Steinberg instead seeks promised criteria and uses the opposite formation sequence. Similar facts do not make identical issues.

VOCABULARY ON THIS PAGE

offer — Manifested willingness to be bound on terms through invited acceptance.

acceptance — Assent by invited words/acts; identify whose act and when contract formed.

SELF-TEST

Cover the notes. State the point of the marked passage, explain why it matters to the main question, and identify one fact or condition that would change the answer.

He contends that the school was duty bound under the terms of the contract to evaluate his application according to its stated standards and that the deviation from these standards not only breached the contract, but amounted to an arbitrary selection which constituted a violation of due process and equal protection. He concludes that such a breach did in fact take place each and every time during the past ten years that the school evaluated applicants according to their relationship to the school's faculty members or members of its board of trustees, or in accordance with their ability to make or pledge large sums of money to the school. Finally, he asserts that he is a member and a proper representative of the class that has been damaged by the school's practice.

The school counters that no contract came into being because informational brochures, such as its bulletin, do not constitute offers, but are construed by the courts to be general proposals to consider, examine and negotiate. The school points out that this doctrine has been specifically applied in Illinois to university informational publications. (People ex rel. Tinkoff v. Northwestern University (1947), 333 Ill. App. 224, 77 N.E.2d 345.) In Tinkoff, a rejected applicant sued to force Northwestern to admit him, claiming that the university had violated the contract that arose when he demonstrated that he had met the school's academic entrance requirements and had submitted his application and fee. His primary contention was that the school's brochure was an offer and that his completion of the acts, required by the bulletin for application, constituted his acceptance.

In rejecting this argument, the court stated:

"Plaintiffs complain Tinkoff, Jr. was denied the right to contract as guaranteed by the Illinois and United States constitutions. We need only say that he had no right to contract with the University. His right to contract for and pursue an education is limited by the right which the University has under its charter. We see no merit to plaintiff's contention that the rules and regulations were an offer of contract and his compliance therewith and acceptance giving rise to a binding contract. The wording of the bulletin required further action by the University in admitting Tinkoff, Jr. before a contract between them would arise." (333 Ill. App. 224, 232.)

The court based its holding on the fact that Northwestern, as a private educational institution, had reserved in its State charter the right to reject any application for any reason it deemed adequate. Although the facts of the Tinkoff case are similar to the present situation, we believe that the defendant's reliance upon it is misplaced. First, Steinberg is not claiming that his submission of the application and the \$15 constituted an acceptance by him; he is merely maintaining that it was an offer, which required the subsequent acceptance of the school to create a contract. Also, it is obvious that his assertion that the bulletin of the school only amounted to an invitation to make an offer, is consistent with the prevailing law and the school's own position.

More importantly, Steinberg is not requesting that the school be ordered to admit him as a student, pursuant to the contract, but only that the school be prohibited from misleading

009 | SOURCE PAGE 4

READ → EXPLAIN → TEST

COMPARE

Dempsey concerned expenses assumed before a boxing contract, including Wills arrangements. Here the \$15 is consideration for the evaluation promise, not speculative precontract expense. The school misstates Steinberg's theory.

VOCABULARY ON THIS PAGE

consideration — Bargained exchange/benefit/detriment supporting enforceability; Steinberg's fee supports evaluation promise.

offer — Manifested willingness to be bound on terms through invited acceptance.

SELF-TEST

Cover the notes. State the point of the marked passage, explain why it matters to the main question, and identify one fact or condition that would change the answer.

prospective students by stating in its informational literature, evaluation standards that are not subsequently used in the selection of students. Furthermore, the school does not allege, nor did it demonstrate by way of its bulletin or its charter that it had reserved the right to reject any applicant for any reason. It only stated certain narrow standards by which each and every applicant was to be evaluated.

In relation to the preceding argument, the school also maintains that the \$15 application fee did not amount to a legal consideration, but only constituted a precontracting expense. Consequently, the school argues that as a matter of law the \$15 is not recoverable as damage even if a contract was eventually entered into and breached. *Chicago Coliseum Club v. Dempsey* (1932), 265 Ill. App. 542.

In the Dempsey case, boxing promoters incurred expenses and entered into several contracts that were necessary for the staging of a heavyweight championship fight. However, most of the contracts were entered into prior to signing Dempsey (the then heavyweight champion) for the event. For example, approximately a week prior to Dempsey's signing, the plaintiff entered into a contract with a fighter named Wills, who was to be the champion's opponent. Dempsey signed a contract but later breached it, and the fight promoters sued him for expenses incurred by them under the Wills contract and under other contracts which had been entered into by them in anticipation of the champion signing a contract and fulfilling his obligation thereunder.

The court stated:

"The general rule is that in an action for a breach of contract a party can recover only on damages which naturally flow from and are the result of the act complained of * * *. The Wills contract was entered into prior to the contract with the defendant and was not made contingent upon the plaintiff's obtaining a similar agreement with the defendant Dempsey. Under the circumstances the plaintiff speculated as to the result of his efforts to procure the Dempsey contract * * *. Any obligations assumed by the plaintiff prior to that time [of contracting with Mr. Dempsey] are not chargeable to the defendant." (265 Ill. App. 542, 550-51.)

The defendant's reliance on the Dempsey case is also misplaced. Although it is a leading case for the proposition that expenses incurred during preliminary negotiations to procure a contract are not recoverable as damages, it has no relevance to the allegations of Steinberg's complaint. The defendant misconceives and misstates his position when it asserts that the Tinkoff and Dempsey cases "are completely dispositive of plaintiff's argument that the informational brochure constituted an 'offer' to evaluate applicants solely on the basis of criteria set forth therein, and the submission of an application with the \$15.00 fee the 'consideration' binding that offer and effecting a consummated contract." He does not claim that the brochure was an offer and his submission of a fee an acceptance of that offer. To repeat, what he does claim is that the brochure was an invitation to make an offer; that his response was an offer, and that the school's retention of his fee was an acceptance of that offer.

009 | SOURCE PAGE 5

READ → EXPLAIN → TEST

HOLDING

Court agrees contract existed and evaluation promise was definite. Alleged injury is using unpublished criteria, not rejection itself. At dismissal, well-pleaded allegations are accepted; this is not a trial verdict proving all misconduct.

TRAP

Only count I's dismissal reversed/remanded. Published criteria: scholarship, character, motivation; academic achievement, MCAT, appraisals, and interview if requested; no race/creed/sex discrimination in bulletin wording.

VOCABULARY ON THIS PAGE

consideration — Bargained exchange/benefit/detriment supporting enforceability; Steinberg's fee supports evaluation promise.

motion to dismiss — Challenge to legal sufficiency; well-pleaded allegations can be assumed without trial proof.

SELF-TEST

Cover the notes. State the point of the marked passage, explain why it matters to the main question, and identify one fact or condition that would change the answer.

We agree with Steinberg's position. We believe that he and the school entered into an enforceable contract; that the school's obligation under the contract was stated in the school's bulletin in a definitive manner and that by accepting his application fee - a valuable consideration - the school bound itself to fulfill its promises. Steinberg accepted the school's promises in good faith and he was entitled to have his application judged according to the school's stated criteria.

The school argues that he should not be allowed to recover because his complaint did not state a causal connection between the rejection of his application and the school's alleged use of unpublished evaluation criteria. It points out that there is an equal probability that his application was rejected for failing to meet the stated standards, and since the cause of his damages is left to conjecture they may be attributed as easily to a condition for which there is no liability as to one for which there is.

This argument focuses on the wrong point. Once again, Steinberg did not allege that he was damaged when the school rejected his application. He alleged that he was damaged when the school used evaluation criteria other than those published in the school's bulletin. This ultimate, wellpleaded allegation was admitted by the school's motion to dismiss. *Logan v. Presbyterian-St. Luke's Hospital* (1968), 92 Ill. App. 2d 68, 235 N.E.2d 851.

The primary purpose of pleadings is to inform the opposite party and the court of the nature of the action and the facts on which it is based. The Civil Practice Act of Illinois provides that pleadings shall be liberally construed to the end that controversies may be settled on their merits. (*Jorgensen v. Baker* (1959), 21 Ill. App. 2d 196, 157 N.E.2d 773; Ill. Rev. Stat. 1973, ch. 110, par. 33(3).) Therefore, a cause of action should not be dismissed unless it clearly appears that no set of facts can be proven under the pleadings which will entitle the plaintiff to recover. (*Herman v. Prudence Mutual Casualty Co.* (1968), 92 Ill. App. 2d 222, 235 N.E.2d 346.) Additionally, a complaint will not be dismissed for failure to state a cause of action if the facts essential to its claim appear by reasonable implication. (*Johnson v. Illini Mutual Insurance Co.* (1958), 18 Ill. App. 2d 211, 151 N.E.2d 634.) A complaint is not required to make out a case which will entitle the plaintiff to all of the sought-after relief, but it need only raise a fair question as to the existence of the right. *People ex rel. Clark v. McCurdie* (1966), 75 Ill. App. 2d 217, 220 N.E.2d 318.

Count I of Steinberg's complaint stated a valid cause of action, and the portion of the trial court's order dismissing that count will be reversed and remanded.

010 A Note on Limitations to Contract Remedies

MAIN QUESTION

What limits recovery after a contract breach, even if the plaintiff has an enforceable promise?

ANSWER / RESULT

Certainty, foreseeability at contracting, mitigation, and litigation costs limit recovery; specific performance is exceptional when money is inadequate and performance unique.

WHERE TO POINT ON THE ORIGINAL

Teaching note, not a case: organizing framework on source p. 1 and costs continuation on p. 2.

Reading route: source page → what to recover

p. 1 | main question: limits; rule: personal service; rule: reasonable certainty; rule: time of contracting; rule: reasonable steps

p. 2 | compare: British

Cold-call checklist

State the precise issue → identify procedural posture → give the governing rule → name the facts doing legal work → explain the result and what remains undecided. For a note/article, substitute author's thesis, framework, examples, and limits for court holding.

A NOTE ON LIMITATIONS TO CONTRACT REMEDIES

We have already noted that one contract remedy - - specific performance - - is not automatically available to all victims of breaches of contracts. Indeed, specific performance is an exceptional remedy and will only be granted when the victim can show that the requested performance is somehow “unique” and that monetary damages will not adequately compensate for the breach. When personal service contracts are at issue, an order of specific performance is almost never granted under the common law (although orders of reinstatement with back pay are a more common remedy under U.S. labor and antidiscrimination statutes).

Even when the remedy is damages, however, the victim’s problems in gaining compensation are not over. There are several doctrines in the law of damages that act as limits on the ability of plaintiffs to recover everything they make seek in the wake of a contract breach.

1. Certainty

Plaintiffs must prove their losses with reasonable certainty and cannot expect to recover damages that are speculative. Most cases involving the issue of certainty concern requests by plaintiffs to recover “consequential” losses such as lost future profits. Suppose a brand new business suffers a breach on contract with a supplier. The business had hoped to make a lot of money based on the supplier’s performance, but the new business has no track record of past profits to help a court make an informed guess as to what those lost profits might actually have been. It may try to find other similar businesses and use them as examples, but each business is unique and proof that one company can make a profit is not necessarily proof that another company with different management can or will. The new company’s case for lost profits may therefore fail for want of reasonably certain proof.

2. Foreseeability

The type of damages claimed must be reasonably foreseeable at the time of contracting. A defendant cannot be held to account for every consequence of a breach of contract. For example, because of the breach, the victim’s business may falter, and he or she may need to borrow money to make payments for a child’s college tuition. Does that mean that the breaching party must pay the interest cost for the borrowed money? No. Such damages are not “foreseeable” within the context of a business relationship and the plaintiff’s claim will fail.

3. Mitigation

The law does not permit victims of contract breaches to sit back and enjoy life, knowing that the breaching party must now pay for their losses. Quite the contrary. Through the doctrine of “mitigation of damages,” the law requires the victim of the breach to take reasonable steps to cover their own losses by, for example, reselling their goods to another buyer or taking another job when an employer breaches a contract by firing them. Of course, the resale or new job may not pay as well as the original contract. If so, the victim may recover the difference between what they ended up with and what they had expected to get. But if the plaintiff takes no steps to mitigate losses, they will in no event be able to recover more than they would have had they taken these reasonable steps. The doctrine of mitigation keeps the economy moving even after breaches of contract and makes clear that plaintiffs have a responsibility to help minimize their losses.

4. Costs of Suit

It should also be recalled that victims of contract breaches must usually pay their own way in the U.S. legal system. That means they must pay for lawyers, courts costs, etc. even when they succeed in

010 | SOURCE PAGE 1

READ → EXPLAIN → TEST

MAIN QUESTION

AUTHOR'S STUDY QUESTION: why does a breach not guarantee full practical compensation? Separate entitlement to a remedy from proof and limits on the amount.

RULE

Specific performance: uniqueness plus inadequate monetary relief. Common-law personal-service orders almost never; statutory reinstatement/back pay is distinguished. This qualification matters when comparing the class 7 unique-service illustration.

RULE

Certainty is reasonable, not mathematical perfection. New-business lost profits lack a track record; comparables may help but different management means another firm's profits do not establish this firm's profits.

RULE

Foreseeability assessed when contracting, not only after breach. Business failure leading to borrowed college tuition and interest is the note's remote-consequence example.

RULE

Mitigation requires reasonable loss-reduction steps: resell goods, find another job. A lower replacement price/pay may leave a recoverable difference. Avoidable losses cannot simply accumulate at the breacher's expense.

VOCABULARY ON THIS PAGE

specific performance — Order for promised performance where monetary relief inadequate; note 010 limits personal-service orders.

foreseeability — Reasonable anticipation; note 010 measures contract loss at contracting. Cox examines foreseeable injury in context.

SELF-TEST

Cover the notes. State the point of the marked passage, explain why it matters to the main question, and identify one fact or condition that would change the answer.

winning their case and proving a right to damages or specific performance. Thus, even when the victim wins a substantial judgment for lost profits, the costs of the lawsuit must be deducted from that award and the victim ends up being made less than “whole.” Under other legal systems — such as the British system -- the losers must pay the winners of the suit their lawyers’ fees and court costs. Which system do you think is fairer? Which system generates the most lawsuits?

010 | SOURCE PAGE 2

READ → EXPLAIN → TEST

COMPARE

Usual U.S. own-fees model versus the note's British loser-pays comparison. Winning damages may leave claimant less than whole after expenses. The note asks which system is fairer/produces more suits; those are discussion questions, not supplied empirical answers.

VOCABULARY ON THIS PAGE

specific performance — Order for promised performance where monetary relief inadequate; note 010 limits personal-service orders.

SELF-TEST

Cover the notes. State the point of the marked passage, explain why it matters to the main question, and identify one fact or condition that would change the answer.

011 Ericson v Playgirl

MAIN QUESTION

Were the contract damages speculative, or clearly ascertainable and reasonably certain in nature and origin?

ANSWER / RESULT

The \$12,500 compensatory award was speculative. Breach was established, but general publicity loss was not proven as a definite professional loss. Modified to \$300 nominal damages; affirmed as modified.

WHERE TO POINT ON THE ORIGINAL

Exact opening question: source p. 1. Sole substantial appellate issue is damages, not formation or breach.

Reading route: source page → what to recover

p. 1 | main question: Were damages; fact: \$12,500

p. 2 | rule: three important consequences; trap: \$25,000

p. 3 | reason: better known for what; compare: Oliver

p. 4 | compare: Zorich; compare: Leavy

p. 5 | holding: nominal damages

Cold-call checklist

State the precise issue → identify procedural posture → give the governing rule → name the facts doing legal work → explain the result and what remains undecided. For a note/article, substitute author's thesis, framework, examples, and limits for court holding.

Legal Studies 101
Case edited

Court of Appeal, Second District, Division 2, California.

John ERICSON, Plaintiff and Respondent,
v.
PLAYGIRL, INC., a corporation, Defendant and Appellant.

Civ. 50636.

Oct. 3, 1977.
Hearing Denied Nov. 30, 1977.

FLEMING, Acting Presiding Justice.

Were damages awarded here for breach of contract speculative and conjectural, or were they clearly ascertainably and reasonably certain, both in nature and in origin?

The breach of contract arose from the following circumstances: plaintiff John Ericson, in order to boost his career as an actor, agreed that defendant Playgirl, Inc. could publish without compensation as the centerfold of its January 1974 issue of Playgirl photographs of Ericson posing naked at Lion Country Safari. No immediate career boost to Ericson resulted from the publication. In April 1974 defendant wished to use the pictures again for its annual edition entitled Best of Playgirl, a publication with half the circulation of Playgirl and without advertising. Ericson agreed to a rerun of his pictures in Best of Playgirl on two conditions: that certain of them be cropped to more modest exposure, and that Ericson's photograph occupy a quarter of the front cover, which would contain photographs of five other persons on its remaining three-quarters. Defendant honored the first of these conditions but not the second, in that as the result of an editorial mixup Ericson's photograph did not appear on the cover of Best of Playgirl. Ericson thereupon sued for damages, not for invasion of privacy from unauthorized publication of his pictures, but for loss of the publicity he would have received if defendant had put Ericson's picture on the cover as it had agreed to do.

All witnesses testified that the front cover of a magazine is not for sale, that a publisher reserves exclusive control over the front cover because its format is crucial to circulation, that consequently it is impossible to quote a direct price for front cover space. Witnesses also agreed that a picture on the front cover of a national magazine can provide valuable publicity for an actor or entertainer, but that it is difficult to put a price on this publicity. Analogies were sought in the cost of advertising space inside and on the back cover of national magazines. In July 1974 a full-page advertisement in Playgirl cost \$7500 to \$8000, a quarter page \$2500, and the back cover \$11,000. However, Best of Playgirl carried no advertising and enjoyed only half the circulation of its parent magazine.

The trial court awarded plaintiff damages of \$12,500, expressly basing its award on the testimony of Richard Cook, western advertising manager for TV Guide. According to Cook, the value to an entertainer of an appearance on the cover of a national magazine is 'probably close to \$50,000, and I base that on this: That magazine lays on the newsstand, a lot of people that never buy it see it, and everybody that does buy it certainly sees it.' Cook said that the circulation of a magazine affects the value of a cover appearance, as does the magazine's demographics, i.e. the specific audience it reaches. He based his opinion on his knowledge of Playgirl, for he had no knowledge of the circulation, demographics, or even existence of Best of Playgirl. He also quantified his opinion by stating that if the picture only occupied a quarter of the cover instead of the full cover, the value of the appearance would be only a fourth of \$50,000, which was the figure used by the trial court in fixing plaintiff's damages for loss of publicity at \$12,500.

I

On appeal the sole substantial issue is that of damages, for it is clear the parties entered a contract which defendant

011 | SOURCE PAGE 1

READ → EXPLAIN → TEST

MAIN QUESTION

HIGHLIGHT FIRST SENTENCE. What is disputed is proof of damages. Ericson originally authorized January 1974 publication for publicity, without payment; later reuse required cropping and a quarter-cover photo. Cropping occurred; cover placement did not.

FACT

Award = one-quarter of expert's \$50,000 full-cover estimate. Expert knew Playgirl, not Best of Playgirl; latter had half circulation and no advertising. Cover space is not sold, so interior-ad prices are imperfect comparators.

SELF-TEST

Cover the notes. State the point of the marked passage, explain why it matters to the main question, and identify one fact or condition that would change the answer.

breached.¹

In reviewing the issue of damages we first note that the cause of action is for breach of contract and not for a tort such as invasion of privacy. Defendant is not charged with committing a civil wrong but merely with failing to keep its promise. From this classification of the action as breach of contract, three important consequences affecting the measure of damages follow:

1. Damages may not be punitive or exemplary and may not be imposed as a form of chastisement (Civ. Code, s 3294).
2. Damages are limited to losses that might reasonably be contemplated or foreseen by the parties. (Civ. Code, ss 3300, 3358; Hadley v. Baxendale (1854) 156 English Reprints 145.)
3. Damages must be clearly ascertainable and reasonably certain, both in their nature and origin. (Civ. Code, s 3301.)

In each of these respects damages for breach of contract differ from damages in tort (see Civ. Code, ss 3294, 3333); accordingly, tort precedents on the measure of damages have no direct relevancy here. Of limited application, too, is the tort rule that when calculation of the fact and amount of damages has been made difficult by defendant's wrong, courts will adopt whatever means are at hand to right the wrong. (Bigelow v. R.K.O. Radio Pictures, Inc. (1946) 327 U.S. 251, 265--66, 66 S.Ct. 574, 90 L.Ed. 652; Zinn v. Ex-Cell-O Corp. (1944) 24 Cal.2d 290, 297--98, 149 P.2d 177, cf. California Lettuce Growers, Inc. v. Union Sugar Co. (1955) 45 Cal.2d 474, 486--87, 289 P.2d 785.)

Plaintiff's claim of damages for breach of contract was based entirely on the loss of general publicity he would have received by having his photograph appear, alongside those of five others, on the cover of Best of Playgirl.² Plaintiff proved that advertising is expensive to buy, that publicity has value for an actor. But what he did not prove was that loss of publicity as the result of his non-appearance on the cover of Best of Playgirl did in fact damage him in any substantial way or in any specific amount. Plaintiff's claim sharply contrasts with those few breach of contract cases that have found damages for loss of publicity reasonably certain and reasonably calculable, as in refusals to continue an advertising contract. In such cases the court has assessed damages at the market value of the advertising, less the agreed contract price. (See Metropolitan Broadcasting Corp. v. Lebowitz (1961), 110 U.S.App.D.C. 336, 293 F.2d

¹ The contract consisted of the following letter:

"I, John Ericson, hereby release to Playgirl the use of my centerfold, cropped to eliminate genital exposure, to appear as a fold-out in 'The Best of Playgirl'. Also, it is understood that a head shot of me will appear on the front cover of 'The Best of Playgirl', lower left. I further release all other pictures which appeared in the January centerfold section for use in The Best of Playgirl."

² Plaintiff also argues, although he did not plead or prove, a claim of implied contract in quantum meruit for the value of goods and services sold and delivered. He invokes the rule that an owner of property is competent to testify to its value, and in support of the judgment he cites his own testimony that the value of his centerfold pictures was \$25,000. That testimony alone, he asserts, provided sufficient competent evidence to affirm the judgment. (Donahue v. United Artists Corp. (1969) 2 Cal.App.3d 794, 802, 83 Cal.Rptr. 131; Golding v. R.K.O. Pictures Inc. (1950) 35 Cal.2d 690, 700--01, 221 P.2d 95.) But the damages here involve plaintiff's loss of publicity from his non-appearance on the front cover of Best of Playgirl. The front cover of the magazine is not plaintiff's property, the photographs of plaintiff posing in Lion Country Safari are not plaintiff's property, nor are plaintiff's services in posing for the pictures property of a sufficiently tangible nature to justify non-expert opinion by the poser of the value of their use. Plaintiff had previously authorized use of his centerfold pictures for nothing, and there was testimony that the maximum fee for posing for a centerfold was \$1,000. Plaintiff's testimony on the value of the centerfold is both irrelevant and unpersuasive.

011 | SOURCE PAGE 2

READ → EXPLAIN → TEST

RULE

Contract, not privacy tort: no punitive/chastising damages; foreseeable losses; reasonably certain nature/origin. Footnote contains the actual release: lower-left head shot on cover. Wrong remedy theory can distort the measure.

TRAP

Ericson's claimed \$25,000 picture value did not prove this lost-publicity damage. Quantum meruit not pleaded/proved; magazine cover not his property. Court does not substitute picture-sale value for promised publicity.

VOCABULARY ON THIS PAGE

punitive — Punishment-oriented damages; Ericson excludes punishment for the contract claim before it.

affirm — Leave the reviewed ruling in place, within the disposition's stated scope.

SELF-TEST

Cover the notes. State the point of the marked passage, explain why it matters to the main question, and identify one fact or condition that would change the answer.

011 | SOURCE PAGE 3

READ → EXPLAIN → TEST

REASON

Yachtsman lawyer, mountain-climber dentist, channel-swimming hairdresser: general fame need not increase demand for professional services. Ask whether publicity relates to the skill/business whose earnings were affected.

COMPARE

Professional-performance publicity may be compensable: appearances, artistic work, credits. Oliver/Colvig support the category, not a rule that all publicity loss automatically generates damages.

VOCABULARY ON THIS PAGE

punitive — Punishment-oriented damages; Ericson excludes punishment for the contract claim before it.

foreseeability — Reasonable anticipation; note 010 measures contract loss at contracting, Cox examines foreseeable injury in context.

SELF-TEST

Cover the notes. State the point of the marked passage, explain why it matters to the main question, and identify one fact or condition that would change the answer.

140 Cal.Rptr. 921.

FOR EDUCATIONAL USE ONLY

Page 3

96 A.L.R.3d 427

(Cite as: 73 Cal.App.3d 850, 140 Cal.Rptr. 921)

524; Annot., 39 A.L.R.2d 119.) Plaintiff's claim for damages more closely resembles those which have been held speculative and conjectural, as in the analogous cases of *Jones v. San Bernardino Real Estate Board* (1959) 168 Cal.App.2d 661, 665, 336 P.2d 606 where the court declined to award purely conjectural damages for loss of commissions, contacts, business associations, and clientele allegedly occasioned by plaintiff's expulsion from a local realty board; and of *Fisher v. Hampton* (1975) 44 Cal.App.3d 741, 118 Cal.Rptr. 811, where the court rejected an award of damages for defendant's failure to drill a \$35,000 oil well when geological reports opined that oil would not be found and no evidence whatever established that plaintiff had been damaged. Under normal legal rules plaintiff's claim for damages failed to satisfy the requirements of reasonable foreseeability (Civ. Code, s 3300) and reasonable certainty (Civ. Code, s 3301), and therefore took on a punitive hue (Civ. Code, s 3294).

II

Plaintiff, however, contends that special rules of foreseeability and certainty of damages apply to loss of publicity by actors, entertainers, and other performing artists dependent upon public patronage for the success of their careers. In substance, plaintiff argues that for artists the loss of any kind of publicity is harmful and detrimental to their careers; hence for them any loss of publicity in breach of contract is compensable in damages. In order to evaluate this contention we must consider the nature and kind of publicity that plaintiff has lost.

All persons who offer personal services to the general public rely on goodwill to establish and maintain custom (cf. Bus. & Prof.Code, s 14100), and at first blush it seems reasonable to assume that the better known they are, the more likely they are to attract custom. But to be accurate we must make this assumption more precise. We must ask the question--better known for what? A lawyer who is a famous yachtsman may not necessarily attract legal business; a dentist world-renowned as a mountain climber may not necessarily improve his practice of dentistry as a consequence of his renown; a hairdresser who swims the Catalina Channel in record time may not necessarily increase the patronage of her beauty salon. For publicity to be of value and result in custom it must relate to the specific aspect of the human activity that is involved. General publicity bears little relation to the reputé that leads to custom and trade, for it is specific reputation that brings about gain or loss of business. (Cf. Civ. Code, ss 46(3), 48a(4)(b).) It follows that damages for loss of publicity in breach of contract must be tied to loss of publicity for some particular event, such as a musical concert or a prize fight, or loss of publicity for some continuing activity, such as the conduct of a specific business at a specific location or the practice of a particular skill or art. Consequently, damages from loss of general publicity alone will almost always be wholly speculative and conjectural.

Plaintiff, however, insists that actors and performing artists fall in a special category apart from other purveyors of personal services. He argues that an actor needs an audience to perform; that an actor must be visible to patrons of his art to become successful; that only by becoming publicly visible can an actor become favorably known to patrons of his art and to producers of dramatic productions who provide him with employment; therefore all publicity is valuable to an actor, and the loss by an actor of any publicity is injurious and damaging. To a considerable extent the argument is sound--except for the breadth of its final conclusion. In our view it is not any kind of publicity, celebrity, or notoriety that is valuable to an artist's career, but instead the publicity which is valuable to the artist is publicity related to the performance of his art. Publicity of this sort, gained by the performance or production of his art, is the type of publicity that creates good will, reputation, and custom, and which taken at the flood leads to fame and fortune. Hence the importance to actors of appearances on the stage and screen, to musicians of appearances in concerts, and to writers and composers of credits for the works they have written or composed. Loss of publicity of this type as a result of breach of contract is compensable to an actor, musician, or writer, because the lost publicity is directly connected with the performance of his art, grows out of his profession, and directly affects his earning power.

The compensability in damages for an artist's loss of publicity in connection with his art as a result of breach of contract was established by a series of English cases that culminated in *Herbert Clayton and Jack Waller Ltd. v. Oliver* (1930) A.C. 209. In that case the House of Lords squarely held that an actor whose contract of employment has been breached has a cause of action not only for loss of salary but for loss of publicity resulting from the denial of the opportunity to appear in public in his professional capacity. California has adopted the English rule in *Colvig v. R.K.O. General Inc.* (1965) 232 Cal.App.2d 56, 42 Cal.Rptr. 473. But an examination of the cases allowing

(Cite as: 73 Cal.App.3d 850, 140 Cal.Rptr. 921)

recovery of damages for loss of publicity as a result of breach of contract discloses that in each instance the lost publicity grew out of the loss of the artist's exercise of his profession, i.e., loss of the opportunity to act, to broadcast, to sing, to conduct an orchestra, to entertain; or resulted from the loss of credit to the artist for professional services connected with a particular work, i.e., a script, play, musical composition, design, production, and the like. Publicity in both these categories performs a similar function in that it permits patrons and producers to evaluate the artist's merits in connection with the performance of his art. Damages for the loss of such publicity does not present insuperable difficulties in calculation, for the artist's future earnings can be directly correlated to his box office appeal or to his known record of successes. But even here proof of damages from loss of publicity must be reasonably certain and specific, and those claims that appear speculative and conjectural are rejected. For example, in Zorich v. Petroff (1957) 152 Cal.App.2d 806, 811, 313 P.2d 118, the court declined to award damages to an associate producer of a motion picture for defendant's failure to give him screen credit. In that case the motion picture was a failure, no evidence of actual damage was introduced, and the court opined that screen credit, if given, might have turned out to be a liability rather than an asset.

A yawning gulf exists between the cases that involve loss of professional publicity and the instant case in which plaintiff complains of loss of mere general publicity that bears no relation to the practice of his art. His situation is comparable to that of an actor who hopes to obtain wide publicity by cutting the ribbon for the opening of a new resort-hotel complex, by sponsoring a golf or tennis tournament, by presenting the winning trophy at the national horse show, or by acting as master of ceremonies at a televised political dinner. Each of these activities may generate wide publicity that conceivably could bring the artist to the attention of patrons and producers of his art and thus lead to professional employment. Yet none of it bears any relation to the practice of his art. Plaintiff's argument, in essence, is that for an actor all publicity is valuable, and the loss of any publicity as a result of breach of contract is compensable. Carried to this point, we think his claim for damages becomes wholly speculative. It is possible, as plaintiff suggests, that a television programmer might have seen his photograph on the cover of *Best of Playgirl*, might have scheduled plaintiff for a talk show, and that a motion picture producer viewing the talk show might recall plaintiff's past performances, and decide to offer him a role in his next production. But it is equally plausible to speculate that plaintiff might have been hurt professionally rather than helped by having his picture appear on the cover of *Best of Playgirl*, that a motion picture producer whose attention had been drawn by the cover of the magazine to its contents depicting plaintiff posing naked in *Lion Country Safari* might dismiss plaintiff from serious consideration for a role in his next production. The speculative and conjectural nature of such possibilities speaks for itself.

Assessment of the value of general publicity unrelated to professional performance takes us on a random walk whose destination is as unpredictable as the lottery and the roulette wheel. When, as at bench, damages to earning capacity and loss of professional publicity in the practice of one's art are not involved, we think recovery of compensable damages for loss of publicity is barred by the Civil Code requirement that damages for breach of contract be clearly foreseeable and clearly ascertainable. (ss 3300, 3301.)

Plaintiff relies heavily on the somewhat analogous case of Leavy v. Cooney (1963) 214 Cal.App.2d 496, 29 Cal.Rptr. 580. In that case Leavy, the prosecutor in the notorious Chessman case, appeared as narrator and participant in a motion picture depicting the prosecution and imprisonment of Chessman, under an agreement that the picture would be shown only on television as a news broadcast and not in motion picture theaters. Defendant breached that agreement. In affirming an award of compensatory damages of \$7,500 to plaintiff, the court pointed out that plaintiff's professional reputation could well have been damaged by the publicity occasioned by the breach of contract, that it was within the jury's discretion to assess the detriment caused. (214 Cal.App.2d at 501--02, 29 Cal.Rptr. 580.) Two critical factors distinguish Leavy from the cause before us: First, the publicity in Leavy intimately and directly related to the prosecutor's practice of his profession. Second, the publicity was Unwanted, and defendant's conduct constituted the tort of invasion of privacy as well as breach of contract. At bench, the gist of plaintiff's claim is the precise opposite, for he seeks damages for loss of Wanted publicity. No injury to personal rights and no relation to professional activities are involved. We conclude that the damages awarded by the trial court are speculative and conjectural, and that plaintiff failed to establish any ascertainable loss for which he is entitled to compensatory damages.

011 | SOURCE PAGE 4

READ → EXPLAIN → TEST

COMPARE

Failed film with omitted screen credit: credit could be liability rather than asset, and damage unproved. Talk-show-to-film-role chain is speculative; the same photo could hurt career prospects.

COMPARE

Leavy: unwanted publicity directly linked to prosecutor's profession and also a privacy tort. Ericson: wanted general publicity, no comparable professional connection. Result follows these differences, not a blanket ban on intangible damages.

VOCABULARY ON THIS PAGE

compensatory damages — Money aimed at compensating legally cognizable, supported loss rather than punishing.

affirm — Leave the reviewed ruling in place, within the disposition's stated scope.

SELF-TEST

Cover the notes. State the point of the marked passage, explain why it matters to the main question, and identify one fact or condition that would change the answer.

III

Plaintiff, however, is entitled to recover nominal damages for breach of contract. We evaluate plaintiff's right to nominal damages by analogy to Civil Code section 3344, which provides minimum statutory damages of \$300 for knowing commercial use of a person's name or likeness without his consent. The statute's obvious purpose is to specify an amount for nominal damages in situations where actual damages are impossible to assess. Accordingly, although we find no support for any assessment of compensatory damages in plaintiff's favor because of the wholly speculative nature of the detriment suffered by plaintiff as a result of his non-appearance on a fourth of the cover of Best of Playgirl, plaintiff is entitled to nominal damages for breach of contract, which we fix in the sum of \$300.

The judgment is modified to reduce the amount of damages to \$300, and, as so modified, the judgment is affirmed. Costs on appeal to plaintiff.

COMPTON and BEACH, JJ., concur.

140 Cal.Rptr. 921, 73 Cal.App.3d 850, 96 A.L.R.3d 427

011 | SOURCE PAGE 5

READ → EXPLAIN → TEST

HOLDING

\$300 nominal damages by analogy to the then-described \$3344 amount; compensatory award reduced from \$12,500. Costs on appeal to plaintiff. Do not present that historical figure as today's universal statutory minimum.

VOCABULARY ON THIS PAGE

compensatory damages — Money aimed at compensating legally cognizable, supported loss rather than punishing.

affirm — Leave the reviewed ruling in place, within the disposition's stated scope.

SELF-TEST

Cover the notes. State the point of the marked passage, explain why it matters to the main question, and identify one fact or condition that would change the answer.

012 Percoco v United States

MAIN QUESTION

Can a private citizen with influence over government decisions be convicted of honest-services wire fraud on the theory used in Percoco's jury instructions?

ANSWER / RESULT

The "dominated and controlled" / "special relationship" test is too vague. Private status is not categorical immunity: actual government agency can carry fiduciary duties. Reversed and remanded.

WHERE TO POINT ON THE ORIGINAL

Court's express question: source p. 4 (opinion p. 1). Exact rejected instruction: source pp. 12-13.

Reading route: source page → what to recover

- p. 1 | fact: eight-month
- p. 2 | history: McNally
- p. 3 | trap: agency
- p. 4 | main question: we consider whether a private citizen
- p. 5 | fact: December 3
- p. 6 | posture: Only the wire fraud conspiracy
- p. 7 | rule: dominated
- p. 8 | history: Margiotta
- p. 9 | history: Congress
- p. 10 | compare: Skilling
- p. 11 | argument: sweep too broadly
- p. 12 | rule: agent owes a fiduciary
- p. 13 | reason: too vague
- p. 14 | argument: two discrete circumstances
- p. 15 | holding: reversed
- p. 16 | separate opinion: problem runs deeper
- p. 17 | separate opinion: clarified nothing
- p. 18 | separate opinion: not interpretation but
- p. 19 | separate opinion: source of law
- p. 20 | separate opinion: Legislative Branch
- p. 21 | separate opinion: knowable in advance

Cold-call checklist

State the precise issue → identify procedural posture → give the governing rule → name the facts doing legal work → explain the result and what remains undecided. For a note/article, substitute author's thesis, framework, examples, and limits for court holding.

012 | SOURCE PAGE 1

READ → EXPLAIN → TEST

FACT

Percoco was Cuomo's Executive Deputy Secretary, 2011-2016, with an eight-month campaign hiatus in 2014. COR paid \$35,000 to obtain help avoiding a Labor Peace Agreement required for state funding.

SELF-TEST

Cover the notes. State the point of the marked passage, explain why it matters to the main question, and identify one fact or condition that would change the answer.

(Slip Opinion) OCTOBER TERM, 2022 1

Syllabus

NOTE: Where it is feasible, a syllabus (headnote) will be released, as is being done in connection with this case, at the time the opinion is issued. The syllabus constitutes no part of the opinion of the Court but has been prepared by the Reporter of Decisions for the convenience of the reader. See *United States v. Detroit Timber & Lumber Co.*, 200 U. S. 321, 337.

SUPREME COURT OF THE UNITED STATES

Syllabus

PERCOCO v. UNITED STATES ET AL.

CERTIORARI TO THE UNITED STATES COURT OF APPEALS FOR THE SECOND CIRCUIT

No. 21–1158. Argued November 28, 2022—Decided May 11, 2023

Petitioner Joseph Percoco served as the Executive Deputy Secretary to New York Governor Andrew Cuomo from 2011 to 2016, a position that gave him a wide range of influence over state decision-making, with one brief hiatus. During an eight-month period in 2014, Percoco resigned from government service to manage the Governor's reelection campaign. During this hiatus, Percoco accepted payments totaling \$35,000 to assist a real-estate development company owned by Steven Aiello in its dealings with Empire State Development, a state agency. After Percoco urged a senior official at ESD to drop a requirement that Aiello's company enter into a "Labor Peace Agreement" with local unions as a precondition to receiving state funding for a lucrative project, ESD informed Aiello the following day that the agreement was not necessary. When Percoco's dealings came to the attention of the U. S. Department of Justice, he was indicted and charged with, among other things, conspiracy to commit honest-services wire fraud in relation to the labor-peace requirement (count 10). See 18 U. S. C. §§1343, 1346, 1349. Throughout the proceedings, Percoco argued unsuccessfully that a private citizen cannot commit or conspire to commit honest-services wire fraud based on his own duty of honest services to the public. Over Percoco's objection, the trial court instructed the jury that Percoco could be found to have had a duty to provide honest services to the public during the time when he was not serving as a public official if the jury concluded, first, that "he dominated and controlled any governmental business" and, second, that "people working in the government actually relied on him because of a special relationship he had with the government." As relevant here, the jury convicted Percoco on count 10. On appeal, the Second Circuit affirmed, explaining that the challenged jury instruction fit the Second Circuit's understanding of

012 | SOURCE PAGE 2

READ → EXPLAIN → TEST

HISTORY

Sequence: pre-1987 honest-services doctrine; McNally rejects intangible-rights mail fraud; Congress enacts §1346; Skilling narrows it to bribes/kickbacks; Percoco addresses who owes the relevant duty.

VOCABULARY ON THIS PAGE

kickback — Value returned/provided for improper favorable treatment; locate the exchange, not merely personal enrichment.

vague — Insufficiently clear criminal boundary can undermine fair notice and permit arbitrary enforcement.

SELF-TEST

Cover the notes. State the point of the marked passage, explain why it matters to the main question, and identify one fact or condition that would change the answer.

Syllabus

honest-services fraud as adopted many years earlier in *United States v. Margiotta*, 688 F. 2d 108.

Held: Instructing the jury based on the Second Circuit’s 1982 decision in *Margiotta* on the legal standard for finding that a private citizen owes the government a duty of honest services was error. Pp. 5–12.

(a) Prior to this Court’s 1987 decision in *McNally v. United States*, 483 U. S. 350, “all Courts of Appeals had embraced” the view that the federal wire fraud and mail fraud statutes proscribe what came to be known as “honest-services fraud.” *Skilling v. United States*, 561 U. S. 358, 401. Most cases prosecuted under these statutes involved public employees accepting a bribe or kickback that did not necessarily result in a financial loss for the government employer but did deprive the government of the right to receive honest services. See *id.*, at 400–401. The Second Circuit considered a different fact pattern in *Margiotta*, in which the government had charged an unelected individual with honest-services mail fraud for using his position as a political-party chair to exert substantial control over public officials. The court held that a private person could commit honest-services fraud if he or she “dominate[d] government.” 688 F. 2d, at 122. Shortly after *Margiotta*, however, this Court rejected the entire concept of honest-services fraud in *McNally*. But “Congress responded swiftly” to *McNally*, and enacted 18 U. S. C. §1346, which provides that “‘the term “scheme or artifice to defraud,”” which appears in both §1341 and §1343, “includes a scheme or artifice to deprive another of the intangible right of honest services.”” *Skilling*, 561 U. S., at 402 (quoting §1346). Decades later in *Skilling*, this Court rejected the broad argument that §1346 is unconstitutionally vague and clarified that “the intangible right of honest services” in §1346 relates to “fraudulent schemes to deprive another of honest services through bribes or kickbacks supplied by a third party who had not been deceived.” 561 U. S., at 404.

Skilling’s approach informs the Court’s decision in this case. The Second Circuit concluded that “Congress effectively reinstated the *Margiotta*-theory cases by adopting statutory language that covered the theory.” 13 F. 4th 180, 196. But *Skilling* took care to avoid giving §1346 an indeterminate breadth that would sweep in any conception of “intangible rights of honest services” recognized by some courts prior to *McNally*. By rejecting the Government’s argument that §1346 should apply to cases involving “‘undisclosed self-dealing by a public official or private employee,”” 561 U. S., at 409, the *Skilling* Court made clear that “the intangible right of honest services” must be defined with the clarity typical of criminal statutes and should not be held to reach an ill-defined category of circumstances simply because of a few pre-*McNally* decisions. Pp. 5–8.

(b) Percoco’s arguments challenging the honest-services conspiracy

012 | SOURCE PAGE 3

READ → EXPLAIN → TEST

TRAP

Private citizen does not automatically mean no duty. Actual agency by agreement may create a fiduciary duty to government and its public. Equally, political influence alone does not automatically create that duty.

VOCABULARY ON THIS PAGE

- fiduciary** — Trust-related duty arising from a particular relationship; identify to whom it is owed.
- agent** — Actor with representative power; examine scope separately from fiduciary duties.

SELF-TEST

Cover the notes. State the point of the marked passage, explain why it matters to the main question, and identify one fact or condition that would change the answer.

Cite as: 598 U. S. ____ (2023) 3

Syllabus

count against him—that he was out of public office during part of the time period within the indictment and that a private citizen cannot be convicted of depriving the public of honest services—sweep too broadly. The Court rejects the idea that a person nominally outside public employment can *never* have the necessary fiduciary duty to the public. Through principles of agency, an individual who is not a formal employee of a government may become an actual agent of the government by agreement, and thereby have a fiduciary duty to the government and thus to the public it serves. While the Court rejects the absolute rule, “the intangible duty of honest services” codified in §1346 plainly does not extend a duty to the public to *all* private persons, and the Court therefore addresses if *Margiotta* states the correct test. Pp. 8–9.

(c) The jury instructions based on the *Margiotta* theory in Percoco’s case were erroneous. *Margiotta*’s standard in the instructions—implying that the public has a right to a private person’s honest services whenever that private person’s clout exceeds some ill-defined threshold—is too vague. Without further constraint, the jury instructions did not define “the intangible right of honest services” “‘with sufficient definiteness that ordinary people can understand what conduct is prohibited” or “‘in a manner that does not encourage arbitrary and discriminatory enforcement.’” *McDonnell v. United States*, 579 U. S. 550, 576.

The Government does not defend the jury instructions as an accurate statement of the law, but instead claims that the imprecision in the jury instructions was harmless error. The Government argues that a private individual owes a duty of honest services in the discrete circumstances (1) “when the person has been selected to work for the government” in the future and (2) “when the person exercises the functions of a government position with the acquiescence of relevant government personnel.” Brief for United States 25. These theories, however, differ substantially from the instructions given the jury in this case, and the Second Circuit did not affirm on the basis of either of them. Pp. 9–12.

13 F. 4th 180, reversed and remanded.

ALITO, J., delivered the opinion of the Court, in which ROBERTS, C. J., and SOTOMAYOR, KAGAN, KAVANAUGH, and BARRETT, JJ., joined, and in which JACKSON, J., joined as to all but Part II–C–2. GORSUCH, J., filed an opinion concurring in the judgment, in which THOMAS, J., joined.

012 | SOURCE PAGE 4

READ → EXPLAIN → TEST

MAIN QUESTION

HIGHLIGHT THIS. The operative legal issue is the duty/test supporting the conviction, not whether lobbying is morally appealing. The Court rejects this jury instruction and sends the case back.

VOCABULARY ON THIS PAGE

remand — Return to lower court for further proceedings; identify what remains unresolved.

SELF-TEST

Cover the notes. State the point of the marked passage, explain why it matters to the main question, and identify one fact or condition that would change the answer.

Cite as: 598 U. S. ____ (2023) 1

Opinion of the Court

NOTICE: This opinion is subject to formal revision before publication in the United States Reports. Readers are requested to notify the Reporter of Decisions, Supreme Court of the United States, Washington, D. C. 20543, pio@supremecourt.gov, of any typographical or other formal errors.

SUPREME COURT OF THE UNITED STATES

No. 21–1158

JOSEPH PERCOCO, PETITIONER *v.* UNITED STATES

ON WRIT OF CERTIORARI TO THE UNITED STATES COURT OF APPEALS FOR THE SECOND CIRCUIT

[May 11, 2023]

JUSTICE ALITO delivered the opinion of the Court.*

In this case, we consider whether a private citizen with influence over government decision-making can be convicted for wire fraud on the theory that he or she deprived the public of its “intangible right of honest services.” 18 U. S. C. §§1343, 1346. Petitioner Joseph Percoco was charged with conspiring to commit honest-services wire fraud during a period of time that included an eight-month interval between two stints as a top aide to the Governor of New York. Percoco was convicted of this offense based on instructions that required the jury to determine whether he had a “special relationship” with the government and had “dominated and controlled” government business. 2 App. 511. We conclude that this is not the proper test for determining whether a private person may be convicted of honest-services fraud, and we therefore reverse and remand for further proceedings.

I

Percoco was a longtime political associate of former New

*JUSTICE JACKSON joins all but Part II–C–2 of this opinion.

012 | SOURCE PAGE 5

READ → EXPLAIN → TEST

FACT

April 2014 resignation; December return. Payments in August and October totaled \$35,000. On December 3 he contacted ESD; the agency dropped the requirement the next day. Timing matters because he was still outside formal office.

SELF-TEST

Cover the notes. State the point of the marked passage, explain why it matters to the main question, and identify one fact or condition that would change the answer.

Opinion of the Court

York Governor Andrew Cuomo. Except for a brief but important hiatus in 2014, Percoco served as the Governor’s Executive Deputy Secretary from 2011 to 2016, and that position gave him a wide range of influence over state decision-making. In April 2014, Percoco resigned from this position to manage the Governor’s reelection campaign, but after the Governor was reelected, he resumed his role as Executive Deputy Secretary in December 2014.

The question we address today arises from Percoco’s activities during his break in government service. In July 2014, Empire State Development (ESD), a state agency, informed developer Steven Aiello that his real-estate company, COR Development, needed to enter into a “Labor Peace Agreement” with local unions if he wished to receive state funding for a lucrative project. *Id.*, at 597. Interested in avoiding the costs of such an agreement, Aiello reached out to Percoco through an intermediary so that Percoco could “help us with this issue while he is off the 2nd floor,” *i.e.*, the floor that housed the Governor’s office. *Id.*, at 594. Percoco agreed and received two payments totaling \$35,000 from Aiello’s company in August and October 2014. On December 3, mere days before returning to his old job, Percoco called a senior official at ESD and urged him to drop the labor-peace requirement. ESD promptly reversed course the next day and informed Aiello that the agreement was not necessary.

Percoco’s dealings in this and other matters later came to the attention of the United States Department of Justice, which obtained a multi-count indictment against Percoco and others for engaging in several allegedly illegal schemes.¹ Percoco was charged with two counts of conspiring to commit honest-services wire fraud, in violation of 18 U. S. C. §§1343, 1346, and 1349; two counts of soliciting

¹Louis Ciminelli, see No. 21–1170, was also named in this indictment but not in the counts at issue in this case.

012 | SOURCE PAGE 6

READ → EXPLAIN → TEST

POSTURE

Only count 10, involving the labor-peace requirement, is directly at issue. The indictment alleged a 2014-2015 conspiracy spanning both employment and campaign periods. Do not generalize this disposition to every charged scheme.

SELF-TEST

Cover the notes. State the point of the marked passage, explain why it matters to the main question, and identify one fact or condition that would change the answer.

Cite as: 598 U. S. ____ (2023)

3

Opinion of the Court

bribes and gratuities, in violation of §666(a)(1)(B); and three counts of Hobbs Act extortion, in violation of §1951. 1 App. 96–103. Only the wire fraud conspiracy count relating to the labor-peace requirement (count 10) is directly at issue before this Court.

That count alleged a conspiracy running “[f]rom at least in or about 2014, up to and including in or about 2015,” that is, both during the time when Percoco was formally employed in the Governor’s office and during the period when he was working on the Governor’s campaign. See *id.*, at 100 (incorporating ¶4 and ¶¶33–35 of the indictment). Before trial, Percoco moved for dismissal of that count—and another conspiracy count overlapping with the campaign period—on the ground that a private citizen cannot commit or conspire to commit honest-services wire fraud based on his own duty of honest services to the public. See *id.*, at 130, 133. The District Court denied that motion, noting that the indictment alleged that Percoco, while formally working on the Governor’s campaign, had “‘continued to function in a senior advisory and supervisory role with regard to the Governor’s Office’” and had “‘continued to be involved in the hiring of staff and the coordination of the Governor’s official events and priorities . . . among other responsibilities.’” *Id.*, at 133 (quoting *id.*, at 77, Indictment ¶4).

At trial, the prosecution introduced evidence to support the indictment’s allegations about Percoco’s activities during his break in official service, as well as evidence that he had expressed his intent and had made plans to resume official service after the election. See 13 F. 4th 180, 201–203 (CA2 2021). At the end of the prosecution’s case, Percoco again moved for judgment of acquittal on count 10, contending that no evidence showed that he had taken any act in furtherance of that conspiracy while serving in an official government capacity. *Id.*, at 187.

The court reserved decision on that motion, *ibid.*, and the

012 | SOURCE PAGE 7

READ → EXPLAIN → TEST

RULE

Know the two instructed requirements: domination/control of governmental business AND actual reliance by government workers because of a special relationship. This is the test the Supreme Court rejects, not the test to apply as good law.

VOCABULARY ON THIS PAGE

fiduciary — Trust-related duty arising from a particular relationship; identify to whom it is owed.

SELF-TEST

Cover the notes. State the point of the marked passage, explain why it matters to the main question, and identify one fact or condition that would change the answer.

Opinion of the Court

case was submitted to the jury. Over defense counsel’s objection, the court instructed that Percoco could be found to have had a duty to provide honest services to the public during the time when he was not serving as a public official if the jury concluded, first, that “he dominated and controlled any governmental business” and, second, that “people working in the government actually relied on him because of a special relationship he had with the government.” 2 App. 511. The jury convicted Percoco on count 10, as well as two other charged counts relating to additional conduct, but acquitted him on the other charges. The court then denied Percoco’s motion for judgment of acquittal, and he was sentenced to 72 months’ imprisonment. 13 F. 4th, at 187–188.

On appeal, the Second Circuit affirmed. The court explained that the “fiduciary-duty [jury] instruction” given by the trial judge “fi[t] comfortably” with, and in fact restated, the understanding of honest-services fraud that the Second Circuit had adopted many years earlier in *United States v. Margiotta*, 688 F. 2d 108 (1982). See 13 F. 4th, at 194 (noting that Percoco and his co-defendants “seem to agree that the district court’s fiduciary-duty instruct[ion] falls within *Margiotta*”). Based on that precedent, the court also rejected Percoco’s claim that there was insufficient evidence to prove that he had “owed New York State a duty of honest services while he was managing the Governor’s campaign.” *Id.*, at 201.

Percoco sought this Court’s review, asking us to decide whether a private citizen who “has informal political or other influence over governmental decisionmaking” can be convicted of honest-services fraud. Pet. for Cert. i. We granted certiorari. 597 U. S. ____ (2022).²

²Percoco did not petition for review of the Second Circuit’s affirmance of the two other convictions relating to additional conduct, including a

012 | SOURCE PAGE 8

READ → EXPLAIN → TEST

HISTORY

Margiotta involved a political-party chair rather than an elected officeholder. Its "dominate government" approach is the Second Circuit lineage of Percoco's instruction.

VOCABULARY ON THIS PAGE

kickback — Value returned/provided for improper favorable treatment; locate the exchange, not merely personal enrichment.

SELF-TEST

Cover the notes. State the point of the marked passage, explain why it matters to the main question, and identify one fact or condition that would change the answer.

Cite as: 598 U. S. ____ (2023) 5

Opinion of the Court

II
A

As noted, the decision below was based squarely on the Second Circuit’s 1982 decision in *Margiotta*, and we therefore begin by briefly recounting the events that led up to and followed that decision. The federal wire fraud statute, §1343 (like the older federal mail fraud statute, §1341), targets the use of certain instrumentalities to advance “any scheme or artifice to defraud, or for obtaining money or property by means of false or fraudulent pretenses, representations, or promises.” Before 1987, “all Courts of Appeals had embraced” the view that these statutes proscribe what came to be known as “honest-services fraud.” *Skilling v. United States*, 561 U. S. 358, 401 (2010). In most of these cases, public employees had accepted a bribe or kickback in exchange for dishonest conduct that did not necessarily cause their employers to suffer a financial loss, but this conduct was found to constitute mail or wire fraud because it deprived the relevant government unit (and thus, by extension, the public) of the right to receive honest services. See *id.*, at 400–401.

In *Margiotta*, the Second Circuit faced a case that departed from this pattern. Joseph Margiotta chaired the Republican Party Committees for Nassau County and the town of Hempstead, New York, and he used the influence that came with those positions to carry out a kickback scheme. He was indicted for honest-services mail fraud, and although he held “no elective office,” the prosecution argued that he nevertheless breached a duty to render honest services because his party positions “afforded him sufficient power and prestige to exert substantial control over

conviction that also charged conspiracy to commit honest-services fraud. See Pet. for Cert. 8. He now argues that reversal of his conviction on the wire fraud conspiracy count before the Court necessitates reversal of these other counts due to “prejudicial spillover.” Brief for Petitioner 20. We do not reach this question.

012 | SOURCE PAGE 9

READ → EXPLAIN → TEST

HISTORY

Congress's response to McNally restores honest-services coverage, but not every earlier lower-court version without limitation. A statutory phrase still needs sufficiently definite boundaries in criminal cases.

VOCABULARY ON THIS PAGE

fiduciary — Trust-related duty arising from a particular relationship; identify to whom it is owed.

SELF-TEST

Cover the notes. State the point of the marked passage, explain why it matters to the main question, and identify one fact or condition that would change the answer.

Opinion of the Court

public officials.” 688 F. 2d, at 113.

A divided Second Circuit panel agreed. The majority found that “there is no precise litmus paper test” for determining when a private person “owes a fiduciary duty to the general citizenry” but that “two time-tested measures of fiduciary status [were] helpful.” *Id.*, at 122. These were (1) whether “others rel[ie]d upon [the accused] because of [his] special relationship in the government” and (2) whether he exercised “de facto control” over “governmental decisions.” *Ibid.* Admitting that the case before it was “novel” and that determining when a private person owes a duty of honest services was “a most difficult enterprise,” the majority nevertheless concluded that a private person could commit honest-services fraud if he or she “dominate[d] government.” *Id.*, at 121–122. In a strongly worded partial dissent, Judge Winter complained that the majority’s interpretation lacked “the slightest basis in Congressional intent, statutory language or common canons of statutory interpretation” and that it erroneously treated a variety of “politically active persons” who have informal but strong influence over government as subject to the same duties as officeholders. *Id.*, at 142 (opinion concurring in part and dissenting in part).

This Court declined to review the Second Circuit’s decision, 461 U. S. 913 (1983), but that decision’s life as Second Circuit precedent was short-lived. In *McNally v. United States*, 483 U. S. 350 (1987), the Court considered a similar case, and rather than addressing the application of honest-services fraud to private persons, the Court rejected the entire concept of honest-services fraud and held that the mail fraud statute was “limited in scope to the protection of property rights.” *Id.*, at 358, 360.

McNally’s holding on honest-services fraud, however, lasted for less time than *Margiotta*’s. “Congress responded swiftly” and enacted 18 U. S. C. §1346, which provides that

012 | SOURCE PAGE 10

READ → EXPLAIN → TEST

COMPARE

Skilling excluded undisclosed self-dealing beyond bribe/kickback schemes. Percoco uses that same resistance to indefinite criminal liability when examining the source of an honest-services duty.

VOCABULARY ON THIS PAGE

fiduciary — Trust-related duty arising from a particular relationship; identify to whom it is owed.

vague — Insufficiently clear criminal boundary can undermine fair notice and permit arbitrary enforcement.

SELF-TEST

Cover the notes. State the point of the marked passage, explain why it matters to the main question, and identify one fact or condition that would change the answer.

Cite as: 598 U. S. ____ (2023)

7

Opinion of the Court

the “the term “scheme or artifice to defraud,”” which appears in both §1341 and §1343, “includes a scheme or artifice to deprive another of the intangible right of honest services.” *Skilling*, 561 U. S., at 402 (quoting §1346).

Decades later, this Court considered and rejected the broad argument that §1346 is unconstitutionally vague, and in doing so, clarified the meaning of the phrase “the intangible right of honest services.” *Id.*, at 402–405. Noting §1346’s use of “[t]he definite article “the”” in the phrase “the intangible right of honest services,” we held that §1346 covers the “core” of pre-*McNally* honest-services case law and did not apply to “all intangible rights of honest services whatever they might be thought to be.” 561 U. S., at 404–405 (quoting *United States v. Rybicki*, 354 F. 3d 124, 137–138 (CA2 2003) (en banc)). And we observed that “[i]n the main, the pre-*McNally* cases involved fraudulent schemes to deprive another of honest services through bribes or kickbacks supplied by a third party who had not been deceived.” 561 U. S., at 404. We reasoned that those engaging in such schemes had sufficient reason to know that their conduct was proscribed. *Id.*, at 407, 410, 412.

Skilling’s approach informs our decision in this case. Here, the Second Circuit concluded that “Congress effectively reinstated the *Margiotta*-theory cases by adopting statutory language that covered the theory.” 13 F. 4th, at 196. But *Skilling* was careful to avoid giving §1346 an indeterminate breadth that would sweep in any conception of “intangible rights of honest services” recognized by some courts prior to *McNally*.

This is illustrated by *Skilling*’s rejection of the Government’s argument that §1346 should be held to reach cases involving “undisclosed self-dealing by a public official or private employee—i.e., the taking of official action by the employee that furthers his own undisclosed financial interests while purporting to act in the interests of those to whom he owes a fiduciary duty.” 561 U. S., at 409–410.

012 | SOURCE PAGE 11

READ → EXPLAIN → TEST

ARGUMENT

Percoco's categorical position - no private person can owe honest services to the public - is too broad. Rejecting the defendant's absolute rule does not validate the government's instruction.

VOCABULARY ON THIS PAGE

vague — Insufficiently clear criminal boundary can undermine fair notice and permit arbitrary enforcement.

SELF-TEST

Cover the notes. State the point of the marked passage, explain why it matters to the main question, and identify one fact or condition that would change the answer.

8

PERCOCO v. UNITED STATES

Opinion of the Court

Because the pre-*McNally* lower court decisions involving such conduct were “inconsisten[t],” we concluded that this “amorphous category of cases” did not “constitute core applications of the honest-services doctrine.” 561 U. S., at 410.

Skilling’s teaching is clear. “[T]he intangible right of honest services” must be defined with the clarity typical of criminal statutes and should not be held to reach an ill-defined category of circumstances simply because of a smattering of pre-*McNally* decisions. With this lesson in mind, we turn to the question whether the theory endorsed by the lower courts in this case gave §1346 an uncertain breadth that raises “the due process concerns underlying the vagueness doctrine.” See 561 U. S., at 408.

B

As noted, Percoco moved before trial for dismissal of the honest-services conspiracy count at issue on the ground that he was out of public office during part of the time period within the indictment and that a private citizen cannot be convicted of depriving the public of honest services. See Defendant’s Memorandum of Law in Support of Motion To Dismiss the Superseding Indictment in No. 1:16-cr-00776 (SDNY, May 19, 2017), ECF Doc. 187, pp. 25–30. He advanced a similar theory in his motion for acquittal, emphasizing that he was acting under “a short-term agreement [with Aiello’s firm] within the period in which he was no longer a state employee.” 1 App. 447.

On this point, Percoco’s arguments sweep too broadly. To be sure, the pre-*McNally* record on honest-services fraud is clearest when the Government seeks to prosecute actual public officials. Most of the pre-*McNally* honest-services prosecutions, including what appears to be the first case to adopt that theory, involved actual public officials. See *Skilling*, 561 U. S., at 400–401 (citing *Shushan v. United States*, 117 F. 2d 110, 115 (CA5 1941)). But we reject the argument

012 | SOURCE PAGE 12

READ → EXPLAIN → TEST

RULE

Actual agency is the concrete counterexample to categorical immunity. Delegated authority to perform government duties can carry duties without a formal government job. Track principal, agent, delegation, and public beneficiary.

SELF-TEST

Cover the notes. State the point of the marked passage, explain why it matters to the main question, and identify one fact or condition that would change the answer.

Cite as: 598 U. S. ____ (2023)

9

Opinion of the Court

that a person nominally outside public employment can *never* have the necessary fiduciary duty to the public. Without becoming a government employee, individuals not formally employed by a government entity may enter into agreements that make them actual agents of the government. An “agent owes a fiduciary obligation to the principal,” see, e.g., 1 Restatement (Third) of Agency §1.01, Comment *e*, p. 23 (2005), and therefore an agent of the government has a fiduciary duty to the government and thus to the public it serves. In this Court, Percoco has agreed that individuals who are “delegated authority to act on behalf” of a public official and to perform government duties have a duty to provide honest services. Tr. of Oral Arg. 12; see also Brief for Petitioner 22, 24, 37; Reply Brief 9. This well-established principle suffices to confirm that the lower courts correctly rejected Percoco’s *per se* rule and, in doing so, did not stretch §1346 past heartland cases. See *Skilling*, 561 U. S., at 408.

Rejecting this absolute rule, however, is not enough to sustain Percoco’s convictions on the wire fraud conspiracy counts. “[T]he intangible right of honest services” codified in §1346 plainly does not extend a duty to the public to *all* private persons, and whether the correct test was applied in this case returns us to *Margiotta*.

C

Percoco challenges the *Margiotta* theory that underlay the jury instructions in this case, and we must therefore decide whether those instructions are correct. We hold that they are not.

1

Directly applying *Margiotta*, the trial judge told the jury that Percoco owed a duty of honest services to the public if (1) he “dominated and controlled any governmental business” and (2) “people working in the government actually

012 | SOURCE PAGE 13

READ → EXPLAIN → TEST

REASON

Examples expose the boundary problem: effective lobbyist, longtime adviser, predecessor, family member, friend. How much "clout" is enough? Vagueness threatens fair notice and invites arbitrary/discriminatory enforcement.

SELF-TEST

Cover the notes. State the point of the marked passage, explain why it matters to the main question, and identify one fact or condition that would change the answer.

Opinion of the Court

relied on him because of a special relationship he had with the government.” 2 App. 511; see *Margiotta*, 688 F. 2d, at 122. But *Margiotta*’s standard is too vague. From time immemorial, there have been *éminence grises*, individuals who lacked any formal government position but nevertheless exercised very strong influence over government decisions. Some of these individuals have been reviled; others have been respected as wise counselors. The *Margiotta* test could be said to apply to many who fell into both of these camps. It could also be used to charge particularly well-connected and effective lobbyists. See 688 F. 2d at 142 (opinion of Winter, J.). *Margiotta* acknowledged that “the public has no right to disinterested service” from lobbyists and political party officials, but the rule it developed—which was embodied in the jury instructions given in this case—implies that the public *does* hold such a right whenever such persons’ clout exceeds some ill-defined threshold. *Id.*, at 122. *Margiotta* set a low bar, *i.e.*, the point at which a defendant’s influence goes beyond “minimum participation in the processes of government.” *Ibid.* The instructions in this case demanded more, *viz.*, proof of “dominat[ion],” but what does that mean in concrete terms? Is it enough if an elected official almost always heeds the advice of a long-time political adviser? Is it enough if an officeholder leans very heavily on recommendations provided by a highly respected predecessor, family member, or old friend? Without further constraint, *Margiotta* does not (and thus, the jury instructions did not) define “the intangible right of honest services” “‘with sufficient definiteness that ordinary people can understand what conduct is prohibited,’” or “‘in a manner that does not encourage arbitrary and discriminatory enforcement.’” *McDonnell v. United States*, 579 U. S. 550, 576 (2016) (quoting *Skilling*, 561 U. S., at 402–403).

The Government does not defend these jury instructions

012 | SOURCE PAGE 14

READ → EXPLAIN → TEST

ARGUMENT

Government's new theories: future selection for government work; government functions exercised with officials' acquiescence. They differ from what jurors were instructed. Footnote: Court expresses no view on a belated sham-resignation theory.

VOCABULARY ON THIS PAGE

harmless — An error may not require reversal if harmless under applicable analysis; Skilling leaves that issue for remand.

SELF-TEST

Cover the notes. State the point of the marked passage, explain why it matters to the main question, and identify one fact or condition that would change the answer.

Cite as: 598 U. S. ____ (2023) 11

Opinion of the Court

as an accurate statement of the law, but it argues that their imprecision was harmless. Specifically, the Government argues that a private individual owes a duty of honest services to the public “in two discrete circumstances”: (1) “when the person has been selected to work for the government” in the future and (2) “when the person exercises the functions of a government position with the acquiescence of relevant government personnel.” Brief for United States 25; cf. 18 U. S. C. §201(b) (federal bribery statute incorporating “person[s] selected to be a public official”).³

The first theory differs substantially from the jury instructions, which did not tell the jury that Percoco could be found to owe a duty of honest services because he had been selected for future government service. While the prosecution offered evidence that Percoco intended to return to government service after the election and had made plans to do so, the jury could have found that the requirements set out in the jury instructions were satisfied without relying on that evidence. Thus, even if we assume for the sake of argument that there is some merit in the Government’s first new theory, it is far from clear that the erroneous jury instructions would be harmless.

The Government’s second new theory—*i.e.*, that a private citizen owes a duty to render honest services “when the person exercises the functions of a government position with the acquiescence of relevant government personnel”—appears, as defined in its brief, to restate *Margiotta*’s erroneous construction of the law. See Brief for United States 33 (instructions “as a whole and in the context of this case . . .

³The Government also alluded to a possible third theory at oral argument, saying that there were “indicia throughout this case that Petitioner was just acting in the role . . . that he had previously formally held.” Tr. of Oral Arg. 64. To the extent this is a belated argument that Percoco’s leaving office was to some degree a sham, we express no view on the viability of this alternative theory of conviction in this case on the evidence presented.

012 | SOURCE PAGE 15

READ → EXPLAIN → TEST

HOLDING

The Court will not affirm on these alternative theories where instructions differed and the Second Circuit did not rely on them. Reversal and remand are not a categorical declaration of innocence or immunity.

VOCABULARY ON THIS PAGE

remand — Return to lower court for further proceedings; identify what remains unresolved.

SELF-TEST

Cover the notes. State the point of the marked passage, explain why it matters to the main question, and identify one fact or condition that would change the answer.

Opinion of the Court

correctly conveyed” this test). Moreover, the jury was not told that it was necessary to find that “relevant government personnel” “acquiesce[d]” in Percoco’s exercise of government functions.

In short, the jury instructions are substantially different from either of the Government’s new theories, and the Second Circuit—which treated even the language the Government now disclaims in *Margiotta* as good law—did not affirm on either of these theories. We decline to do so here.

* * *

For these reasons, the judgment of the Court of Appeals is reversed, and the case is remanded for further proceedings consistent with this opinion.

It is so ordered.

012 | SOURCE PAGE 16

READ → EXPLAIN → TEST

SEPARATE OPINION

Gorsuch, joined by Thomas, concurs in judgment: the statute itself is too uncertain; new instructions cannot solve its fundamental problem. Distinguish agreement on result from agreement with the majority's reasoning.

VOCABULARY ON THIS PAGE

vague — Insufficiently clear criminal boundary can undermine fair notice and permit arbitrary enforcement.

SELF-TEST

Cover the notes. State the point of the marked passage, explain why it matters to the main question, and identify one fact or condition that would change the answer.

Cite as: 598 U. S. ____ (2023) 1

GORSUCH, J., concurring in judgment

SUPREME COURT OF THE UNITED STATES

No. 21–1158

JOSEPH PERCOCO, PETITIONER *v.* UNITED STATES

ON WRIT OF CERTIORARI TO THE UNITED STATES COURT OF APPEALS FOR THE SECOND CIRCUIT

[May 11, 2023]

JUSTICE GORSUCH, with whom JUSTICE THOMAS joins, concurring in the judgment.

The Court holds that the jury instructions in this case were “too vague.” *Ante*, at 10. I agree. But to my mind, the problem runs deeper than that because no set of instructions could have made things any better. To this day, no one knows what “honest-services fraud” encompasses. And the Constitution’s promise of due process does not tolerate that kind of uncertainty in our laws—especially when criminal sanctions loom. “Vague laws” impermissibly “hand off the legislature’s responsibility for defining criminal behavior to unelected prosecutors and judges, and they leave people with no sure way to know what consequences will attach to their conduct.” *United States v. Davis*, 588 U. S. ____, __ (2019) (slip op., at 1).

Honest-services fraud and this Court’s vagueness jurisprudence are old friends. The story traces back to the early 1940s when a string of lower courts began stretching the federal mail-fraud statute’s phrase “scheme or artifice to defraud.” 18 U. S. C. §1341. Everyone understood that the phrase covers efforts to swindle money or property. But some lower courts began suggesting that the phrase also sweeps in schemes to deprive others of “intangible rights,” including the right to “honest services.” *Skilling v. United States*, 561 U. S. 358, 400 (2010) (citing cases). What did this new “honest-services fraud” concept encompass? Even

012 | SOURCE PAGE 17

READ → EXPLAIN → TEST

SEPARATE OPINION

Gorsuch argues §1346 confirmed coverage of honest services without defining when duties arise, what law supplies them, or what breaches count. Notice the difference between naming a category and defining prohibited conduct.

VOCABULARY ON THIS PAGE

vague — Insufficiently clear criminal boundary can undermine fair notice and permit arbitrary enforcement.

SELF-TEST

Cover the notes. State the point of the marked passage, explain why it matters to the main question, and identify one fact or condition that would change the answer.

GORSUCH, J., concurring in judgment

the lower courts that devised the theory could not agree. They clashed over everything from who owes a duty of honest services to what sources of law may give rise to that duty to what sort of actions constitute a breach of it. See *id.*, at 416–420 (Scalia, J., concurring in part and concurring in judgment).

Eventually, that uncertainty demanded this Court’s attention. In *McNally v. United States*, 483 U. S. 350 (1987), the Court held that, while §1341 “clearly protects property rights,” it does not protect more abstract interests like a right to “honest . . . government.” *Id.*, at 355, 356. *McNally* rested, in no small part, on vagueness concerns. Any other interpretation, the Court emphasized, would leave the law’s “outer boundaries ambiguous.” *Id.*, at 360. If Congress wanted to extend the law to protect more than property rights, the Court added, “it must speak more clearly than it has.” *Ibid.*

Soon Congress did speak. It enacted §1346, which now defines the phrase “scheme or artifice to defraud” to include “a scheme or artifice to deprive another of the intangible right of honest services.” In one sense, the new law did offer clarity. It dispelled any doubt about whether Congress intended the mail-fraud statute (and later the wire-fraud statute, §1343) to protect a right to “honest services.” But in another sense, the law clarified nothing. Congress did not address *McNally*’s concern that the phrase “honest-services fraud” is unworkably vague. Nothing in the new law attempted to resolve when the duty of honest services arises, what sources of law create that duty, or what amounts to a breach of it. Nor did the new law cross-reference any portion of the federal criminal code that might have lent clarity to the concept.

These problems resurfaced in *Skilling*. There, a majority of the Court acknowledged that a “vagueness challenge [to §1346] ha[d] force.” 561 U. S., at 405. But instead of

012 | SOURCE PAGE 18

READ → EXPLAIN → TEST

SEPARATE OPINION

Gorsuch invokes Scalia's Skilling critique: narrowing to bribes/kickbacks was judicial invention. This is a separation-of-powers criticism of the majority's rescue method.

VOCABULARY ON THIS PAGE

fiduciary — Trust-related duty arising from a particular relationship; identify to whom it is owed.

kickback — Value returned/provided for improper favorable treatment; locate the exchange, not merely personal enrichment.

SELF-TEST

Cover the notes. State the point of the marked passage, explain why it matters to the main question, and identify one fact or condition that would change the answer.

Cite as: 598 U. S. ____ (2023)

3

GORSUCH, J., concurring in judgment

“throw[ing] out the statute as irremediably vague,” the majority elected to fill in some of the blanks. *Id.*, at 403–404. To that end, the majority “look[ed] to the doctrine” of honest-services fraud as it had developed in the lower courts “in pre-*McNally* cases.” *Id.*, at 404. Recognizing the many internal tensions in that line of cases, the majority attempted to “pare that body of precedent down to its core.” *Ibid.* What exactly falls within that “core”? The majority could not say. All it could muster was that, “[i]n the main,” honest-services convictions had involved “fraudulent schemes to deprive another of honest services through bribes or kickbacks supplied by a third party who had not been deceived.” *Ibid.*

Justice Scalia, Justice Kennedy, and JUSTICE THOMAS declined to participate in *Skilling*’s rescue mission. They saw the Court’s decision as an act of “not interpretation but invention.” *Id.*, at 422 (opinion of Scalia, J.). Nothing in the statute, they observed, confined breaches of the duty of honest services to bribes or kickbacks. Indeed, not a single lower court had understood the concept to be limited in that way. *Id.*, at 423. Nor could the dissenters find anything in the judicial power permitting them to “replac[e] a vague criminal standard that Congress adopted with a more narrow one (included within the vague one).” *Id.*, at 422.

Even on its own terms, the dissenters noted, the majority’s reconstruction of the statute failed “to eliminate [its] vagueness.” *Id.*, at 421. The majority had not attempted to define what constitutes a breach of the “‘honest services’ obligation,” but sought to identify only conduct that fell within its “core.” *Ibid.* Nor had the majority done anything to “solve the most fundamental indeterminacy” in honest-services-fraud theory, *ibid.*, for nothing in its decision explained what kinds of fiduciary relationships are sufficient to trigger a duty of honest services in the first place. Is the duty of honest services limited “to public officials” serving

012 | SOURCE PAGE 19

READ → EXPLAIN → TEST

SEPARATE OPINION

Unresolved questions in concurrence: which relationships, which source of fiduciary law, and whose duty? Do not read Gorsuch's criticism as the majority adopting a categorical no-duty rule.

VOCABULARY ON THIS PAGE

fiduciary — Trust-related duty arising from a particular relationship; identify to whom it is owed.

vague — Insufficiently clear criminal boundary can undermine fair notice and permit arbitrary enforcement.

SELF-TEST

Cover the notes. State the point of the marked passage, explain why it matters to the main question, and identify one fact or condition that would change the answer.

GORSUCH, J., concurring in judgment

the government? *Ibid.* Does it also apply “to private individuals who contract with the public?” *Ibid.* Or does it apply to “everyone” who owes some sort of fiduciary responsibility to others, including (say) a corporate officer? *Ibid.* What source of law, too, should a court consult to answer these questions? Must a fiduciary duty arise from positive state or federal law, or can it arise from general trust law, “a *corpus juris* festooned with various duties”? *Id.*, at 417–418. All these questions, the dissenters observed, had long divided lower courts and remained unanswered.

Today, the Court returns to these quandaries. The jury instructions in this case sought to identify at least one instance when a duty of honest services arises—namely, when a private individual has “dominated and controlled any governmental business” and “people working in the government actually relied on him because of a special relationship he had with the government.” *Ante*, at 9–10. But that formulation, the Court holds, is “too vague” to pass constitutional muster. *Ante*, at 10. That is so, the Court reasons, because it could result in the conviction of *anyone* whose “clout exceeds some ill-defined threshold” and thus sweep in “effective lobbyists” exercising their First Amendment right to petition the government. *Ibid.* The Court also pauses briefly to address two alternative tests the government suggests for defining when a duty of honest services may attach. But the Court takes no view on the first and rejects the second. *Ante*, at 11–12. In the end, we may now know a little bit more about when a duty of honest services *does not* arise, but we still have no idea when it *does*.

It’s a situation that leaves prosecutors and lower courts in a bind. They must continue guessing what kind of fiduciary relationships this Court will find sufficient to give rise to a duty of honest services. For them, it is back to the drawing board in their indictments and their jury instructions. But they are not the main victims here. That plight belongs to private citizens. In this country, a criminal law

012 | SOURCE PAGE 20

READ → EXPLAIN → TEST

SEPARATE OPINION

Gorsuch's institutional argument: Congress must define federal crimes. "Uncut marble" analogy attacks delegating lawmaking to courts and prosecutors. Fair notice must precede prosecution.

VOCABULARY ON THIS PAGE

fiduciary — Trust-related duty arising from a particular relationship; identify to whom it is owed.

SELF-TEST

Cover the notes. State the point of the marked passage, explain why it matters to the main question, and identify one fact or condition that would change the answer.

Cite as: 598 U. S. ____ (2023) 5

GORSUCH, J., concurring in judgment

is supposed to provide “ordinary people fair notice of the conduct it punishes.” *Johnson v. United States*, 576 U. S. 591, 595 (2015); see also *Connally v. General Constr. Co.*, 269 U. S. 385, 391 (1926). Yet even 80 years after lower courts began experimenting with the honest-services-fraud theory, no one can say what sort of fiduciary relationship is enough to sustain a federal felony conviction and decades in federal prison.

To be sure, I cannot fault the Court for the problem. The difficulty here stems from the statute and the lower court decisions that inspired it. I have no doubt that if all nine Justices put our heads together, we could rewrite §1346 to provide fair notice and minimize the risk of uneven enforcement. I have no doubt, too, that we could find a hook for any such rule somewhere in the morass of pre-*McNally* lower-court case law. Maybe, too, that is the path we are on, effectively writing this law bit by bit in decisions spanning decades with the help of prosecutors and lower courts who present us with one option after another. But that is not a path the Constitution tolerates. Under our system of separated powers, the Legislative Branch must do the hard work of writing federal criminal laws. Congress cannot give the Judiciary uncut marble with instructions to chip away all that does not resemble David. See *United States v. Reese*, 92 U. S. 214, 221 (1876) (“It would certainly be dangerous if the legislature could set a net large enough to catch all possible offenders, and leave it to the courts to step inside and say who could be rightfully detained, and who should be set at large”); *United States v. Wiltberger*, 5 Wheat. 76, 95 (1820) (Marshall, C. J.) (“It is the legislature, not the Court, which is to define a crime, and ordain its punishment”).

Doubtless, Congress had high and worthy intentions when it enacted §1346. But it must do more than invoke an aspirational phrase and leave it to prosecutors and judges to make things up as they go along. The Legislature must

GORSUCH, J., concurring in judgment

identify the conduct it wishes to prohibit. And its prohibition must be knowable in advance—not a lesson to be learned by individuals only when the prosecutor comes calling or the judge debuts a novel charging instruction. Perhaps Congress will someday set things right by revising §1346 to provide the clarity it desperately needs. Until then, this Court should decline further invitations to invent rather than interpret this law.

012 | SOURCE PAGE 21

READ → EXPLAIN → TEST

SEPARATE OPINION

Final concurrence demand: clear legislative prohibition, rather than learning the rule when indicted or instructed at trial. Link to class 17's requirement that every element of the charged crime be established.

SELF-TEST

Cover the notes. State the point of the marked passage, explain why it matters to the main question, and identify one fact or condition that would change the answer.

013 Choose a Business Structure

MAIN QUESTION

How do business forms differ in control, liability, taxation, financing, and continuity?

ANSWER / RESULT

The SBA handout compares structures and tax designations; there is no universally best form. Match the owner's goals to the tradeoffs and distinguish entity form from tax status.

WHERE TO POINT ON THE ORIGINAL

Agency guidance, not a court opinion: source pp. 1-2 frame the choice; comparison tables pp. 7-8. Supplied snapshot updated August 8, 2024.

Reading route: source page → what to recover

p. 1 | main question: business structure

p. 2 | vocab: Sole proprietorship; vocab: Limited partnerships

p. 3 | compare: Limited liability partnerships

p. 4 | compare: taxed twice

p. 5 | trap: file with the IRS

p. 6 | compare: Cooperative; trap: tax status

p. 7 | rule: vary by state

p. 8 | fact: 100 people

p. 9 | source note: About SBA

p. 10 | source note: 409 3rd

Cold-call checklist

State the precise issue → identify procedural posture → give the governing rule → name the facts doing legal work → explain the result and what remains undecided. For a note/article, substitute author's thesis, framework, examples, and limits for court holding.



Español

[Home](#) [Business Guide](#) [Launch your business](#) [Choose a business structure](#)

Choose a business structure

The business structure you choose influences everything from day-to-day operations, to taxes and how much of your personal assets are at risk. You should choose a business structure that gives you the right balance of legal protections and benefits.

Content

[Review common business structures](#)[Combine different business structures](#)[Compare business structures](#)

Your business structure affects how much you [pay in taxes](#), your ability to raise money, the paperwork you need to file, and your personal liability.

013 | SOURCE PAGE 1

READ → EXPLAIN → TEST

MAIN QUESTION

AUTHOR'S organizing question: what form balances benefits and legal protection? Five comparison axes: operations/control, tax, personal exposure, capital raising, paperwork. No court holding to identify.

VOCABULARY ON THIS PAGE

liability — Legal responsibility; denial of summary judgment does not itself establish it.

SELF-TEST

Cover the notes. State the point of the marked passage, explain why it matters to the main question, and identify one fact or condition that would change the answer.

You'll need to choose a business structure before you [register your business](#) with the state. Most businesses will also need to [get a tax ID number](#) and file for the appropriate [licenses and permits](#).

Choose carefully. While you may convert to a different business structure in the future, there may be restrictions based on your location. This could also result in tax consequences and unintended dissolution, among other complications.

Consulting with business counselors, attorneys, and accountants can prove helpful.

Review common business structures

Sole proprietorship

A sole proprietorship is easy to form and gives you complete control of your business. You're automatically considered to be a sole proprietorship if you do business activities but don't register as any other kind of business.

Sole proprietorships do not produce a separate business entity. This means your business assets and liabilities are not separate from your personal assets and liabilities. You can be held personally liable for the debts and obligations of the business. Sole proprietors are still able to get a [trade name](#). It can also be hard to raise money because you can't sell stock, and banks are hesitant to lend to sole proprietorships.

Sole proprietorships can be a good choice for low-risk businesses and owners who want to test their business idea before forming a more formal business.

Partnership

Partnerships are the simplest structure for two or more people to own a business together. There are two common kinds of partnerships: limited partnerships (LP) and limited liability partnerships (LLP).

Limited partnerships have only one general partner with unlimited liability, and all other partners have limited liability. The partners with limited liability also tend to have limited

013 | SOURCE PAGE 2

READ → EXPLAIN → TEST

VOCAB

One owner, no separate legal entity, personal exposure, no stock issuance; easy/default formation. Contrast partnership with two or more owners. Later conversion can have tax/dissolution complications.

VOCAB

Handout describes LP with general partner bearing unlimited liability and limited partners with limited control/liability. Treat its "only one" formulation as the overview's wording, not an exhaustive formation statute.

VOCABULARY ON THIS PAGE

liability — Legal responsibility; denial of summary judgment does not itself establish it.

SELF-TEST

Cover the notes. State the point of the marked passage, explain why it matters to the main question, and identify one fact or condition that would change the answer.

control over the company, which is documented in a partnership agreement. Profits are passed through to personal tax returns, and the general partner — the partner without limited liability — must also pay self-employment taxes.

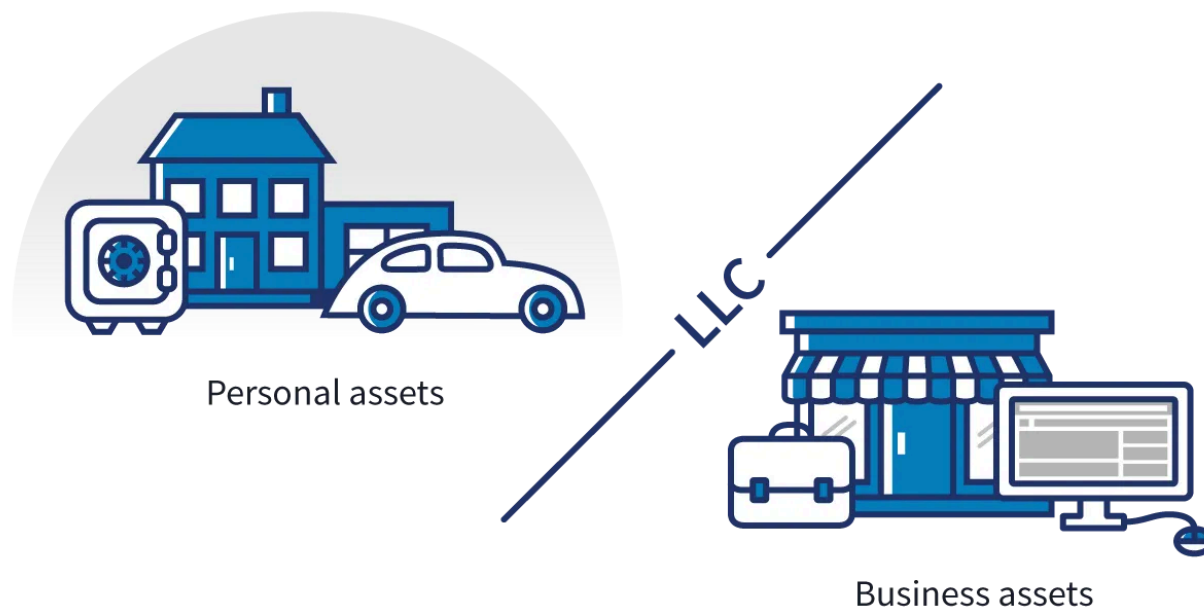
Limited liability partnerships are similar to limited partnerships, but give limited liability to every owner. An LLP protects each partner from debts against the partnership, they won't be responsible for the actions of other partners.

Partnerships can be a good choice for businesses with multiple owners, professional groups (like attorneys), and groups who want to test their business idea before forming a more formal business.

Limited liability company (LLC)

An LLC lets you take advantage of the benefits of both the corporation and partnership business structures.

LLCs protect you from personal liability in most instances, your personal assets — like your vehicle, house, and savings accounts — won't be at risk in case your LLC faces bankruptcy or lawsuits.



013 | SOURCE PAGE 3

READ → EXPLAIN → TEST

COMPARE

LLP extends limited-liability treatment across partners in the handout; LLC combines features associated with partnerships and corporations. Limited liability does not mean the business itself owes nothing.

SELF-TEST

Cover the notes. State the point of the marked passage, explain why it matters to the main question, and identify one fact or condition that would change the answer.

Profits and losses can get passed through to your personal income without facing corporate taxes. However, members of an LLC are considered self-employed and must pay self-employment tax contributions towards Medicare and Social Security.

LLCs can have a limited life in many states. When a member joins or leaves an LLC, some states may require the LLC to be dissolved and re-formed with new membership — unless there's already an agreement in place within the LLC for buying, selling, and transferring ownership.

LLCs can be a good choice for medium- or higher-risk businesses, owners with significant personal assets they want protected, and owners who want to pay a lower tax rate than they would with a corporation.

Corporation

C corp

A corporation, sometimes called a C corp, is a legal entity that's separate from its owners. Corporations can make a profit, be taxed, and can be held legally liable.

Corporations offer the strongest protection to its owners from personal liability, but the cost to form a corporation is higher than other structures. Corporations also require more extensive record-keeping, operational processes, and reporting.

Unlike sole proprietors, partnerships, and LLCs, corporations pay income tax on their profits. In some cases, corporate profits are taxed twice — first, when the company makes a profit, and again when dividends are paid to shareholders on their personal tax returns.

Corporations have a completely independent life separate from its shareholders. If a shareholder leaves the company or sells his or her shares, the C corp can continue doing business relatively undisturbed.

Corporations have an advantage when it comes to raising capital because they can raise funds through the sale of stock, which can also be a benefit in attracting employees.

Corporations can be a good choice for medium- or higher-risk businesses, those that need to raise money, and businesses that plan to "go public" or eventually be sold.

S corp

013 | SOURCE PAGE 4

READ → EXPLAIN → TEST

COMPARE

C corporation: separate entity, continuity despite shareholder exit, stock financing, more formalities; entity profit and shareholder dividends can produce double taxation. LLC: pass-through treatment and member self-employment discussion in this snapshot.

VOCABULARY ON THIS PAGE

liability — Legal responsibility; denial of summary judgment does not itself establish it.

SELF-TEST

Cover the notes. State the point of the marked passage, explain why it matters to the main question, and identify one fact or condition that would change the answer.

An S corporation, sometimes called an S corp, is a special type of corporation that's designed to avoid the double taxation drawback of regular C corps. S corps allow profits, and some losses, to be passed through directly to owners' personal income without ever being subject to corporate tax rates.

Not all states tax S corps equally, but most recognize them the same way the federal government does and tax the shareholders accordingly. Some states tax S corps on profits above a specified limit and other states don't recognize the S corp election at all, simply treating the business as a C corp.

S corps must file with the IRS to get S corp status, a different process from [registering with their state](#).

There are special limits on S corps. Check the IRS website for [eligibility requirements](#) [↗](#). You'll still have to follow the strict filing and operational processes of a C corp.

S corps also have an independent life, just like C corps. If a shareholder leaves the company or sells his or her shares, the S corp can continue doing business relatively undisturbed.

S corps can be a good choice for a businesses that would otherwise be a C corp, but meet the [criteria to file as an S corp](#) [↗](#).

Benefit corporation

A benefit corporation is a for-profit corporation recognized by a majority of U.S. states. Benefit corporations are different from C corps in purpose, accountability, and transparency, but aren't different in how they're taxed.

Benefit corporations are driven by both mission and profit. Shareholders hold the company accountable to produce some sort of public benefit in addition to a financial profit. Some states require benefit corporations to submit annual benefit reports that demonstrate their contribution to the public good.

There are several third-party benefit corporation certification services, but none are required for a company to be legally considered one in a state where the legal status is available.

Close corporation

013 | SOURCE PAGE 5

READ → EXPLAIN → TEST

TRAP

S election is IRS tax treatment distinct from state registration. Benefit corporation: public-benefit mission plus profit, accountability/reporting; third-party certification is not necessary to legal benefit-corporation status.

SELF-TEST

Cover the notes. State the point of the marked passage, explain why it matters to the main question, and identify one fact or condition that would change the answer.

Close corporations resemble B corps but have a less traditional corporate structure. These shed many formalities that typically govern corporations and apply to smaller companies.

State rules vary, but shares are usually barred from public trading. Close corporations can be run by a small group of shareholders without a board of directors.

Nonprofit corporation

Nonprofit corporations are organized to do charity, education, religious, literary, or scientific work. Because their work benefits the public, nonprofits can receive tax-exempt status, meaning they don't pay state or federal income taxes on any profits it makes.

Nonprofits must file with the IRS to get tax exemption, a different process from [registering with their state](#).

Nonprofit corporations need to follow organizational rules very similar to a regular C corp. They also need to follow special rules about what they do with any profits they earn. For example, they can't distribute profits to members or political campaigns.

Nonprofits are often called 501(c)(3) corporations — a reference to the section of the Internal Revenue Code that is most commonly used to grant tax-exempt status.

Cooperative

A cooperative is a business or organization owned by and operated for the benefit of those using its services. Profits and earnings generated by the cooperative are distributed among the members, also known as user-owners. Typically, an elected board of directors and officers run the cooperative while regular members have voting power to control the direction of the cooperative. Members can become part of the cooperative by purchasing shares, though the amount of shares they hold does not affect the weight of their vote.

Combine different business structures

Designations like S corp and nonprofit aren't strictly business structures — they can also be understood as a tax status. It's possible for an LLC to be taxed as a C corp, S corp, or a

013 | SOURCE PAGE 6

READ → EXPLAIN → TEST

COMPARE

Close corporation: reduced formalities/public trading restrictions in overview.
Nonprofit: qualifying purpose, separate exemption process, restrictions on distributing surplus. Cooperative: user-owners; votes not weighted simply by shares held.

TRAP

The reading explicitly warns S/nonprofit labels can be tax designations. Separate three questions: legal entity, tax election/exemption, certification. A nonprofit can earn surplus; distribution/use constraints are the point.

SELF-TEST

Cover the notes. State the point of the marked passage, explain why it matters to the main question, and identify one fact or condition that would change the answer.

nonprofit. These arrangements are far less common and can be more difficult to set up. If you're considering one of these non-standard structures, you should speak with a business counselor or an attorney to help you decide.

Compare business structures

Compare the general traits of these business structures, but remember that ownership rules, liability, taxes, and filing requirements for each business structure can vary by state. The following table is intended only as a guideline. Please confer with a business tax specialist to confirm your specific business needs.

Business structure	Ownership	Liability	Taxes
Sole proprietorship	One person	Unlimited personal liability	Self-employment tax Personal tax
Partnerships	Two or more people	Unlimited personal liability unless structured as a limited partnership	Self-employment tax (except for limited partners) Personal tax
Limited liability company (LLC)	One or more people	Owners are not personally liable	Self-employment tax Personal tax or corporate tax

013 | SOURCE PAGE 7

READ → EXPLAIN → TEST

RULE

Table is a guideline, and state rules vary. Compare one-owner sole proprietor with one-or-more-member LLC and multi-owner partnership. Keep liability rules separate from income-tax treatment.

VOCABULARY ON THIS PAGE

liability — Legal responsibility; denial of summary judgment does not itself establish it.

SELF-TEST

Cover the notes. State the point of the marked passage, explain why it matters to the main question, and identify one fact or condition that would change the answer.

Business structure	Ownership	Liability	Taxes
Corporation - C corp	One or more people	Owners are not personally liable	Corporate tax
Corporation - S corp	100 people or fewer - certain trusts and estates - no partnerships, corporations, or non-resident aliens	Owners are not personally liable	Personal tax
Corporation - benefit corporation	One or more people	Owners are not personally liable	Corporate tax
Corporation - Nonprofit	One or more people	Owners are not personally liable	Tax-exempt, but corporate profits can't be distributed

Need help? Get free business counseling

Find
counselors

Last updated August 8, 2024

013 | SOURCE PAGE 8

READ → EXPLAIN → TEST

FACT

S-corp table: 100 or fewer, specified eligible holders, exclusions for partnerships/corporations/nonresident aliens. These are the assigned 2024 summary's details, not a refreshed formation/tax recommendation.

VOCABULARY ON THIS PAGE

liability — Legal responsibility; denial of summary judgment does not itself establish it.

SELF-TEST

Cover the notes. State the point of the marked passage, explain why it matters to the main question, and identify one fact or condition that would change the answer.

[Return to top](#)

About SBA

[Contact SBA](#)

[Locations](#)

[Upcoming events](#)

[Newsroom](#)

[SBA blog](#)

[Leadership team](#)

Open government

[Freedom of Information Act](#)

[No Fear Act](#)

[Open data sources](#)

[Policies and guidance](#)

[Budget and performance](#)

[Regulations.gov](#)

About the site

[Site map](#)

[Privacy policy](#)

[Linking policy](#)

[Plain language](#)

[Accessibility](#)

[Disclaimers](#)

Oversight

[Inspector General](#)

[Advocacy](#)

[Hearings and appeals](#)

[Ombudsman](#)

[Fraud and identity theft](#)

[WhiteHouse.gov](#)

[USA.gov](#)

Sign up

Receive information about upcoming SBA events, news alerts, and program updates.

** indicates a required field*

Email *

ZIP Code *

Subscribe to SBA emails

Your information will only be used in accordance with our [website privacy policy](#).

013 | SOURCE PAGE 9

READ → EXPLAIN → TEST

SOURCE NOTE

Website navigation/subscription/footer content, not additional business-form doctrine. It remains in the source because it was not blank.

SELF-TEST

Cover the notes. State the point of the marked passage, explain why it matters to the main question, and identify one fact or condition that would change the answer.



U.S. Small Business Administration

409 3rd St., SW

Washington, DC 20416

800-827-5722



013 | SOURCE PAGE 10

READ → EXPLAIN → TEST

SOURCE NOTE

SBA contact footer. No additional legal rule. Do not spend equal study time on administrative footer text and the comparison tables.

SELF-TEST

Cover the notes. State the point of the marked passage, explain why it matters to the main question, and identify one fact or condition that would change the answer.

014 Miller v Wick Building Co

MAIN QUESTION

Did Paul Wick have authority to bind the company to the brokerage commission agreement for sale of its building?

ANSWER / RESULT

No sufficient evidence of apparent or implied actual authority. A general manager's implied power covers what is usual and necessary in the business actually conducted, absent contrary evidence. Judgment affirmed.

WHERE TO POINT ON THE ORIGINAL

The broad issue is synthesized from source p. 1. The court expressly formulates the implied-authority question on source p. 3.

Reading route: source page → what to recover

p. 1 | main question: necessary to establish; fact: \$800,000

p. 2 | rule: no knowledge; fact: three fourths

p. 3 | main question: This raises the question; fact: income tax

p. 4 | fact: 38 out of; trap: question of fact

p. 5 | rule: usual and necessary; trap: not involved

p. 6 | source note: Save trees

Cold-call checklist

State the precise issue → identify procedural posture → give the governing rule → name the facts doing legal work → explain the result and what remains undecided. For a note/article, substitute author's thesis, framework, examples, and limits for court holding.

154 Ohio St. 93 (1950)

MILLER, APPELLANT,

v.

THE WICK BUILDING CO., APPELLEE, ET AL.

No. 32016.

Supreme Court of Ohio.

Decided July 5, 1950.

94 *94 *Messrs. McKain, Ohl & Swanner, Messrs. Squire, Sanders & Dempsey and Mr. James C. Davis*, for appellant.

Messrs. Manchester, Bennett, Powers & Ullman and Mr. John H. Ranz, for appellee.

TAFT, J.

95 It is the contention of Miller that there is substantial evidence in the record tending to prove that Paul Wick, assuming to act on behalf of the building *95 company, entered into an oral agreement with Miller and Rand; that, under such agreement, the building company was to pay Miller and Rand a commission for securing a buyer, ready, willing and able to purchase the Wick building at a price of \$800,000 net cash to the building company, and such commission was to be whatever amount such buyer agreed to pay in addition to such price; and that Miller and Rand did secure such a buyer who agreed to pay \$850,000 for the building. It is conceded that the building was not sold by the building company.

The trial judge determined, as a matter of law, that Wick had authority to enter into such an agreement for the building company and so instructed the jury. The issues, as to the making of the agreement and its performance, were submitted to the jury.

The Court of Appeals' decision was based upon the conclusion that, as a matter of law, Wick had no authority to enter into such an agreement.

Of course, the fact, that one undertakes to make a contract as agent for a party, does not necessarily result in such party being bound by the contract made. *Bradford Belting Co. v. Gibson*, 68 Ohio St., 442, 67 N. E., 888, paragraphs three and four of the syllabus. In order to enforce any rights against such party under such a contract, it is necessary to establish that the one who assumed to act as agent for that party had power to make the contract for that party. Mechem on Agency (2 Ed.), 527, Section 743.

In the instant case, it is conceded that the building company never expressly authorized Wick to enter into an agreement such as the one which Miller seeks to enforce.

96 However, even where one assuming to act as agent for a party in the making of a contract has no actual authority to so act, such party will be bound by the contract if he has by his words or conduct, reasonably *96 interpreted, caused the other party to the contract to believe that the one assuming to act as agent had the necessary authority to make the contract. Restatement of the Law of Agency, 76, Section 27; 1 Ohio Jurisprudence, 674, Section 34. See *Kroeger, Supt., v. Brody, Trustee*, 130 Ohio St., 559, 200 N. E., 836. In

014 | SOURCE PAGE 1

READ → EXPLAIN → TEST

MAIN QUESTION

Question framework: establish power to bind THIS principal to THIS contract. Trial judge said authority existed as a matter of law; appellate court said it did not. Express authorization was conceded absent.

FACT

Proposed agreement: company nets \$800,000; brokers keep excess. Ready/willing/able buyer offered \$850,000, implying \$50,000 commission. Building was never sold; do not make actual closing the alleged performance requirement.

VOCABULARY ON THIS PAGE

agent — Actor with representative power; examine scope separately from fiduciary duties.

SELF-TEST

Cover the notes. State the point of the marked passage, explain why it matters to the main question, and identify one fact or condition that would change the answer.

such instance, the term "apparent authority" is often used to describe or label what is so treated as the equivalent of authority. That term will be so used in this opinion.

It is apparently conceded and the record clearly discloses that Miller had never dealt with Wick before and had no knowledge of any words or conduct of the building company, its officers, directors or shareholders, which might have indicated that Wick had the authority to make, on behalf of the building company, the contract upon which Miller relies.

But Miller states in his reply brief that he and Rand "were joint adventurers" and that "the knowledge of one joint adventurer being available to both, there is clearly enough evidence in this case to permit a jury to find that Paul Wick had such apparent authority as would estop The Wick Building Company from proving the contrary."

If, as Miller contends, the knowledge of Rand was available to Miller, still there is nothing in the record tending to prove any words or conduct of the building company, its officers, directors or shareholders, other than Wick, which, when reasonably interpreted, could have caused the joint adventurers to believe that Wick had authority to make, on behalf of the building company, the contract relied upon by Miller.

97

While Rand testified that he had been acting as broker for Wick, and for companies of which Wick was an officer, for 15 or 20 years and that no other broker in Youngstown handled properties of Wick or of those companies, Rand testified that he, as a broker, *97 had not bought or sold any of such properties but had only rented them. The only other evidence on that subject confirms his testimony. While Rand testified that he had been authorized by Wick to sell the other smaller building belonging to the building company, that building was admittedly not sold, and there was no evidence tending to prove that any other officer, director or shareholder of the building company knew that Wick had authorized Rand to sell that smaller building. There was no evidence that Rand knew what the corporate powers of the building company were or what corporate action had or had not been taken by the directors or shareholders of the building company.

While the evidence was such as to indicate that Rand might reasonably have believed that Wick had been knowingly permitted by the building company to rent properties of the building company, there was no evidence which would justify any reasonable inference that Rand might reasonably have believed that Wick had been knowingly permitted by the building company to sell properties of the building company. There was not even any evidence of such sales.

While it might be inferred from the record that Wick had, at some indefinite time between 1941 and 1945, purchased the other smaller building on behalf of the building company, there was no evidence that Rand might reasonably have believed that Wick had not been expressly authorized by the board of directors of the building company to do so. There is not even any evidence that Rand had any knowledge about the purchase of that building.

98

When it is remembered that the building, involved in the contract relied upon by Miller, had been owned by the building company since its incorporation in 1910 and represented in value more than three fourths of the total assets of the building company, it becomes *98 obvious that the power to make a contract such as that relied upon by Miller was not included among any apparent powers which the building company had knowingly permitted Wick to exercise. See Kroeger, Supt., v. Brody, Trustee, supra; 1 Ohio Jurisprudence, 674, Section 34.

Miller contends further that, even if no words or conduct of the building company caused him to believe that Wick had the necessary authority to make the contract upon which Miller relies, the building company would

014 | SOURCE PAGE 2

READ → EXPLAIN → TEST

RULE

Apparent authority requires principal-origin words/conduct reasonably producing the THIRD PARTY's belief. Miller had no prior dealings; Rand's 15-20 years involved rentals, not sales. Wick's own assertions cannot independently bootstrap authority.

FACT

Building owned since 1910 and worth over three-fourths of assets. Selling it is unlike routine rental management. Ask what acts the corporation knowingly permitted, not what title sounded impressive.

VOCABULARY ON THIS PAGE

apparent authority — Principal's manifestations produce reasonable third-party belief about agent's power.

SELF-TEST

Cover the notes. State the point of the marked passage, explain why it matters to the main question, and identify one fact or condition that would change the answer.

be bound by such a contract, made on its behalf by Wick, because the evidence disclosed that Wick had implied actual authority to make such a contract.

If a party by his words or conduct, reasonably interpreted, has caused one, assuming to act as agent for such party in the making of a contract, to believe that such one had the necessary authority to make the contract, such party will be bound by the contract, regardless of whether any words or conduct of such party caused the other party to the contract to believe that the one so assuming to act as agent had authority to make the contract. Restatement of the Law of Agency, Section 26; Kimball v. Kimball Bros., Inc., 143 Ohio St., 500, 56 N. E. (2d), 60. See State, ex rel. Squire, Supt., v. Frasier, 133 Ohio St., 283, 13 N. E. (2d), 248. In such instances, the terms "implied authority" or "actual implied authority" are often used to describe or label what is so treated as the equivalent of authority. Those terms will be so used in this opinion.^[1]

99 If the law did not impose liability upon the principal where there was such implied authority, then one who, in good faith and in reasonable reliance on words *99 or conduct of another party causing him to believe that he had authority to do so, made a contract on behalf of such party would be exposed to liability for a breach of his implied warranty of authority to make such contract. Trust Co. v. Floyd, 47 Ohio St., 525, 26 N. E., 110, 12 L. R. A., 346. See Jackson v. Watkins, 128 Ohio St., 407, 191 N. E., 483.

This raises the question as to whether there is any evidence in the record which would justify a finding by reasonable minds that The Wick Building Company or its directors or shareholders by any words or conduct, when reasonably interpreted, had caused Wick to believe that he had the necessary authority to make the contract relied upon by Miller.

Wick testified that, while he had discussed informally with the directors the matter of a sale of the Wick building, the never received any authority from the board of directors of the building company to sell that building as a building; that it had been the practice of the directors and shareholders of the company to discuss matters among themselves from time to time and to come to decisions and authorize him to act in accordance with those decisions without putting any record of his authority in the corporation minute book; and that, if there was a matter of importance in connection with the business of the building company, every director would be contacted. There is no evidence in the record tending to dispute any of the foregoing testimony. Some of his testimony would justify the inference that he had been authorized by the shareholders to effect a sale of their stock, if the result of that sale would enable the shareholders to realize \$1,000,000 for their stock, or perhaps realize \$800,000 therefor and retain the other smaller building of the building company. The evidence shows without dispute that the reasons for this indirect method of

100 disposing of the Wick building, so as to *100 realize in effect \$800,000 on its disposition, were the income tax laws which would have required payment by the building company of a very substantial tax if the building company sold the Wick building for \$800,000.

Two of the other directors of the building company testified that they did not, either at a formal or informal meeting of the board, ever tell Wick to try to sell the Wick building.

It is clear from Wick's testimony that he never believed that he had the authority to make the contract relied upon by Miller.

As hereinbefore indicated, it is to protect the agent from liability on a breach of his implied warranty of authority that recovery is allowed against a principal, whose words or conduct, when reasonably interpreted, has caused one assuming to act as his agent in the making of a contract to believe that he had the necessary authority to make the contract. Obviously, where the words or conduct of the principal has

014 | SOURCE PAGE 3

READ → EXPLAIN → TEST

MAIN QUESTION

Express subquestion: did corporate words/conduct reasonably cause WICK to believe he had authority? That is implied actual authority; distinguish the third party's belief in apparent authority.

FACT

Shareholder stock-sale authorization is different from authority for the corporation to sell the building. Tax consequences explain the chosen stock-sale route. Informal corporate approvals were possible, but evidence of this approval was missing.

VOCABULARY ON THIS PAGE

implied authority — Authority inferred from relevant principal conduct/role; Miller distinguishes particular meanings.

principal — Person/entity represented by agent; company and shareholders can be different principals.

SELF-TEST

Cover the notes. State the point of the marked passage, explain why it matters to the main question, and identify one fact or condition that would change the answer.

not caused any such belief, there is no justification for giving the agent such protection. See Jackson v. Watkins, supra, 409, 410. Where this reason for imposing liability on the principal is not present, the other party to the contract does not have any rights thereon against the principal on the mere ground that the agent had actual implied authority. Cf. Anderson v. State, 22 Ohio St., 305.

It is argued that the foregoing rule would enable a corporation to escape liability on the false testimony of an agent to the effect that he knew that he had no such authority. However, the falsity of such testimony can usually be brought out by evidence as to acts of the agent which are inconsistent with his testimony that he knew he did not have such authority. Cf. Anderson v. State, supra.

101 Ordinarily, in a case of this kind, the question of whether the agent believed that he had authority to *101 make a contract is a question of fact for determination by the jury. It is only where the evidence is such that reasonable minds could not conclude that the agent so believed that a court will decide, as a matter of law, that the agent did not so believe.

It is argued that the fact, that Wick did assume to act for the building company in making the contract relied upon by Miller, is substantial evidence tending to prove that he did believe that he was authorized to make it. However, even if a jury might have found, on the evidence, that the words or conduct of Wick would justify a reasonable man in the position of Miller to believe that Wick intended to make such contract, the evidence is undisputed that Wick had no such actual intention. Cf. Butler v. Moses, 43 Ohio St., 166, 1 N. E., 316. The undisputed evidence shows that, because of the tax problem involved, the building company had no interest in making a sale of the Wick building and Wick's only interest in a sale of this building was an interest in selling the stock of the building company. In that, he was acting, not as agent for the building company, but as agent for its shareholders.

It cannot reasonably be argued in this case that Wick believed that he had authority to sell the Wick building because of the powers that the directors, officers and shareholders of the building company had previously permitted him to exercise. There is no evidence that he had ever sold any real estate for the company or even that the company, during its 37 years of existence, had ever sold any real estate. Certainly, under those circumstances, Wick, who was only one of 26 shareholders and one of seven directors and who owned only 38 out of 2,350 shares of the building company, could not reasonably have believed that he had implied authority to sell a building representing over three fourths in value of the total assets of the *102 corporation, regardless of how much authority he had previously been permitted to exercise in the management of the affairs of the corporation which consisted entirely of the maintenance, repair and rental of its buildings.

There is substantial evidence, including the testimony of Wick, that he was general manager of the building company and had general charge of the conduct of its business. Miller argues that, in the absence of any evidence disclosing a limitation on Wick's powers, it follows that Wick had actual implied authority to exercise, on behalf of the corporation, its full corporate powers including the power to sell real estate. In support of this contention, Miller relies upon Jenkins Steamship Co. v. Preston, 186 F., 609; Eastern Rolling Mill Co. v. Michlovitz, 157 Md., 51, 145 A., 378; Kitzmiller v. Pacific Coast & Norway Packing Co., 90 Wash., 357, 156 P., 17; Phoenix Finance Corp. v. Iowa-Wisconsin Bridge Co., 40 Del., 500, 16 A. (2d), 789; Navco Hardwood Co. v. Bass, 214 Ala., 553, 108 So., 452; Lewin v. Proehl, 211 Minn., 256, 300 N. W., 814; Chestnut Street Trust & Savings Fund Co. v. Record Publishing Co., 227 Pa., 235, 75 A., 1067; and Sun Printing & Publishing Assn. v. Moore, 183 U. S., 642, 46 L. Ed., 366, 22 S. Ct., 240.

014 | SOURCE PAGE 4

READ → EXPLAIN → TEST

FACT

Wick: one of 26 shareholders, one of seven directors, 38 of 2,350 shares. No real-estate sales during the company's 37 years. Corporate power to sell is not identical to a manager's authority to sell.

TRAP

Authority belief is ordinarily factual; a court resolves it as law only where reasonable minds could not find the required belief. The opinion does not say juries never decide authority.

VOCABULARY ON THIS PAGE

implied authority — Authority inferred from relevant principal conduct/role; Miller distinguishes particular meanings.

principal — Person/entity represented by agent; company and shareholders can be different principals.

SELF-TEST

Cover the notes. State the point of the marked passage, explain why it matters to the main question, and identify one fact or condition that would change the answer.

014 | SOURCE PAGE 5

READ → EXPLAIN → TEST

RULE

Anchor the final rule: ordinary course of the business **ACTUALLY** engaged in. Broad charter powers are not a blank check. Distinguished precedents involved ratification, prior similar acquiescence, or ordinary-business contracts.

TRAP

Footnote reserves another meaning of implied authority: powers incidental to an expressly conferred power. No ratification was claimed here. Do not collapse every kind of implied authority into this opinion's facts.

VOCABULARY ON THIS PAGE

implied authority — Authority inferred from relevant principal conduct/role; Miller distinguishes particular meanings.

ratification — Later principal adoption of an otherwise unauthorized act; absent in Miller.

SELF-TEST

Cover the notes. State the point of the marked passage, explain why it matters to the main question, and identify one fact or condition that would change the answer.

While there is broad language in the opinions of some of those cases which, when literally applied, tends to support that contention, we are of the opinion that it was not necessary for the courts, in any of those cases, to state the rule of law so broadly in order to sustain the decisions reached.

103 In each of those cases, it appears that there had been either subsequent acquiescence by the board which amounted to ratification of the contract involved, previous acquiescence by the board in similar contracts entered into by the managing officer, or that *103 the contracts involved were directly related to the business which had actually been carried on by the corporation.

In the instant case, there is no claim that the board had ratified the making of the contract relied upon by Miller; there is no evidence that Wick had ever previously made, or that the board knew that he had endeavored to make, any contract relating to sale of any of the building company's assets; and there was no evidence that the building company ever actually carried on the business of buying and selling real estate.

As stated by Lockwood, J., in Lois Grunow Memorial Clinic v. Davis, 49 Ariz., 277, 286, 66 P. (2d), 238:

104 "The usual language of the textwriters is that a general manager has the power to do anything which the corporation itself might do. On examining the cases, however, we think that this statement of the powers of a general manager is too broad, and that the better authorities hold that his authority is limited to that which is usual and necessary in the ordinary course of the business actually followed by the corporation, and not to extraordinary powers conferred, indeed, upon the corporation by its charter and which may be exercised by its board of directors, but outside the scope and purpose of the business of the corporation as actually carried on. We think the confusion has arisen to a great extent from the difference in the powers granted corporations by their charters in past and in modern times. Most corporations organized many years ago were limited in their powers as set forth in their charter to the particular business in which they actually intended to engage and those things naturally correlative thereto. The charter powers and the actual operations of the corporation coincided and it was quite proper to say in general language that the manager could do anything which the *104 corporation itself could do. But of more recent times, for some reason, the charters of corporations organized under general statutes usually attempt to include the right to do everything which a private individual can do, and many things which he cannot, although the incorporators have no intention of ever exercising a tithe of the powers conferred by the charter, and as a matter of fact limit their activities to one or two of those powers. Under such circumstances, language quite appropriate to the older charters becomes wholly inappropriate when applied to the latter ones." See, also, annotation, 159 A. L. R., 796, 802.

In our opinion, in the absence of evidence to the contrary, the implied authority of a general manager of a corporation does not extend beyond authority to do that which is usual and necessary in the ordinary course of the business which has actually been engaged in by the corporation.

Judgment affirmed.

WEYGANDT, C. J., MATTHIAS, HART, ZIMMERMAN, STEWART and TURNER, JJ., concur.

[*] It may be observed that use of these terms may sometimes lead to confusion because of another type of authority, sometimes described or labeled as "implied authority" or "actual implied authority." This other type of authority is such as can be said to be implied from authority or power expressly conferred. This type of implied authority is not involved in the instant case. It is unnecessary, therefore, to decide, and we do not decide, whether the same conclusions would be reached with regard to this other type of implied authority as with regard to the type of implied authority dealt with in the opinion.

Save trees - read court opinions online on Google Scholar.

014 | SOURCE PAGE 6

READ → EXPLAIN → TEST

SOURCE NOTE

This source page contains only a website footer. It is retained because it was not 100% blank; it adds no legal proposition.

SELF-TEST

Cover the notes. State the point of the marked passage, explain why it matters to the main question, and identify one fact or condition that would change the answer.

015 Summary of Citizens United v Federal Election Commission

MAIN QUESTION

Were the corporate independent-expenditure prohibition and the disclaimer/disclosure requirements constitutional as applied to Hillary, and should prior decisions be overruled?

ANSWER / RESULT

The report summarizes a 5-4 rejection of the corporate independent-expenditure ban and an 8-1 upholding of disclaimer/disclosure requirements. Distinguish independent spending from direct contributions.

WHERE TO POINT ON THE ORIGINAL

Report's explicit "ISSUES ON APPEAL": source p. 2. This is a March 2, 2010 legislative summary, not the Court's full opinion.

Reading route: source page → what to recover

p. 1 | posture: 5-4

p. 2 | main question: The issues on appeal; fact: 90 minute; fact: four seconds

p. 3 | rule: strict scrutiny; compare: Austin

p. 4 | reason: quid pro quo; rule: threats

p. 5 | fact: 24 states

p. 6 | compare: Connecticut

p. 7 | argument: Green Party

Cold-call checklist

State the precise issue → identify procedural posture → give the governing rule → name the facts doing legal work → explain the result and what remains undecided. For a note/article, substitute author's thesis, framework, examples, and limits for court holding.

Location:
CAMPAIGNS - FINANCE; ELECTIONS;



March 2, 2010

2010-R-0124

SUMMARY OF CITIZENS UNITED V. FEDERAL ELECTION COMMISSION

By: Kristin Sullivan, Principal Analyst

Terrance Adams, Legislative Analyst II

You asked for (1) a summary of *Citizens United v. Federal Election Commission*, No. 08-205 (U.S. Jan. 21, 2010) and (2) its impact on state law, including Connecticut's.

This office is not authorized to provide legal opinions and this report should not be considered one.

SUMMARY

In a 5-4 decision, the U.S. Supreme Court ruled that corporations and unions have the same political speech rights as individuals under the First Amendment. It found no compelling government interest for prohibiting corporations and unions from using their general treasury funds to make election-related independent expenditures. Thus, it struck down a federal law banning this practice and also overruled two of its prior decisions. Additionally, in an 8-1 decision, the Court ruled that the disclaimer and disclosure requirements associated with electioneering communications are constitutional.

The Court's decision in *Citizens United* likely calls into question laws in 24 states, including Connecticut, prohibiting corporations from making independent expenditures from their general treasury. While the ruling's immediate effect is unclear, experts predict it is only a matter of time before these laws will be challenged in court or repealed by state legislatures. Experts also predict that, since the laws are vulnerable, they will be difficult for state election officials to enforce. In Connecticut, CGS §§ 9-613(a) and 9-614(a) prohibit independent expenditures by businesses and unions, respectively.

The decision's impact on Connecticut's lobbyist and contractor contribution and solicitation bans and the Citizens' Election Program (CEP) is less clear. The U.S. Court of Appeals for the 2nd Circuit asked the parties in *Green Party of Connecticut, et al. v. Garfield, et al.*, 648 F. Supp. 2d 298 (D. Conn. 2009) to file supplemental briefs addressing these issues. The state contends there is little, if any, effect while the Green Party asserts the opposite.

015 | SOURCE PAGE 1

READ → EXPLAIN → TEST

POSTURE

Two votes/two outcomes: 5-4 spending ban; 8-1 disclosure/disclaimers.
Report is by Kristin Sullivan and Terrance Adams, dated March 2, 2010. Its state-law impact discussion is contemporary prediction, not today's status.

VOCABULARY ON THIS PAGE

independent expenditures — Spending independent of candidate coordination; distinguish direct campaign contributions.

SELF-TEST

Cover the notes. State the point of the marked passage, explain why it matters to the main question, and identify one fact or condition that would change the answer.

FACTS AND PROCEDURAL HISTORY

In January 2008, Citizens United, a nonprofit corporation, released a 90 minute documentary entitled *Hillary: The Movie* (hereinafter *Hillary*). The movie expressed opinions about whether then-senator Hillary Clinton, a candidate for the Democratic presidential nomination, was fit for the presidency. Citizens United distributed the movie in theaters and on DVD, but also wanted to make it available through video-on-demand. It produced advertisements promoting the film and wanted to show them on broadcast and cable television. To pay for the video-on-demand distribution and the advertisements, Citizens United planned to use its general treasury funds.

As amended by § 203 of the Bipartisan Campaign Reform Act of 2002 (BCRA), federal law prohibits corporations and unions from spending their general treasury funds on “electioneering communications” or for speech that expressly advocates the election or defeat of a candidate. An “electioneering communication” is any broadcast, cable, or satellite communication that (1) refers to a clearly identified candidate for federal office, (2) is made within 30 days of a primary election or 60 days of a general election, (2 U.S.C. § 441b), and (3) is publicly distributed (11 CFR § 100.29(a)(2)).

Citizens United, fearing that *Hillary* would be covered under § 441b, sought an injunction in December 2007 against the Federal Elections Commission (FEC) in federal district court, arguing that § 441b is unconstitutional as applied to *Hillary*. The district court denied this motion and granted summary judgment to the FEC.

Additionally, Citizens United argued that BCRA's disclaimer and disclosure requirements are unconstitutional as applied to *Hillary* and the advertisements promoting *Hillary*. Under BCRA § 311, televised electioneering communications funded by anyone other than a candidate for office must include a clear, readable disclaimer displayed on the screen for at least four seconds. The disclaimer must identify the person or organization responsible for the advertisement, that person or organization's address or website, and a statement that the advertisement “is not authorized by any candidate or candidate's committee” (§ 441d(a)(3)).

Further, under BCRA § 201, any person who spends more than \$10,000 on electioneering communications during a calendar year must file a disclosure statement with the FEC (§ 434(f)(1)). The statement must identify the person making the expenditure, the amount, the election to which the communication was directed, and the names of certain contributors (§ 434(f)(2)). Again, the district court ruled against Citizens United and granted summary judgment to the FEC. Citizens United appealed to the U.S. Supreme Court.

ISSUES ON APPEAL

The issues on appeal were whether, as applied to *Hillary*, (1) § 441b's prohibition on corporate independent election expenditures was constitutional and (2) BCRA's disclaimer, disclosure, and reporting requirements were constitutional.

After oral arguments in March 2009, the Court ordered a reargument for September that same year. It asked the parties whether it should overrule two prior campaign finance cases (1) *Austin v. Michigan Chamber of Commerce*, 494, U.S. 652 (1990), which held that political speech may be banned based on the speaker's corporate identity and (2) *McConnell v. Federal Election Comm'n*, 540 U.S. 93, 203–209 (2003), which upheld a facial challenge to limits on electioneering communications. Deciding that the issue of § 441b's application to

015 | SOURCE PAGE 2

READ → EXPLAIN → TEST

MAIN QUESTION

HIGHLIGHT THIS report's statement of questions. Then note reargument: whether to overrule *Austin* and the relevant *McConnell* portion. Label as reporter's formulation, not a direct Court-opinion quotation.

FACT

Nonprofit Citizens United's *Hillary* documentary, 2008; theaters/DVD, proposed video-on-demand and TV ads funded by treasury. Electioneering definition: candidate reference, broadcast/cable/satellite, public distribution, 30 days primary/60 general.

FACT

Assigned BCRA details: on-screen disclaimer at least four seconds; sponsor identification/address or website; nonauthorization statement. Over \$10,000 yearly electioneering spending triggers listed disclosure. Know which obligation each number describes.

VOCABULARY ON THIS PAGE

injunction — Court order requiring or prohibiting conduct; not the same as monetary damages.

as applied — Challenge concerning application to particular facts, rather than the statute's facial validity.

SELF-TEST

Cover the notes. State the point of the marked passage, explain why it matters to the main question, and identify one fact or condition that would change the answer.

Hillary could not be resolved on narrower ground, the Court began its analysis with the sustainability of *Austin*.

HOLDING AND ANALYSIS

Independent Expenditures by Corporations

The Court overruled *Austin*, striking down § 441b's ban on corporate independent expenditures. It also struck down the part of *McConnell* that upheld BCRA § 203's extension of § 441b's restrictions on independent corporate expenditures. The Court held that the “government may not suppress political speech on the basis of the

speaker's corporate identity. No sufficient governmental interest justifies limits on the political speech of nonprofit or for-profit corporations.” An analysis of this holding follows.

As Applied Challenge. First, the Court held that the case could not be resolved on an as applied basis without chilling political speech. Under an “as applied” challenge, the Court's review of the law's constitutionality is limited to the set of facts in the case before it. The Court therefore broadened the case from Citizens United's initial narrower arguments, focusing only on *Hillary*, to reconsider both the validity of its prior decisions in *Austin* and *McConnell* and the facial validity of § 441b.

In reaching this decision, the Court reasoned that among other things:

1. Citizen United's narrower arguments, including that *Hillary* is not an “electioneering communication,” are not sustainable under a fair reading of § 441b, and
2. it must therefore consider the statute's facial validity or risk prolonging its substantial chilling effect.

Facial Challenge to § 441b. In considering the facial challenge, the Court applied strict scrutiny; thus requiring the government to demonstrate that the statute served a compelling interest and was narrowly tailored to meet that interest. A “facial challenge” requires the Court to look at the law and determine if it is unconstitutional as written.

In noting the need for strict scrutiny, the Court stated that a ban on independent expenditures is a ban on speech. In its analysis, the Court found that prior to *Austin*, the First Amendment applied to corporations (*First Nat'l Bank of Boston v. Bellotti*, 435 U.S. 765) and the protection was extended to the context of free speech (*NAACP v. Button*, 371 U.S. 415).

In *Austin*, the Court held that antidistortion was a compelling government interest that justified a ban on independent election expenditures by corporations and unions. It ruled that large aggregations of wealth, accumulated with the help of the corporate form, may have corrosive or distorting effects, thus justifying a ban on corporate independent expenditures. The *Citizens United* Court reasoned that “differential treatment of media corporations and other corporations cannot be squared with the First Amendment and there is no support for the view that the Amendment's original meaning would permit suppressing media corporations' free speech.” *Austin*, it found, interferes with the “open marketplace” of ideas protected by the First Amendment. As a result of this reasoning, the Court was not persuaded by the government's arguments on (1) anticorruption and (2) shareholder protection.

015 | SOURCE PAGE 3

READ → EXPLAIN → TEST

RULE

Facial versus as-applied challenge: statute itself versus application to facts. Strict scrutiny: compelling interest and narrow tailoring. Majority treated expenditure restriction as speech restriction and rejected Austin's antidistortion rationale.

COMPARE

Austin permitted corporate-identity limits; relevant McConnell ruling upheld extension to electioneering. Court's broader decision follows failure of narrower proposed grounds. Do not say every holding in McConnell was erased.

VOCABULARY ON THIS PAGE

independent expenditures — Spending independent of candidate coordination; distinguish direct campaign contributions.

as applied — Challenge concerning application to particular facts, rather than the statute's facial validity.

SELF-TEST

Cover the notes. State the point of the marked passage, explain why it matters to the main question, and identify one fact or condition that would change the answer.

Anticorruption. The Court addressed the government's anticorruption argument and ruled that independent expenditures “do not give rise to corruption or the appearance of corruption.” The Court reasoned:

1. Although *Buckley* identified a sufficiently important governmental interest in preventing corruption or the appearance of corruption, that interest was limited to *quid pro quo* corruption.
2. This interest justifies restrictions on direct contributions to candidates, but not on independent expenditures.
3. Influence over and access to elected officials does not mean that those officials are corrupt and the appearance of influence or access “will not cause the electorate to lose faith in our democracy.”
4. Twenty six states do not ban corporate independent expenditures, and the government did not argue that the absence of a ban in these states has led to increased corruption.

Shareholder Protection. Lastly, the Court rejected the government's argument that shareholders should be protected from being compelled to fund corporate speech. The Court reasoned:

1. Under a shareholder protection interest, if shareholders of a media corporation disagreed with its political views, the government would have the authority to restrict the media corporation's political speech.
2. If Congress had been interested in protecting shareholders, it would not have limited the ban on corporate independent expenditures to the 30 and 60 day windows preceding an election.
3. The ban is overinclusive because it includes corporations that only have a single shareholder.

Disclaimer and Disclosure Requirements

The Court ruled that BCRA's disclaimer and disclosure requirements are constitutional as applied to both *Hillary* and advertisements for it. Citing *Buckley* and *McConnell*, the Court found that disclaimers and disclosure requirements may burden the ability to speak, but they impose no ceiling on campaign-related activities or prevent anyone from speaking. However, the Court acknowledged that these could be challenged if a plaintiff could show a reasonable probability that disclosing contributors' names would subject them to threats, harassment, or reprisal.

In rejecting Citizens United's as-applied challenge, the Court held that

1. the advertisements for *Hillary* are “electioneering communications;”
2. disclosure requirements do not need to be limited to “speech that is the functional equivalent of express advocacy;”
3. “the public has an interest in knowing who is speaking about a candidate shortly before an election;” and

015 | SOURCE PAGE 4

READ → EXPLAIN → TEST

REASON

Majority distinguishes quid pro quo from influence/access; direct contributions differ from independent expenditures. Shareholder rationale objections: media corporations, narrow election windows, single-shareholder overinclusion.

RULE

Disclosure imposes information obligations, not a speech ceiling. Possible as-applied threats/harassment/reprisal exception discussed; Citizens United supplied no such evidence. Upholding disclosure does not uphold the spending ban.

VOCABULARY ON THIS PAGE

independent expenditures — Spending independent of candidate coordination; distinguish direct campaign contributions.

as applied — Challenge concerning application to particular facts, rather than the statute's facial validity.

SELF-TEST

Cover the notes. State the point of the marked passage, explain why it matters to the main question, and identify one fact or condition that would change the answer.

4. Citizens United presented no evidence that its donors have faced any threats, harassment, or reprisals.

IMPACT OF CITIZENS UNITED

The Supreme Court's decision in *Citizens United* likely calls into question laws in 24 states, including Connecticut. According to the Center for Competitive Politics, an organization tracking First Amendment issues, state responses thus far have varied. Some, like Ohio and Pennsylvania, are reviewing the case and have not yet decided how to proceed. At least one, Montana, has said its ban will remain until it is successfully challenged in court. Most have introduced bills that, among other things, repeal the independent expenditure ban; require stockholder approval prior to an independent expenditure; or establish corporate disclosure requirements for independent expenditures. Table 1 summarizes state responses to date.

Table 1: State Responses to Citizens United

Alaska	The chair of the Senate Judiciary Committee wants the committee to introduce a bill that would require disclosure of corporate spending on ads.
Arizona	SB 1444, introduced on February 16, 2010, would require corporations and labor unions that make independent expenditures in candidate campaigns to register and file disclosure reports.
Colorado	Governor Bill Ritter has asked the state's Supreme Court to evaluate the constitutionality of two provisions of the state's constitution that appear to be directly affected by Citizens United. Also, the state Republican Party has announced its intention to file suit against Colorado's law. It is possible that the suit could challenge a broader scope of the law than the two sections that are affected by Citizens United.
Iowa	The director of the Ethics and Campaign Disclosure Board has sent an e-mail to legislators telling them that Citizens United effectively overturns Iowa law. SF 2354, introduced on February 15, 2010, requires corporations to obtain permission from a majority of their shareholders prior to making an independent expenditure, requires corporations to report their independent expenditures to the Ethics and Campaign Finance Disclosure Board, prohibits coordination between candidates and corporations, and requires certain attributions on corporate-funded advertisements.
Maryland	HB 616, introduced on February 3, 2010, would require stockholder approval and public disclosure of corporate independent expenditures in excess of \$10,000. HB 690 and SB 691 would prohibit government contractors from making independent expenditures. HB 986 and SB 570 would require board of director and stockholder approval for corporate independent expenditures, and would prohibit the distribution of false material. HB 1029 and SB 543 would establish disclosure requirements for corporate independent expenditures. SB 601 would prohibit corporate contributions to candidates and corporate-funded independent expenditures.
Michigan	The secretary of state has posted a detailed description of how Citizens United affects the state, including an FAQ section.

015 | SOURCE PAGE 5

READ → EXPLAIN → TEST

FACT

Historical impact: 24 states' restrictions questioned. Examples: Alaska disclosure, Arizona registration, Colorado review/litigation, Iowa shareholder approval/reporting, Maryland multiple bills, Michigan guidance. These were proposals/responses as of report date.

VOCABULARY ON THIS PAGE

independent expenditures — Spending independent of candidate coordination; distinguish direct campaign contributions.

SELF-TEST

Cover the notes. State the point of the marked passage, explain why it matters to the main question, and identify one fact or condition that would change the answer.

Minnesota	SF 2353, introduced on February 4, 2010, would repeal the ban on independent expenditures by corporations.
Montana	The attorney general has said the state's ban on corporate expenditures will stay in place until it is challenged.
North Carolina	The executive director of the State Board of elections has said that the law appears to be unenforceable, but they are still working to understand the full meaning of the decision.
Oklahoma	The Ethics Commission is working on amendments to change and remove the relevant portions of state rules.
South Dakota	SB 165, introduced on February 1, 2010, would prohibit corporations from making political expenditures without shareholder approval.
Wisconsin	The Senate passed SB 43 just two days before the release of the Citizens United decision. This bill would ban corporate and union funding of electioneering bans and require greater disclosure. The bill's sponsors say they are hoping to salvage the disclosure portions of the bill. Also, the Government Accountability Board is considering rules that would require greater disclosure. SB 540, introduced February 17, 2010, repeals Wisconsin's ban on corporate independent expenditures. It also requires corporations to file documentation of a vote of shareholders taken within the past two years approving campaign expenditures before making such an expenditure.
Wyoming	HB 68, which would repeal the ban on independent expenditures by corporations, is pending in the Legislature.

Source: Center for Competitive Politics

Connecticut

Bans on Contributions by Business Entities and Unions. *Citizens United* conflicts with two Connecticut statutes: (1) CGS § 9-613, which prohibits business entities from making contributions or expenditures to, or for the benefit of, a candidate in a primary or general election, or to promote the success or defeat of a political party and (2) CGS § 9-614, which prohibits unions from making contributions or expenditures without first forming a PAC. These provisions may therefore be in jeopardy and possibly unenforceable if challenged. (The bans do not apply to contributions or expenditures to promote the success or defeat of an referendum question).

Current law does not establish disclosure or attribution requirements for corporations or unions since it prohibits independent expenditures. If the law changes to allow these expenditures, the state would likely also adjust its disclosure and attribution requirements, subjecting businesses and unions to the same reporting requirements as individuals and PACs.

Green Party of Connecticut v. Garfield. The decision's impact is less clear with respect to Connecticut's (1) lobbyist and contractor contribution and solicitation bans and (2) the CEP.

015 | SOURCE PAGE 6

READ → EXPLAIN → TEST

COMPARE

Further state responses: Minnesota repeal proposal; Montana retention pending challenge; NC uncertainty; Oklahoma amendments; SD shareholder approval; Wisconsin repeal/disclosure efforts; Wyoming repeal. Connecticut expenditure bans and contribution rules must be separated.

VOCABULARY ON THIS PAGE

independent expenditures — Spending independent of candidate coordination; distinguish direct campaign contributions.

SELF-TEST

Cover the notes. State the point of the marked passage, explain why it matters to the main question, and identify one fact or condition that would change the answer.

As a result of the decision, the U.S. Court of Appeals for the 2nd Circuit asked the parties in *Green Party of Connecticut v. Garfield* to file supplemental briefs addressing these issues. Connecticut contends that there is little, if any effect. The Green Party argues the opposite.

Concerning the contractor and lobbyist bans, the state argues in its brief that *Citizens United* concerns expenditures by corporations, not campaign contributions as *Green Party v. Garfield* does. The contractor and lobbyist bans do not involve any limits on independent expenditures; rather, they relate only to contributions. And, nothing in *Citizens United* weakens the ability to restrict direct contributions or solicitations for contributions by particular groups.

The state contends that *Citizens United* has little relevance to the CEP because it addresses nothing relating to public financing or alleged discrimination against minor parties. In fact, the state argues the decision supports the CEP's validity. According to the state's brief, the U.S. Court of Appeals for the 2nd Circuit held the CEP unconstitutional in part because its grants and matching funds were, “so generous that they amounted to a subsidy for participating candidates without imposing any countervailing disadvantage because the CEP expenditure limits were so high as to be illusory.” Given the *Citizens United* decision, participating candidates may find themselves facing significant independent spending, which could constitute a countervailing disadvantage. To the extent that *Citizens United* causes unlimited independent spending, it creates a compelling state interest to provide increased matching grants, incentivizing participation and enabling participating candidates to respond to corporate expenditures.

In its brief, the Green Party argues that, “*Citizens United* reaffirms Buckley's central premise that campaign finance laws cannot be deployed in the service of leveling the playing field or promoting competition if it is achieved by restricting the political speech of some speakers in an effort to maintain or elevate the relative strength of other speakers.” Specifically, it contents that the lobbyist and contractor contribution and solicitation bans single out particular speakers and it notes that the *Citizens* Court established that “in the context of political speech the government cannot impose restrictions on certain disfavored speakers.” It argues that *Citizens* categorically rejects the statute's speaker-based judgment (i.e., the idea that lobbyists and contractors funnel large amounts of money into political campaigns to purchase influence.)

With respect the CEP, the Green Party argues that *Citizens United* reinforces the lower court's holding that the program's trigger provisions burden speech. It contends that the decision immediately effects the case and that the CEP's trigger provision forces non-participating candidates and non-candidates making independent expenditures (e.g., PACs) to choose whether to forgo additional expenditures on speech or see an opponent or disfavored candidate receive additional public funding (CGS § 9-714).

KS:ts

015 | SOURCE PAGE 7

READ → EXPLAIN → TEST

ARGUMENT

Connecticut: case concerns expenditures, not its contribution bans or public financing. Green Party: speaker discrimination and matching-fund triggers burden speech. These are litigants' competing arguments, not resolved holdings in this report.

VOCABULARY ON THIS PAGE

independent expenditures — Spending independent of candidate coordination; distinguish direct campaign contributions.

SELF-TEST

Cover the notes. State the point of the marked passage, explain why it matters to the main question, and identify one fact or condition that would change the answer.